

The Institute of Chartered Accountants in England and Wales

Assurance

Question Bank

For exams in 2024

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Assurance

The Institute of Chartered Accountants in England and Wales

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Exam

This exam will consist of 50 questions with equal marks, adding up to 100 marks.

The questions are of the following types:

- **Multiple choice** – select 1 from 4 options A, B, C or D (see Chapter 1 Q5)
- **Multi-part multiple choice** – select 1 from 2 or 3 options, for two or more question parts
- **Multiple response** – select 2 or more responses from 4 or more options (see Chapter 1 Q1)

In this Question Bank you will select only one option per question unless told otherwise.

The exam is 1.5 hours long and at least 55 marks are required to pass this exam.

Our website has the latest information, guidance and exclusive resources to help you prepare for this exam. Find everything you need, from exam webinars, sample exams, errata sheets and the syllabus to examiner- and tutor-written articles at icaew.com/examresources if you are studying the ACA and icaew.com/cfabstudents if you are studying ICAEW CFAB.

Professional skills

Professional skills are essential to accountancy and your development of them is embedded throughout the ACA qualification. The level of competency in each of the professional skills areas required to pass each module exam increases as ACA trainees progress upwards through each Level of the ACA qualification.

The professional skills embedded throughout this Question Bank provide the opportunity to develop the knowledge and professional skills required to successfully pass the exam for this module.

During your question practice, remain mindful that you should be demonstrating each of the four professional skills within your answers. You are advised to familiarise yourself with the full ACA professional skills development grids which can be found at icaew.com/examresources

The following advice will help you demonstrate each of the professional skills when completing your answers to questions in this Question Bank.

Questions in the Assurance module are rapid fire, plus they can be complex and test the syllabus in a non-sequential order, so each one requires a good skillset to answer correctly. Below are the key skills required in the Assurance exam that you will need to master.



Professional skills focus: Assimilating and using information

The Assurance exam required you to attempt 50 questions in 90 minutes, meaning you have 108 seconds for each question. Being disciplined, reading both the scenario and the requirement carefully and keeping track of time will mean that you work effectively within time constraints which should offer you the best chance of passing.



Professional skills focus: Structuring problems and solutions

Each scenario will be different, so you need to practise a wide variety of questions in order to be able to identify and apply relevant technical knowledge and skills to analyse a specific problem. Some questions might require you to select appropriate courses of action using an ethical framework, so your knowledge of the chapters on the fundamental ethical principles must be complete.



Professional skills focus: Applying judgement

You should get used to analysing your performance in the questions you attempt in order to ensure you understand why the correct answer is indeed correct. This will help you to identify inconsistencies and contradictory information the next time you attempt questions from the same area so that you are prepared for the exam.



Professional skills focus: Concluding, recommending and communicating

In order to be successful in the Assurance exam, you have to be able to apply technical knowledge to support reasoning and conclusions – this will only happen if you learn the terms.

Question Bank

Chapter 1: Concept of and need for assurance

1 Which **three** of the following are key elements of a general assurance engagement?

A A user

B A subject matter

C Suitable criteria

D An assurance file

LO 1a

2 Which **three** of the following describe aspects of the expectations gap with respect to the external audit?

A Users do not understand the meaning of the audit opinion

B Users are not aware of the limitations of the audit process

C Users do not appreciate that reasonable assurance is a low level of assurance

D Users do not understand what the audit process involves

LO 1d

3 Which **two** of the following are limitations of the provision of assurance?

A Assurance work is carried out by people independent of the entity

B Sampling is used in assurance work

C Client systems have inherent limitations

D Unqualified staff may be used on assurance engagements

LO 1a

4 In any assurance engagement there are three parties involved: the responsible party, the practitioner and the user.

In respect of given subject matter state which party:

determines the suitable criteria?

A User

B Practitioner

C Responsible party

provides an opinion on whether the subject matter complies with the criteria?

D User

E Practitioner

F Responsible party

LO 1c

5 Which **one** of the following statements best describes the evidence obtained and the opinion given in a reasonable assurance engagement?

A Sufficient appropriate evidence and a negatively worded opinion

B Sufficient appropriate evidence and a positively worded opinion

C A lower level of evidence and a negatively worded opinion

D A lower level of evidence and a positively worded opinion

LO 1a/h

6 For each of the following statements, select whether they are true or false.

A statutory audit gives reasonable assurance that the financial statements give a true and fair view.

A True

B False

A negative assurance conclusion gives a limited level of assurance.

C True

D False

Reasonable assurance is absolute assurance of the correctness of the subject matter.

E True

F False

LO 1a

7 Jones LLP is the external auditor of Blue plc, a listed company. The directors of Blue plc have requested that Jones LLP carry out a review engagement assessing the effectiveness of its corporate governance policies against the UK Corporate Governance Code.

For the above review engagement, select which part of the engagement description constitutes the subject matter, which describes the suitable criteria and which party is the responsible party.

The subject matter

A Blue plc's corporate governance policies

B The UK Corporate Governance Code

The suitable criteria

C Blue plc's corporate governance policies

D The UK Corporate Governance Code

The responsible party

E Jones LLP

F The directors of Blue plc

LO 1a/c

8 For each of the following statements relating to the provisions of the Companies Act 2006, select whether they are true or false.

An individual or firm is eligible for appointment as statutory auditor if the individual or firm is a member of a recognised supervisory body and is eligible for appointment under the rules of that body.

A True

B False

A person may not act as a statutory auditor of a company if that person is an officer or employee of the company.

C True

D False

LO 1a

9 Which **one** of the following best describes the concept of assurance?

Assurance refers to:

A an assurance firm's high level of satisfaction as to the reliability of an assertion being made by one party for the use of another party

B an assurance firm's satisfaction as to the reliability of an assertion being made by one party for the use of another party

C a user's satisfaction as to the reliability of an assertion being made by another party

D an assurance firm's limited level of satisfaction as to the reliability of an assertion being made by one party for the use of another party

LO 1a

10 Which **three** of the following are benefits of an assurance report on financial information?

An assurance report:

A enhances the credibility of the information being reported on

B reduces the risk of management bias in the information being reported on

C attests to the correctness of the information being reported on

D draws the attention of the user to deficiencies in the information being reported on

LO 1b

11 In any assurance engagement there are three parties involved: the responsible party, the practitioner and the user.

For each of the following select which party:

Prepares the subject matter

A Responsible party

B Practitioner

C User

Gathers evidence on the subject matter

D Responsible party

E Practitioner

F User

LO 1c

12 The following is an extract from an independent accountant's unmodified report on a profit forecast:

'Based on our examination of the evidence supporting the assumptions, nothing has come to our attention which causes us to believe that these assumptions do not provide a reasonable basis for the forecast.'

Which **one** of the following best describes the type of assurance provided by this statement?

A Positive assurance expressed negatively

B Negative assurance expressed positively

C High level of assurance expressed negatively

D Limited level of assurance expressed negatively

LO 1a

13 In the context of a statutory audit which **three** of the following are commonly cited examples of misunderstandings that contribute to the expectation gap?

The belief that:

A The auditor's report certifies the financial statements as correct

B The auditor's principal duty is to detect fraud

C The auditor is employed by the directors

D The auditor checks all transactions

LO 1d

14 For each of the following examples, select the level of assurance which would be given.

Statutory audit

A Absolute

B Reasonable

Review of financial information

C Reasonable

D Limited

Report on profit and cash flow forecasts

E Reasonable

F Limited

LO 1a

15 The Companies Act 2006 requires all companies to be audited, but allows small companies an exemption from this requirement where they meet certain criteria.

Small Ltd has an annual turnover of £10 million, total assets of £5.1 million, and 101 employees.

Assuming no special circumstances exist, is Small Ltd required to have an audit in the UK?

A Yes

B No

Tiny Ltd has an annual turnover of £15 million, total assets of £5.2 million, and 99 employees.

Assuming no special circumstances exist, is Tiny Ltd required to have an audit in the UK?

C Yes

D No

Little Ltd has an annual turnover of £5 million, total assets of £4.9 million, and 45 employees.

Assuming no special circumstances exist, is Little Ltd required to have an audit in the UK?

E Yes

F No

LO 1a

16 An organisation should consider how it affects environmental, social and governance (ESG) issues and how ESG issues can affect its business.

For each of the following examples, select whether they result in a sustainability impact or are a sustainability dependency.

Key resources used in an organisation's operations are becoming increasingly scarce.

A Impact

B Dependency

An organisation's greenhouse gas emissions are increasing.

C Impact

D Dependency

An organisation improves working conditions for its employees.

E Impact

F Dependency

Chapter 2: Process of assurance: obtaining an engagement

1 Which **two** of the following are auditors always required to do on being invited to accept an audit engagement?

A Ensure they are professionally qualified to act

B Ensure they have adequate existing resources to carry out the audit

C Obtain references for key personnel within the entity to be audited

D Communicate with the predecessor auditors to discover any reasons they should not accept appointment

LO 1e

2 Which **two** of the following might indicate that an assurance client could have higher than normal inherent or control risk?

A Poor recent performance

B Strong internal controls

C Unusual transactions

D The existence of an internal audit department

LO 1f

3 Claret LLP, an assurance firm, has the following two clients among its client portfolio.

For each client, select whether inherent risk is high or low.

Tulip Ltd is planning to list on the local stock exchange within the next two years.

A High risk

B Low risk

Dhalia Ltd is currently facing financial difficulties and is seeking alternative forms of finance.

C High risk

D Low risk

LO 1f

4 Which **three** of the following are benefits of an engagement letter in respect of assurance services?

A Clearly defines the extent of the assurance provider's responsibilities

B Provides written confirmation of the acceptance of the engagement

C Confirms the scope of the engagement

D Certifies the assurance provider's opinion

LO 1e

5 Which **three** of the following procedures should be carried out after the audit firm has decided to accept appointment as auditor?

A Ensure that the outgoing auditors' removal/resignation has been properly conducted

B Ensure that a resolution has been passed at the general meeting to appoint the new auditors

C Perform checks to ensure that there are no legal or ethical reasons why the new audit firm cannot act as auditor

D Submit a letter of engagement to the directors

LO 1e

6 For each of the following statements, select whether they are true or false in respect of the audit engagement letter.

The engagement letter should be sent before acceptance of appointment.

A True

B False

The engagement letter should be sent after the appointment of the auditor but before the commencement of the audit.

C True

D False

The engagement letter should be sent after the commencement of the audit but before the signing of the auditor's report.

E True

F False

An engagement letter should be sent to all new clients.

G True

H False

LO 1e

7 Which **one** of the following correctly describes the period for which client identification documents must be kept under money laundering regulations?

A For a minimum of five years and until five years have elapsed since the relationship with the client has ceased

B For a minimum of seven years and until seven years have elapsed since the relationship with the client has ceased

C For a minimum of five years and until seven years have elapsed since the relationship with the client has ceased

D For a minimum of seven years and until five years have elapsed since the relationship with the client has ceased

LO 3a

8 Which **two** of the following **must** be included in the engagement letter?

A The responsibilities of the auditor
B Arrangements regarding the planning and performance of the audit
C The form of any reports
D Basis on which fees are computed

LO 1e

9 Which **three** of the following are purposes of a letter of engagement?

A Setting out the form of any report to be issued
B Providing constructive suggestions to management concerning improvements in internal control
C Documenting and confirming acceptance of the appointment
D Narrowing the expectations gap
E Providing evidence on matters where other evidence is not expected to exist

LO 1e

10 Which **one** of the following best describes professional scepticism?

The assurance provider should:

A not believe anything that management tells him
B not believe anything that management tells him, without obtaining supporting evidence
C apply a questioning mind to the information and evidence he obtains
D always assume the worst outcome in cases of uncertainty

LO 1i

11 Which **two** of the following must be included in the engagement letter?

A The scope of the audit
B The reporting framework that is applicable for the financial statements being prepared
C Details of client identification procedures to be performed in relation to the Money Laundering Regulations
D A statement that, in accordance with the Companies Act 2006, the auditor's liability cannot be restricted

LO 1e

Chapter 3: Process of assurance: planning the assignment

1 Which **three** of the following are objectives of audit planning?

A To determine the scope of the engagement

B To ensure appropriate attention is devoted to the important areas of the audit

C To identify potential problems and resolve them on a timely basis

D To assign work to members of the audit team

LO 1f

2 With respect to ISA (UK) 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*, which **three** of the following procedures must be used in understanding the entity and its environment?

A Inquiries of management and other appropriate individuals within the entity

B Inquiries of third parties

C Analytical procedures

D Observation and inspection

LO 1f

3 Which **three** of the following constitute analytical procedures?

A Consideration of comparable information for prior periods

B Consideration of relationships between elements of financial information that are expected to conform to a predicted pattern

C Consideration of whether a balance has been calculated correctly

D Consideration of similar industry information

LO 1f

4 Which **three** of the following are auditors helped to decide by setting a preliminary materiality threshold?

A What audit staff to assign to the audit

B How many items to examine

C Whether to use sampling

D What level of misstatement is likely to lead to the auditor not being able to give an unmodified opinion

LO 1g

5 Which **three** of the following would normally be included in the overall audit strategy?

A Details of economic factors and industry conditions

B The results of initial analytical procedures

C Confirmation of management's responsibility for the financial statements

D Identification of specific audit risks

LO 1f

6 In each of the following cases, select whether inherent risk is higher or lower than normal.

The company operates a profit-related pay scheme.

A Inherent risk higher than normal

B Inherent risk lower than normal

The business of the company is cash-based.

C Inherent risk higher than normal

D Inherent risk lower than normal

Financial statements contain balances with straightforward financial accounting requirements.

E Inherent risk higher than normal

F Inherent risk lower than normal

LO 1f

7 For each of the following statements about materiality, select whether they are true or false.

Materiality may depend on the size of the error in the context of its omission or misstatement.

A True

B False

Materiality should be considered when planning audit procedures and when evaluating discovered misstatements.

C True

D False

Materiality is always expressed as a proportion of profits.

E True

F False

LO 1g

8 Audit risk can be split into three components: inherent risk, control risk and detection risk.

For each of the following examples, select the type of risk illustrated.

The organisation is seeking to raise finance for a new venture.

A Inherent

B Control

C Detection

The organisation has a number of estimates in its financial statements.

D Inherent

E Control

F Detection

LO 1f

9 Audit risk can be split into three components: inherent risk, control risk and detection risk.

For each of the following examples, select the type of risk illustrated.

The organisation has a high turnover of staff in the accounts department.

A Inherent

B Control

C Detection

The auditor will be using samples in testing.

D Inherent

E Control

F Detection

LO 1f

10 Which **two** of the following would be used as part of the risk assessment to understand the entity and its environment in accordance with ISA (UK) 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*?

A Industry, regulatory and other external factors

B How inherent risk factors make assertions susceptible to misstatement

C The results of tests of details

D The results of a review of events after the date of the financial statements

LO 1f

11 For each of the following statements, select whether they are true or false in respect of the concept of materiality.

Materiality should be calculated at the planning stage of all audits.

A True

B False

Once established, the materiality level initially set cannot be revised during the course of the audit.

C True

D False

Materiality will influence the audit opinion given.

E True

F False

LO 1g

12 Audit risk can be split into three components: inherent risk, control risk and detection risk.

For each of the following examples, select the type of risk illustrated.

Senior management regularly overrides the system of controls.

A Inherent
B Control
C Detection

Directors' pay is related to company profitability.

D Inherent
E Control
F Detection

LO 1f

13 Which **three** of the following would increase inherent risk?

A Sample sizes have been calculated incorrectly by the auditor and are too small
B A significant number of balances are based on estimates
C The financial statements include complex transactions
D Audit staff are inexperienced
E The company is seeking to raise finance

LO 1f

14 As part of their overall risk assessment an auditor has concluded that detection risk must be set low.

For each of the following, select the appropriate consequence of this.

Materiality

A Higher
B Lower

Sample sizes

C Bigger
D Smaller

LO 1f

15 For each of the following situations, select the **most** appropriate approach which should be used by the assurance firm.

The audit of a new client, recently started up, with few employees in its accounting department

A Tests of control only

B Substantive procedures only

C A mix of tests of control and substantive procedures

The audit of a long-standing client with a sophisticated IT system and an internal audit department

D Tests of control only

E Substantive procedures only

F A mix of tests of control and substantive procedures

LO 1f

16 As part of your analytical procedures on the financial statements of Dreamy Desserts Ltd you have identified that the gross profit margin has fallen from 27% to 24%.

Which **two** of the following could be a valid explanation for this decrease?

A Unusually high sales at the end of the year resulted in lower levels of closing inventory as compared to the previous year

B Increased competition resulted in sales prices being cut

C A bank overdraft resulted in a higher interest expense than in previous years

D There was a significant change in the mix of products sold

LO 1f

17 In each of the following cases, select whether inherent risk is higher or lower than normal.

The company has recently listed on the local stock exchange with high profit expectations from analysts.

A Inherent risk higher than normal

B Inherent risk lower than normal

Inventory is the largest balance on the statement of financial position.

C Inherent risk higher than normal

D Inherent risk lower than normal

The company operates in a slow-moving, stable industry.

E Inherent risk higher than normal

F Inherent risk lower than normal

LO 1f

18 For each of the following statements, select whether they are true or false in respect of the concept of materiality.

Materiality depends only on the monetary amount of an item.

A True

B False

Materiality may depend on either the nature of an item or its monetary amount.

C True

D False

Materiality is a matter of professional judgement.

E True

F False

LO 1g

19 Audit risk can be split into three components: inherent risk, control risk and detection risk.

For each of the following examples, select the type of risk illustrated.

The organisation has few employees in its accounting department.

A Inherent

B Control

C Detection

The organisation operates in a fast-moving, high-tech environment.

D Inherent

E Control

F Detection

LO 1f

20 Which **two** of the following are true of the auditor's objectives in relation to fraud, in line with ISA (UK) 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*?

A The auditor performs the audit with the aim of deterring fraud.

B The auditor must identify and assess the risks of material misstatement due to fraud.

C The auditor must obtain evidence regarding the risks of material misstatement due to fraud.

D The auditor must only obtain evidence regarding the risks of material misstatement due to error.

LO 1c

21 Deteriora Ltd's quick ratio has fallen from 1.9:1 to 1.6:1.

Which **one** of the following might help to explain this decline?

A The allowance for receivables has been reduced

B Credit control has been poor

C The entity has purchased a property for cash

D Inventory levels have fallen

LO 1f

22 An electrical store and a cake shop have the same mark-up on cost. However, the gross profit margin of the electrical store is significantly higher than that of the cake shop.

Which **one** of the following is a possible reason for this?

A The cake shop's revenue is increasing, while that of the electrical shop is decreasing.

B The cake shop has a higher level of wastage of inventory than the electrical store.

C The electrical shop takes advantage of trade discounts for bulk buying.

D The cake shop has a higher turnover of inventory than the electrical store.

LO 1f

23 Thatch plc's current ratio this year is 1.33:1 compared with 1.25:1 last year.

Which **two** of the following would be possible explanations of this?

A Thatch paid its payables earlier than usual out of a bank overdraft

B Thatch made an unusually large sale immediately before the year end

C Thatch made an unusually large purchase of goods for cash immediately before the year end, and these goods remain in inventory

D Thatch paid its payables earlier than usual out of a positive cash balance

LO 1f

24 Which **one** of the following statements correctly describes the principal purpose of an external audit of a limited company?

A To help in the preparation of the company's financial statements

B To prevent fraud within the company

C To examine and express an opinion on the company's financial statements

D To help the directors in improving the company's financial reporting process

LO 1b/j

25 Which **one** of the following best describes the principal difference between fraud and error?

A Fraud may result in the financial statements being material misstated

B Fraud is an intentional act whereas error is unintentional

C A misstatement can be material whether it is caused by fraud or by error

D Fraud may be the result of negligence whereas error is unintentional

LO 1j

26 Which **two** of the following are true in respect of related party transactions?

A Related party transactions tend to be low risk to the auditor

B Disclosure of related party transactions is unlikely to be material to the financial statements

C Related party transactions must be completely disclosed in the financial statements

D There may be a significant control risk in relation to related party transactions

LO 1f

27 Rasvi LLP has been informed by its client, Wilson Ltd, that it has discovered that a payroll fraud was in operation during the previous financial year, a year in respect of which Rasvi LLP gave a 'clean' auditor's opinion.

Wilson Ltd says that Rasvi LLP was responsible for preventing the fraud. A review of the previous year's audit working papers shows that Rasvi LLP failed to perform any procedures at all in relation to the payroll.

For each of the following statements, select whether the statement is true or false.

Rasvi LLP was responsible for preventing the fraud

A True

B False

LO 1j

Rasvi LLP failed to discharge its responsibilities as auditor

C True

D False

LO 1c/j

28 The Welch group is an audit client that operates in the extractive industries and has ownership of a number of mining facilities located in western Australia. These facilities are subject to a number of overseas environmental regulations which govern issues such as the facilities' use of water, ground vibrations and noise pollution. During the year, the group was found to have breached these regulations at several of its sites.

The statement of profit or loss recognises fines and penalties paid in respect of these breaches.

Which of the following best describes the audit risk arising from the regulations?

A Inherent risk

B Control risk

C Detection risk

D Business risk

LO 1f

29 The risks the business will face from climate change can be categorised as physical risks or transition risks.

For each of the following examples, select whether they result in a physical risk or a transition risk for an organisation in the agricultural sector.

New climate change regulation is introduced that all organisations must comply with.

A Physical risk

B Transition risk

Climate change has meant that droughts have become more frequent and are lasting longer.

C Physical risk

D Transition risk

Investors are increasingly basing investment decisions on how organisations are managing climate related risks.

E Physical risk

F Transition risk

LO 1f

Chapter 4: Process of assurance: evidence and reporting

1 Which **three** of the following are procedures that could be used by assurance providers to provide evidence relating to a balance in the financial statements?

A Walk-through procedure

B Test of control

C Test of detail

D Analytical procedure

LO 3b

2 Which **two** of the following are valid comments about the quality of assurance evidence?

A Evidence from external sources is more reliable than evidence obtained from the entity's records .

B Evidence from internal sources is more reliable when related internal controls operate effectively .

C Evidence from internal sources is more reliable than evidence created by the assurance provider.

D Photocopies are more reliable than scanned documents.

LO 3e

3 Which **three** of the following are assertions used by the auditor about classes of transactions?

A Occurrence

B Existence

C Completeness

D Cut-off

E Rights and obligations

LO 3d/f

4 Which **three** of the following statements are valid?

A Positive (reasonable) assurance will be given on a statutory audit assignment.

B Positive (reasonable) assurance requires more rigorous work to be undertaken than negative assurance does.

C Positive (reasonable) assurance will be given on a review assignment.

D Negative assurance is assurance given in the absence of any indications to the contrary.

LO 1a

5 Which **two** of the following describe manifestations of the expectations gap?

A Users blaming the auditors for a fraud discovered in a company subsequent to an audit.

B Users discovering that the directors refuse to cooperate in providing the auditor with the evidence they request.

C Shareholders approving the appointment of the auditor at an annual general meeting.

D Users relying on the audited financial statements as a fair valuation of the company.

LO 1d

6 The level of assurance given by an assurance engagement will depend on the type of engagement.

For each of the following examples, select the level of assurance you would expect to be given.

Statutory audit

A Absolute
B Reasonable
C Limited

Report on prospective financial information

D Absolute
E Reasonable
F Limited

Report on review of interim financial information

G Absolute
H Reasonable
I Limited

LO 1a

7 For each of the following situations, select the most appropriate approach which should be used by the assurance firm in the given circumstances.

The audit of a client where controls have been assessed as deficient

A Tests of controls only
B Substantive procedures only
C A mix of tests of controls and substantive procedures

The audit of a client where controls have been assessed as strong

D Tests of controls only
E Substantive procedures only
F A mix of tests of controls and substantive procedures

LO 3f

8 The following are types of test that might be carried out by an assurance provider.

For each example, select the financial statement assertion that is being tested.

Review of the financial statements using a Companies Act checklist

A Existence
B Completeness
C Classification

Tracing non-current assets which have been observed in use back to the non-current asset register

D Existence
E Completeness
F Classification

LO 3d/f

9 Which **three** of the following are assertions used by the auditor about account balances at the period end?

A Existence
B Accuracy, valuation and allocation
C Cut-off

D Completeness

LO 3d/f

10 For each of the following statements, select whether they are true or false in respect of substantive procedures.

The auditor must carry out substantive procedures on all material items.

A True

B False

The auditor only carries out substantive procedures if the results of tests of controls are inconclusive.

C True

D False

Substantive procedures include both analytical procedures and tests of details.

E True

F False

LO 3d

11 Two types of procedures used in gathering evidence are tests of controls and substantive procedures.

For each of the following examples, select the type of procedure illustrated.

Observation of opening the post

A Test of control

B Substantive procedure

Calculation of the gross profit margin and comparison with that of the previous accounting period

C Test of control

D Substantive procedure

Reviewing invoices paid for evidence of authorisation

E Test of control

F Substantive procedure

LO 3b

12 Two types of procedures used in gathering evidence are tests of controls and substantive procedures.

For each of the following examples, select the type of procedure illustrated.

Observation of inventory counting at the year end

A Test of control

B Substantive procedure

Calculation of the quick ratio and comparison with that of the previous accounting period

C Test of control

D Substantive procedure

Inquiring into the operation of the purchases transaction cycle

E Test of control

F Substantive procedure

LO 3b

13 Smith plc is required to apply ISA (UK) 701, *Communicating Key Audit Matters in the Independent Auditor's Report*.

Which **three** of the following could be key audit matters?

A Areas of high audit risk

B Areas in relation to which the auditor expresses a separate opinion

C Areas of significant auditor judgement

D Significant transactions or events

LO 1h

14 Which **two** of the following describe manifestations of the expectations gap?

A Potential shareholders using the statement of financial position as a fair valuation of the entity

B Users discovering that the audit firm relies on the audited entity for its fee

C Users believing that the audit firm must not sell other services to the audited entity

D Users believing that the amounts in the financial statements are stated precisely

LO 1d

15 Which **two** of the following would be included in an assurance report?

A Statement of directors' responsibilities

B Identification of the criteria

C Auditor's opinion

D Title

LO 1h

16 The following are items that might be included in an auditor's report.

For each item, select whether it is reported on explicitly, or only by exception.

Whether the financial statements are in agreement with the accounting records and returns

A Explicit

B By exception

Whether the financial statements give a true and fair view of the state of the company's affairs at the end of the financial year

C Explicit

D By exception

Whether details of directors' emoluments and other benefits have been correctly disclosed in the financial statements

E Explicit

F By exception

LO 1h

17 For each of the following statements, select whether they are true or false.

A statutory audit provides reasonable assurance that the financial statements give a true and fair view.

A True

B False

An assurance report which expresses an unmodified conclusion is designed to enhance the confidence of the intended users other than the responsible party in the information being reported upon.

C True

D False

LO 1b

18 The following are items that might be included in an auditor's report.

For each item, select whether it is reported on explicitly, or only by exception.

Whether returns adequate for the audit have been received from branches not visited.

A Explicit

B By exception

Whether the information given in the strategic report and the directors' report is consistent with the financial statements.

C Explicit

D By exception

Whether particulars of loans and other transactions in favour of directors and others have been correctly disclosed in the financial statements.

E Explicit

F By exception

LO 1h

Chapter 5: Introduction to internal control and information flows

1 ISA (UK) 315, *Identifying and Assessing the Risks of Material Misstatement* states that a system of internal control in an organisation consists of five components: the control environment, the entity's risk assessment process, the entity's process to monitor the system of internal control, the information system and communication, and control activities.

For each of the following examples, select the component which it illustrates.

The process of preparing the financial statements

A Control environment

B Information system and communication

C Control activities

Locking the inventory storeroom

D Control environment

E Information system and communication

F Control activities

LO 2d

2 In each of the following three cases, select whether control risk is higher or lower than normal.

The company has an established and well-resourced internal audit function.

A Control risk is higher than normal

B Control risk is lower than normal

The company has a history of reviewing financial performance on a regular basis at board level.

C Control risk is higher than normal

D Control risk is lower than normal

Purchase invoices are not authorised before payment.

E Control risk is higher than normal

F Control risk is lower than normal

LO 2b

3 Which **three** of the following statements about audit committees are correct?

A At least 50% of the members of an audit committee must be non-executive directors.

B Listed companies are required to have an audit committee.

C Audit committees are considered to be good practice for all large companies.

D If a company has an internal audit function, the chief internal auditor should sit on the audit committee.

E Audit committees are an important aspect of a company's control environment.

LO 2b

4 According to ISA (UK) 315, *Identifying and Assessing the Risks of Material Misstatement*, which **three** of the following are aspects of an entity's control environment?

A The attitude of the directors to internal controls

B The attitude of staff to internal controls

C The awareness of internal control issues in the company

D The actions of senior management in relation to internal controls

LO 2d

5 Which **one** of the following is not part of an entity's risk assessment process?

A Identify relevant business risks

B Estimate the impact of risks

C Assess the likelihood of occurrence

D Decide upon actions to manage the risks

E Report the process to the auditors

LO 2b

6 For each of the following statements about the information system in a company, select whether they are true or false.

The information system comprises only the IT system of a company.

A True

B False

The information system includes the process of preparing the financial statements, such as the production of journals.

C True

D False

LO 2b

7 The following are examples of internal controls which operate at Badweather plc.

For each example, select the type of control activity which it illustrates.

The financial controller counts petty cash on a monthly basis.

A Authorisation and approval

B Verification

C Physical or logical control

There are two keys to the locked finance department safe: one held by the finance director and the other by the managing director.

D Authorisation and approval

E Verification

F Physical or logical control

LO 2e

8 The following are examples of internal controls which operate at Castle Ltd.

For each example, select the type of control activity which it illustrates.

The financial controller compares the results of petty cash counts with the accounting records.

A Physical or logical controls
B Reconciliations
C Segregation of duties

The receivables ledger clerk posts invoices to the receivables ledger. The cash clerk posts cash receipts to the receivables ledger.

D Physical or logical controls
E Reconciliations
F Segregation of duties

LO 2e

9 The following are examples of computer controls which operate at Goody plc.

For each example, select the type of computer control which it illustrates.

Storing extra copies of programs and data files off-site

A General IT
B Information processing

Programmes to check data fields on input transactions

C General IT
D Information processing

Manual checks to ensure that input data was authorised

E General IT
F Information processing

LO 2e

10 Which **one** of the following would be the simplest way of recording a straightforward system not subject to a great deal of change annually?

A Flowchart
B Narrative notes
C Questionnaire
D Family tree

LO 2i

11 Which **three** of the following would be the best sources of information about a company's systems?

A The company's procedures manual
B The internal audit function's system notes
C The prior year audit file
D Inquiries made of company staff
E The company's website

LO 2i

12 Most entities make use of IT systems for financial reporting and operational purposes. Controls operating in an IT environment can be split into general IT controls and information processing controls.

Which **one** of the following is an information processing control?

A Training staff in new IT procedures

B Taking back-up copies of programs

C Maintenance agreements over IT equipment

D Cyclical reviews of all master files

LO 2e

13 Which **two** of the following represent inherent limitations of a system of internal control?

A Lack of controls over the purchases system

B Lack of understanding of the purposes of controls

C Lack of staff to ensure segregation of duties

D The possibility that staff members will collude in fraud

LO 2f

14 Which **two** of the following are authorisation control activities?

A A bank reconciliation signed by the finance director

B A cheque payment run approved by the financial controller

C The monthly management accounts are compared to budgets by the finance director and any differences investigated

D A comparison of payables balances with supplier statements undertaken by the purchase ledger supervisor

LO 2e

15 With regard to systems of internal control in small entities, select whether each of the following statements is true or false.

Smaller companies are more likely to be successful in the implementation of segregation of duties controls.

A True

B False

Management override is more likely to take place in smaller companies.

C True

D False

LO 2f

16 ISA (UK) 315 (Revised) states that an internal control system in an organisation consists of five components: (i) Control environment; (ii) The entity's risk assessment process; (iii) The entity's process to monitor the system of internal control; (iv) The information system and communication; and (v) Control activities.

For each of the following examples, select the component which it illustrates.

Training programme for all staff

A Control environment

B Control activities

C The entity's process to monitor the system of internal control

Review of actual performance against budget

D Control environment

E Control activities

F The entity's process to monitor the system of internal control

LO 2d

17 For each of the following statements, select whether they are true or false in respect of the limitations of any system of internal control.

The cost of implementing controls may be more expensive than the cost of any potential risk arising.

A True

B False

The effectiveness of many controls relies on the integrity of those applying them.

C True

D False

Internal controls are only applied to material items.

E True

F False

Standard controls may not be designed to deal with unusual transactions.

G True

H False

LO 2f

18 For each of the following statements, select whether they are true or false in respect of business risk.

Business risk is the risk inherent to the company in its operations.

A True

B False

Business risk is of no relevance to the auditor. The auditor is only concerned with audit risk.

C True

D False

Management is responsible for identifying and controlling business risks.

E True

F False

LO 2b

19 The following are examples of internal controls which operate at Elm plc.

For each example, select the type of control activity which it illustrates.

The financial controller signs an expense report after reviewing whether the expenses seem reasonable and within policy.

A Verification

B Authorisation and approval

The payables ledger clerk posts invoices to the payables ledger. The cash clerk posts cash payments to the payables ledger.

C Segregation of duties

D Verification

LO 2e

20 The following are examples of computer controls which operate in the payroll system at Dobson Ltd.

For each example, select the type of computer control which it illustrates.

Password protection limiting access to data

A General IT

B Information processing

Range checks on payroll processing

C General IT

D Information processing

Manual checks to ensure that timesheets are authorised before details are processed

E General IT

F Information processing

LO 2e

21 Which **three** of the following are general IT controls?

A Disaster recovery procedures

B Back-up copies of programs stored at an alternative safe location

C Procedures for resubmission of rejected data

D Staff training in the use of new/revised programs

LO 2e

22 Peach plc is a large organisation with a complex accounting and information system. Critical to an understanding of the system are the reporting lines and relationships between different departments.

In this situation which **one** of the following methods is most likely to be used by the auditor to record the system of document flow?

A Narrative notes

B Flowcharts

C Questionnaires

D Organisational charts

LO 2i

23 Which **two** of the following are reasons why organisations need to have effective systems of internal control?

To help the organisation in:

A minimising business risks

B maximising its profitability

C managing its assets and liabilities

D cutting down the time needed for the audit

E complying with laws and regulations

LO 2a

24 An effective system of internal control requires segregation of basic functions.

Which **three** of the following functions should ideally be segregated?

A Authorisation of transactions

B Preparation of financial statements

C Custody or handling of assets

D Budgetary control

E Recording of transactions

LO 2b

25 An audit committee is a committee with responsibility for audit-related matters.

Which **one** of the following could be members of an effective audit committee?

A Executive directors only

B Non-executive directors only

C Non-executive directors and internal auditors

D Non-executive directors and external auditors

LO 2b

26 ISA (UK) 315 (Revised), *Identifying and Assessing the Risks of Material* states that a system of internal control in an organisation consists of five components: (i) Control environment; (ii) The entity's risk assessment process; (iii) The entity's process to monitor the system of internal control; (iv) The information system and communication; and (v) Control activities.

For each of the following examples, select which component is illustrated.

The entity's organisational structure

A Control environment

B Control activities

C The entity's process to monitor the system of internal control

Review by management of monthly bank reconciliations

D Control environment

E Control activities

F The entity's process to monitor the system of internal control

LO 2d

27 The following are examples of internal controls which operate at Fairweather plc.

In each example select which control activity is illustrated.

The financial accountant signs the bank reconciliation, which was prepared by a member of their staff.

A Authorisation and approval

B Verification

The finance director compares monthly expenditure on consumables to budgeted expenditure.

C Authorisation and approval

D Verification

LO 2e

28 Most entities make use of IT systems for financial reporting and operational purposes. Controls operating in an IT environment can be split into general IT controls and information processing controls.

Which **one** of the following is an information processing control?

A Use of passwords

B Testing of new systems

C Authorisation of data for input

D Disaster recovery plan

LO 2e

29 Which **two** of the following reduce password effectiveness?

A Frequent changes of passwords

B User selection of passwords

C Automatic disconnection after failed attempts to access system

D Disciplinary offence if passwords revealed

E Displaying the password on screen

LO 2f

30 ISA (UK) 315 (Revised) *Identifying and Assessing the Risks of Material Misstatement* states that a system of internal control in an organisation consists of five components: (i) Control environment; (ii) The entity's risk assessment process; (iii) The entity's process to monitor the system of internal control; (iv) The information system and communication; and (v) Control activities.

For each of the following examples, select which component is illustrated.

The entity's internal audit function

A Control environment

B Control activities

C The entity's process to monitor the system of internal control

The audit committee

D Control environment

E Control activities

F The entity's process to monitor the system of internal control

LO 2d

31 For each of the following internal controls, which is the principal limitation?

The preparation of an accounts payable reconciliation

A Human error

B Collusion

Authorisation of new starters in a wages system in which duties are segregated

C Human error

D Collusion

LO 2f

32 For each of the following statements about audit committees, select whether the statement is true or false.

Audit committees are responsible for recommending the appointment of the external auditor.

A True

B False

One of the roles of the audit committee is to review the integrity of formal announcements relating to the company's performance.

C True

D False

LO 2b

33 Which **two** of the following are controls over input completeness?

A Document counts

B Manual check to ensure input was by authorised personnel

C Screen warning to prevent logout before processing is complete

D Programmed matching of input to an expected input control file

LO 2e

34 For each of the following internal controls, select whether a preventive or a detective control is being described.

Segregation of duties between raising and authorisation of purchase orders

A Preventive

B Detective

Monthly reconciliation of payables ledger with supplier statements

C Preventive

D Detective

Restricting users to read-only access of key folders on internal network

E Preventive

F Detective

LO 2e

35 The following are examples of computer controls which operate at Mesa plc.

For each example, select the type of computer control which it illustrates.

Approval of new applications by a sample of users and by management

A General IT

B Information processing

Virus checks on software on employees' computers

C General IT

D Information processing

A check that all data entered in a field contains the correct number of digits

E General IT

F Information processing

LO 2e

36 The auditor of Nile plc enquired about a low sales figure for December when carrying out an analytical review at the planning stage. In previous years December has typically been the month with the highest sales value. Nile sells a range of products, and all sales are made online through its website.

The directors explained that this was due to a cyberattack where a third party had deliberately overloaded the website and underlying servers preventing legitimate customers from purchasing online for a period during December.

Which **one** of the following best describes the method of cyberattack at Nile?

A A virus

B Denial of service

C Spyware

D Fraud

LO 2f

37 It has become increasingly clear in recent years that cybersecurity is a major issue for most organisations.

For each of the following statements, select whether they are true or false in respect of cyberattacks and cybersecurity.

Audit committees are responsible for putting in place adequate provisions to safeguard the organisation against cyberattacks.

A True

B False

Organisational structures should define responsibility and accountability for cybersecurity.

C True

D False

It is generally easier for smaller organisations to introduce controls to mitigate the risks of cyberattacks than it is for larger organisations.

E True

F False

LO 2f

Chapter 6: Revenue system

1 Which **three** of the following are risks associated with the sales system?

A Orders may be taken from customers who are not able to pay.

B Goods may be despatched but not invoiced.

C The full credit period offered might not be taken.

D Money might be received at the premises but not banked.

LO 2c

2 Which **two** of the following controls best mitigate the risk that customers might not be able to pay?

A Authorisation of credit terms to customers

B Obtaining customers' signatures on delivery documentation

C Regular preparation of trade receivables statements

D Checking the ageing of the current receivables ledger balance before accepting orders

LO 2f

3 The following describes the processes which make up the sales system in operation at Sheraton and Co.

For each process, select whether it represents a strength or a deficiency of the system.

Orders are placed by telephone. When a call is received, the person receiving the order checks the customer's credit status and that the customer's current balance is below the maximum level, checks that the item is in inventory, and then immediately inputs the order into the system.

A Strength

B Deficiency

The order automatically generates a message to the distribution centre which despatches the goods and to the accounts department, which immediately raises an invoice and sends it to the customer.

C Strength

D Deficiency

Customer queries are dealt with by reception staff.

E Strength

F Deficiency

LO 2g

4 Select whether each of the following statements is true or false.

In the sales system, the following duties should be segregated:

Recording sales and access to remittances from customers

A True

B False

Credit control and invoicing

C True

D False

LO 2b

5 The external auditor at Reading Ltd has identified the following deficiencies within that organisation's sales system.

For each deficiency, select the most likely consequence which might arise as a result of that deficiency.

Overdue accounts are not followed up.

A Invoiced sales might not be properly recorded.

B Credit notes might not be properly recorded.

C Debts might be included on the receivables ledger that are not collectable.

Invoices are not in numerical sequence.

D Invoiced sales might not be properly recorded.

E Credit notes might not be properly recorded.

F Debts might be included on the receivables ledger that are not collectable.

LO 2f/g

6 Which **two** of the following are risks associated with the sales system?

A Orders may be taken from customers who are not able to pay.

B Invoices may be cancelled by valid credit notes.

C Goods may be received but not invoiced.

D Sales might be recorded in the wrong customer accounts.

LO 2c

7 Bourne Ltd operates a number of control procedures in its sales system.

Assuming that all controls are operating effectively, which **one** of the following control procedures is **most** likely to ensure that customers are invoiced for goods despatched?

A Use of pre-printed sequentially numbered sales order documentation

B Matching of sales orders with despatch records

C Matching of despatch records with sales invoices

D Requiring customers to sign for goods received

LO 2f

8 The following deficiencies have been identified in two separate sales systems.

For each deficiency, select the most likely consequence which might arise as a result of that deficiency.

Despatch documentation is not sequentially pre-numbered.

A Sales may be made to customers who cannot pay.

B Invoices may not be raised for all goods despatched.

C Customers may not pay promptly.

Customers are not required to evidence receipt of goods.

D Sales may be made to customers who cannot pay.

E Invoices may not be raised for all goods despatched.

F Customers may not pay promptly.

LO 2f/g

9 Which **two** of the following are objectives of the sales ordering part of the sales system?

A Sales are only made to creditworthy customers.

B Goods are correctly invoiced.

C Cut-off is correct.

D Orders can be fulfilled.

LO 2c

10 The following describes processes which make up the sales system at Raffles Ltd.

For each process, select whether it represents a strength or a deficiency of the system.

Orders are placed by telephone. On receipt of a call, following credit checks and checks of the inventory level, the order is immediately entered onto the system.

A Strength

B Deficiency

The order generates a despatch record which is sent to the warehouse, and an invoice which is sent to accounts receivable. Goods in inventory are despatched immediately and the despatch record is amended manually for unavailable goods.

C Strength

D Deficiency

A copy of any despatch records with incomplete orders is placed in an 'unfulfilled orders' file. This file is reviewed daily and the order filled as soon as inventory is available.

E Strength

F Deficiency

LO 2g

11 Which **one** of the following is a control objective relating to the sales system?

A Credit notes are only issued for valid reasons.

B Sales invoices are checked to goods despatched records by accounts staff.

C Customer accounts are scrutinised to see if credit limits have been observed.

D Orders are made only to authorised suppliers.

LO 2e

12 Which **one** of the following controls would provide the most positive assurance regarding the completeness of the sales figure recorded in the financial statements of a manufacturing company?

A Segregation of duties between the preparation of goods despatched records and the preparation of the sales invoices.

B The issue of pre-numbered sales invoices for every sales transaction and internal checking for completion of processing.

C The use of a pre-numbered goods despatched record for every sales transaction and internal checking for completeness of processing.

D Authorisation of all sales invoices by the sales manager before processing.

LO 2g

13 Which **one** of the following populations should the auditor start from when testing for the completeness of reported sales of a manufacturing company?

A Sales receipts

B Sales invoices

C Goods despatch records

D Receipts from customers

LO 2d/f

14 Which **one** of the following is a control objective relating to the revenue system?

A Credit notes are only issued for valid reasons.

B Sales invoices are checked to Goods Despatched Notes by accounts staff.

C Customer accounts are scrutinised to determine whether credit limits have been observed.

D Orders are made only from authorised suppliers .

LO 2e

15 Which **one** of the following controls would provide the most assurance regarding the completeness of the revenue figure in the financial statements of a manufacturing company?

A Segregation of duties between the preparation of goods despatched notes and the preparation of the sales invoices

B The issue of pre-numbered sales invoices for every sales transaction and internal checking for completion of processing

C The use of a pre-numbered goods despatched note for every sales transaction and internal checking for completeness of processing

D Authorisation of all sales invoices by the sales manager prior to processing

LO 2g

16 Which **two** of the following are risks directly associated with recording in the revenue system?

A Sales are included in the wrong customer accounts.

B Goods are recorded incorrectly.

C Goods may be despatched but not invoiced for.

D Credit notes might not be properly recorded.

LO 2c

Chapter 7: Purchases system

1 For each of the following examples, select the type of control activity which it represents.

Monthly management accounts are compared to budget and differences investigated.

A Authorisation and approval

B Reconciliations

C Verifications

Numerical sequence checks are undertaken on goods received records.

D Authorisation and approval

E Reconciliations

F Physical or logical

LO 2e

2 The auditor of Twickenham Ltd has identified the following deficiencies within that organisation's accounting system.

For each deficiency, select the most likely consequence which might arise as a result of that deficiency.

Goods inwards are not checked.

A Accepting inferior quality goods.

B False invoices could be paid.

C Services received are not accurately recorded.

Invoices are not checked to original orders.

D Accepting inferior quality goods.

E False invoices could be paid.

F Services received are not accurately recorded.

LO 2f/g

3 The following describes processes which make up the purchases system at Hawthorns and Co.

For each process, select whether it represents a strength or a deficiency of the system.

Orders are placed by department heads, usually by telephone, when they determine a service is required.

A Strength

B Deficiency

Invoices for services are checked against the service provider's proof of delivery of service, which is requested from every service provider.

C Strength

D Deficiency

Payments are made by direct transfer. The direct transfer list is authorised by the financial controller, who checks the payments to supporting documents, such as the invoice or service agreement.

E Strength

F Deficiency

LO 2g

4 Redesign Ltd is a large property management company which makes use of the services of many different contractors for building, design and decorating services.

Which **two** of the following internal controls are most likely to **prevent** services being used for the private purposes of employees?

A Purchase orders are processed by the buying department following authorisation by the production director.

B Purchase requisitions must be signed by two team members for any given project.

C Purchase orders should only be placed with authorised contractors.

D Purchase invoices are matched to authorised purchase orders.

LO 2f

5 The organisational structure at Molyneux Ltd is as follows.

The production department is headed by Jack Frost, whose deputy is Tiny Tim. Jack Frost reports to the managing director, Nicholas Clause. There are several other departments (sales and marketing, accounting, purchasing, human resources and internal audit).

Which **one** of the following statements reflects the ideal situation with regard to purchase ordering?

A Jack Frost and Tiny Tim should make purchase orders as production needs dictate.

B Jack Frost should make purchase orders, although Tiny Tim could make requisitions as production needs dictate.

C Jack Frost and Tiny Tim should requisition materials as production needs dictate, but orders should be placed by the purchasing department, having been authorised by the purchasing director.

D Jack Frost and Tiny Tim should requisition materials as production needs dictate, but orders should be placed by the purchasing department, having been authorised by Nicholas Clause.

LO 2g

6 Grey Ltd has recently discovered that it has been paying invoices in respect of goods which had been returned as faulty before acceptance. It is company policy to record goods only if they have been accepted.

Which **one** of the following controls would have prevented this from occurring?

A Matching of purchase invoices with goods received records

B Matching of purchase invoices with orders

C Comparison of supplier statements with payables ledger accounts

D Date stamping purchase invoices on receipt

LO 2f

7 The following are examples of deficiencies in the purchases system of Burns Ltd.

For each example, select the type of control activity which would improve the system.

Purchases have been made from suppliers not included on the approved list.

A Authorisation and approval

B Physical or logical controls

There have been increasing levels of theft from the main distribution centre.

C Authorisation and approval

D Physical controls

LO 2f

8 The auditor has identified the following deficiencies within Rainer Ltd's accounting system.

For each deficiency, select the **most likely** consequence which might arise as a result of that deficiency.

Purchase of goods from unauthorised suppliers

A Payment to fictitious suppliers

B Purchase of inferior goods

C Prompt payment discounts not obtained

Purchase ledger clerks permitted to amend standing data on the payables master file

D Payment to fictitious suppliers

E Purchase of inferior goods

F Prompt payment discounts not obtained

LO 2f/g

9 Which **three** of the following are control activities relating to the purchases system?

A All orders are authorised by a senior staff member.

B Blank order forms are kept in a secure location with restricted access.

C All goods and services received are accurately recorded.

D Order forms are sequentially pre-numbered.

LO 2g

10 The following describes processes in the purchases system at Woggle Ltd.

For each process, select whether it represents a strength or a deficiency of the system.

New inventory is ordered over the telephone by the company buyer, who initiates orders herself and maintains a record of telephone orders.

A Strength

B Deficiency

When goods are subsequently received, the buyer has sole responsibility for checking the quantity of goods received to the record of telephone orders.

C Strength

D Deficiency

Invoices from suppliers are sent to the buyer for authorisation, before being forwarded to the Accounts Department for entry into the accounting records and subsequent payment.

E Strength

F Deficiency

LO 2g

11 Deficiencies have been identified in the following areas of Pogo Ltd's purchases system.

For each deficiency, select the risk which is **most likely** to arise.

A lack of segregation of duties in relation to the ordering process

A Unauthorised purchases may be made for personal use.

B The company may not take advantage of the full period of credit extended.

Records of goods received are not kept.

C Goods may be misappropriated for private use.

D Goods and services might not be obtained on the most advantageous terms.

The payment listing produced by the accounting system is only read by the payments clerk.

E Invoices may not be recorded resulting in non-payment.

F Invoices are paid at the wrong time.

LO 2f

12 Deficiencies have been identified in the following areas of Loot Ltd's purchases system.

For each deficiency, select the risk which arises **most immediately**.

Comparisons are not made of goods received notes with purchase orders.

A Unauthorised purchases may be made for personal use.

B Entries to the payables ledger are not made to the correct accounts.

Supplier terms are not regularly monitored.

C Goods and services may be obtained from unauthorised suppliers.

D Goods and services may not be obtained on the most advantageous terms.

Pre-numbered goods received notes are not used to record the arrival and acceptance of goods.

E Goods and services received may not be accurately recorded.

F Goods and services received may not result in liabilities being recorded correctly.

LO 2f

13 The following are descriptions of processes in the purchases system at Pontipines plc.

For each process, select whether it represents a strength or a deficiency of the system.

Blank order forms are readily available from a tray in the finance department.

A Strength

B Deficiency

Buyers have a free choice of suppliers, in order to obtain the best terms.

C Strength

D Deficiency

Order forms are prepared only when a pre-numbered purchase requisition has been received.

E Strength

F Deficiency

LO 2g

14 Which **two** of the following describe control activities in the purchases system of Wottinger Ltd?

A A purchase ledger clerk checks all supplier invoices against the order and the goods received record.

B All orders for goods and services are properly authorised and duly processed.

C All goods and services received are accurately recorded.

D All purchase order forms are sequentially pre-numbered.

LO 2g

Chapter 8: Employee costs

1 Hire Company Ltd uses a lot of temporary employees.

Which **one** of the following controls would **best ensure** that employees are only paid for work they have performed?

A Temporary staff records should be maintained for each member of temporary staff.

B Temporary staff should complete work schedules, authorised by their supervisor.

C Temporary staff pay should be authorised by the human resources manager.

D Temporary staff should be paid by direct transfers to their bank accounts.

LO 2f

2 Tulips Ltd has a number of staff on maternity leave claiming statutory maternity pay.

Which **three** of the following controls would **best ensure** that the correct payments are made to employees?

A The payroll should be checked back to individual employee personnel records.

B Payroll totals should be compared to adjusted budgets on a monthly basis.

C Total tax deductions should be reconciled with tax returns.

D BACS transfer lists should be authorised by the head of personnel.

LO 2f

3 For each of the following statements, select whether they are true or false in respect of internal controls over payroll.

Requiring employees to clock in and out of work helps to ensure that they are paid at the correct rate.

A True

B False

Reviewing wages paid against wages budgeted helps to ensure that employees are being paid the correct amounts.

C True

D False

Changes in pay rates should be authorised by senior management.

E True

F False

LO 2f

4 Stamford plc employs a number of trainee staff, at six monthly intervals. All trainees must complete a probationary period of six months before progressing to the next level of traineeship. The accountant providing assurance on the efficiency of the operation of controls has identified the following deficiencies within Stamford Ltd's payroll system.

For each deficiency, select the **most likely** consequence which might arise as a result of that deficiency.

Employees are not given a personnel file until they have completed their six-month probationary period.

A Employees may be paid the wrong amounts

B The computerised payroll may contain miscalculations

Many employees work overtime but there is no system for authorising the levels of overtime claimed.

C Employees may be paid the wrong amounts.

D The computerised payroll may contain miscalculations.

LO 2f/g

5 The following describes the processes in the payroll system at Wembley Ltd.

For each process, select whether it represents a strength or a deficiency of the system.

Employees are given individual security codes to punch into the main door keypad. This keypad also monitors the hours worked by employees, a sample of which are checked against data from headcounts during the day.

A Strength

B Deficiency

The payroll is prepared by a payroll clerk from hours worked information on a standard payroll IT package. The payroll is checked to individual records automatically by the system. The payroll is approved by the financial controller.

C Strength

D Deficiency

Wages are paid by bank transfer, which is authorised by the financial controller.

E Strength

F Deficiency

LO 2g

6 Workworld Ltd has a computerised payroll system. All employees are paid by BACS directly into their bank account.

Which **two** of the following controls will be most effective at ensuring that payment is made to the correct employee?

A Authorisation of overtime worked

B A sample of calculations performed by the payroll package are manually reperformed each month

C The BACS list is reviewed by the chief accountant together with supporting payroll documentation

D The print out from the bank is agreed to the BACS list and any discrepancies investigated

LO 2f

7 Which **two** of the following features in the payroll system of Tyne plc could result in the employee costs figure in the financial statements being misstated?

A Rates of pay are negotiated at a local level; there is no central control.

B The payroll clerk can amend standing data on the payroll system without authorisation from a senior member of staff.

C Personnel records are not kept up to date.

D The payroll department receives confirmation of new employees in writing.

LO 2g

8 For each of the following statements about internal controls over payroll, select whether they are true or false.

The payroll should be checked back to individual employee personnel records on a regular basis.

A True

B False

Leavers and joiners should be authorised by a senior member of staff.

C True

D False

Reperformance of calculations is unnecessary where the payroll system is computerised.

E True

F False

LO 2f

9 Spoon Ltd is a company that is expanding rapidly and is regularly taking on new employees. The payroll is processed in-house in the accounts department using a PC. The financial controller is worried that fictitious employees could be included on the payroll by a dishonest employee from the accounts department.

Which **one** of the following internal controls is most likely to **prevent** fictitious employees from being added to the payroll?

A Payroll standing data periodically printed out and checked on a line-by-line basis to independently held employee details

B Use of hierarchical passwords over standing data files

C Pre-authorisation of all amendments to payroll standing data by an independent official

D Supervision of the wages payout by an independent official

LO 2f

10 Which **two** of the following control procedures will reduce the risk of unauthorised disclosure of payroll data?

A Exception reporting of high amounts of net pay

B Access controls

C Back-up procedures

D Encryption of data

E Independent review of payroll

LO 2f

11 Deficiencies have been identified in the following areas of a company's wages system.

For each deficiency, select the risk which is most likely to arise.

Details of wages are not regularly checked to the personnel file.

A Pay might not be recorded correctly in the general ledger

B The company may pay employees who have left

Regular reconciliations of the payroll to timesheets are not performed.

C Pay might not be recorded correctly in the general ledger

D The various elements of pay might not be calculated correctly

Regular reconciliations of the wages and salaries control account are not performed.

E Payments might be made incorrectly

F The various elements of pay might not be calculated correctly

LO 2f

12 For each of the following statements about internal controls over payroll, select whether each is true or false.

The payroll master file should contain details of the employee's cumulative statutory deductions to date.

A True

B False

Reviewing changes to statutory deductions helps to ensure that changes to the calculation of gross pay are processed correctly.

C True

D False

Reviewing wages paid against budgets and timesheets helps to ensure that employees are only paid for the work that they have done.

E True

F False

LO 2f

13 Which **two** of the following control activities will reduce the risk that the different elements of pay might not be recorded correctly in the payroll?

A One for one checking of payroll details back to independently maintained personnel records

B Segregation of duties throughout the payroll department

C Reconciliation of total pay and deductions between one pay day and the next

D Encryption of data

LO 2f

14 Deficiencies have been identified in the following areas of a company's wages system.

For each deficiency, select the risk which is most likely to arise.

No central records are kept of changes in personnel and pay rates.

A Pay might not be recorded correctly in the general ledger

B The company may pay employees who have left

There are no procedures for dealing with non-routine matters.

C Pay might not be recorded correctly in the general ledger

D The company may pay employees who have left

There is no segregation of duties between the preparation and the authorisation of the payroll.

E Pay might not be recorded correctly in the general ledger

F The company may pay employees who have left

LO 2f

Chapter 9: Internal audit

1 The scope and objectives of the internal audit function vary widely and depend on the size and structure of the entity and the requirements of its management.

Which **two** of the following functions could internal audit perform and still operate effectively?

A Examination of financial and operating information

B Review of the company's compliance with laws and regulations

C Authorisation of unusual transactions

D Development of internal control systems

LO 2h

2 Which **two** of the following roles could internal audit carry out in respect of risk management and still operate effectively?

A Monitoring the company's overall risk strategy

B Designing an internal control system in a production department

C Testing internal controls in the purchasing department

D Implementing internal controls in the sales department

LO 2h

3 Which **three** of the following roles could the internal audit function take on to help the board in its management of the company and still operate effectively?

A Carrying out the statutory audit

B Giving expert advice on technical accounting matters

C Liaising with the external auditors

D Auditing board reports not audited by the external auditors

LO 2h

4 Internal audit helps in achieving corporate objectives.

For each of the following statements, select whether or not they are true or false.

Having an internal audit function is a requirement of the UK Corporate Governance Code.

A True

B False

Internal audit can be seen as an internal control in a company.

C True

D False

Internal auditors should not get involved in operational matters.

E True

F False

LO 2h

5 For each of the following statements, concerning internal audit, select whether they are true or false.

Internal audit can never be independent of those on whom they are reporting, because they are employees of the company.

A True

B False

The UK Corporate Governance Code requires all listed companies in the UK to have an internal audit function.

C True

D False

Internal audit focuses on the efficiency and effectiveness of a company's operations by testing its internal controls. They do not carry out substantive testing.

E True

F False

LO 2h

6 Hiltson Hotels is a global group of hotels. The parent company, Hiltson Holdings plc, employs an internal audit function which carries out audits and investigations on the individual hotels in the group.

Which **two** of the following could the internal audit function carry out and still operate effectively?

A Secondment to the accounts department of the Singapore Hiltson to cover the maternity leave of the financial controller

B Special investigation into the profits of the New York Hiltson where the group directors suspect a fraud may have been carried out

C Tests of the controls at the Edinburgh Hiltson as part of a routine internal audit cycle

D Identification of risks at the proposed Nairobi Hiltson, which is due to open in nine months' time

LO 2h

7 Many of the procedures undertaken by the internal auditor are very similar to those performed by the external auditor.

Which **three** of the following may be performed by the internal auditor if they are to operate effectively?

A Monitoring of internal controls

B Making recommendations regarding improvements to controls

C Examining and testing financial information

D Expressing an opinion on the truth and fairness of the financial statements

LO 2h

8 Which **one** of the following best describes the term 'operational audit'?

A Any audit performed by the internal auditor

B An audit of the operational processes of the organisation

C An audit performed by the operations director

D A statutory audit

LO 2h

9 To which **two** of the following parties would the internal auditor report?

A Board of directors

B Shareholders

C Audit committee

D External auditors

LO 2h

10 Which **three** of the following activities would typically be performed by **both** the internal and external auditor?

A Review of compliance with laws and regulations

B Assessment of the effectiveness of internal controls

C Review of the efficiency of operations

D Carrying out tests of details on transactions and balances

LO 2h

11 The scope and objectives of the internal audit function vary widely and depend on the size and structure of the entity and the requirements of its management.

Which **three** of the following functions could internal audit perform and still operate effectively?

A Examination of financial and operational information for management

B Authorisation of transactions in excess of limits set by management

C Review of accounting systems and related controls

D Advising management on cost-effective controls for systems and activities

E Routinely preparing bank reconciliations

LO 2h

12 There are many similarities between the internal auditor and the external auditor. However, there are some crucial differences that are important to note.

Which **two** of the following usually only relate to the internal auditor?

A They provide an opinion on the financial statements.

B Their work is focused on the operations of the entire business.

C The role can be carried out by employees of the entity.

D They are appointed by the shareholders of an entity.

LO 2h

Chapter 10: Documentation

1 Which **three** of the following are reasons why assurance providers record their work?

A To confirm the terms of the engagement

B To help the assurance team to plan and perform the engagement

C To retain a record of matters of continuing significance to the engagement

D To enable an experienced assurance provider to carry out quality reviews

LO 3a

2 Which **three** of the following should working papers show?

A The name of the client

B The date the work was planned

C The date the work was carried out

D The date the work was reviewed

E The initials of the person supervising the work

LO 3a

3 Which **two** of the following are likely to be kept on a permanent audit file?

A Engagement letter

B Planning memorandum

C Review notes

D Previous year's signed financial statements

E Current year's draft financial statements

LO 3a

4 Many auditors use two types of audit file: a current audit file and a permanent audit file.

For each of the following documents, select whether it is most likely to be included in the current audit file, permanent audit file or in both.

Engagement letter

A Current audit file

B Permanent audit file

C Both

Audit plan

D Current audit file

E Permanent audit file

F Both

Manager review notes

G Current audit file

H Permanent audit file

I Both

LO 3a

5 Which **three** of the following documents would be held on a current audit file?

A Details of the history of the client's business

B Communications with experts

C Audit file review notes

D Copies of management accounts

E Lease agreements

LO 3a

6 For each of the following statements, select whether they are true or false.

Working papers should be stored in locked premises.

A True

B False

An auditor can destroy the audit plan relating to Jacobs Ltd for the year ended 30 June 20X3 in 20Y0.

C True

D False

Working papers belong to the client and may be stored at their premises.

E True

F False

LO 3a

7 For each of the following, select whether or not they are valid reasons for preparing audit working papers.

To help the audit team to plan and perform the audit

A Valid

B Not valid

To enable the auditor to charge a higher fee

C Valid

D Not valid

To prove adherence to ISAs

E Valid

F Not valid

LO 3a

8 The assurance provider will prepare documentation in relation to the fieldwork carried out on an assurance engagement.

For each of the following, select whether or not they are valid reasons for the preparation of such documentation.

To help in establishing this year's overall audit strategy

A Valid

B Not valid

To help in this year's review process

C Valid

D Not valid

To provide a record of evidence gathered to support the conclusions reached

E Valid

F Not valid

LO 3a

9 Which **three** of the following are advantages of automated working papers?

A They may result in substantial time-savings.

B The risk of errors is reduced.

C The auditor does not need to apply judgement in assessing the results.

D They will be easier to review.

LO 3a

10 Which **one** of the following statements is correct in respect of the minimum period, as required by ICAEW, for which audit working papers must be retained by the auditor?

A Five years from the date of completion of the audit work

B Six years from the date of the auditor's report

C Six years from the end of the accounting period to which they relate

D Five years from the date of approval of the financial statements by the shareholders

LO 3a

11 Which **one** of the following statements is correct in respect of the safe custody of audit documentation?

A While audit documentation is held on the client's premises it is the responsibility of the client to ensure its safe custody.

B The auditor need only ensure the safe custody of audit documentation for the duration of the audit.

C The auditor must ensure the safe custody of audit documentation for at least six years from the end of the accounting period to which it relates.

D All audit documentation must be destroyed within five years of the end of the accounting period to which it relates.

LO 3a

12 The auditor may choose to include a number of items within their working papers.

For each of the following statements, select whether they are true or false.

Auditors may include a summary of all significant matters arising during the audit and how they were addressed.

A True

B False

In cases where significant judgement is required, the auditor can choose to delay the preparation of working papers in order to allow for suitable reflection.

C True

D False

Audit working papers will record matters of continuing significance to future audits.

E True

F False

LO 3a

Chapter 11: Evidence and sampling

1 Which **two** of the following statements are correct?

A Inspection of assets confirms rights and obligations

B Inspection of a purchase invoice confirms the cost of inventory

C Observation gives strong ongoing evidence of the matter being observed

D Inquiry of third parties gives better evidence than inquiries of entity insiders

LO 3d

2 In which **three** of the following situations could audit software appropriately be used?

A When checking calculations on a selection of invoices

B When extracting a sample of invoices over a certain value

C When extracting all invoices to specific customers

D When testing controls over invoice processing

LO 3d

3 Which **three** of the following statements are correct?

When using analytical procedures, assurance providers should:

A consider whether the information they might require will be available.

B consider the knowledge gained during previous assurance engagements.

C consider the source of the information and whether it is reliable.

D not use information that has been internally generated at the entity.

LO 3e

4 Which **one** of the following procedures would be the **most** appropriate for verifying the interest accrued on borrowings?

A Confirming the interest rate with the lender

B Vouching to the interest paid

C Testing internal controls over cash payments

D Recalculating the interest accrued on the basis of outstanding amount, interest rate and period to which it relates

LO 3d

5 Which **two** of the following statements are correct?

A When testing for overstatement, the assurance provider will test items from the accounting records to the supporting documents.

B When testing for understatement, the assurance provider will test items from the accounting records to the supporting documents.

C When testing for overstatement, the assurance provider will select items from outside the accounting records and trace to the records.

D When testing for understatement, the assurance provider will select items from outside the accounting records and trace to the records.

LO 3f

6 Which **two** of the following are factors that an assurance provider should take into account when determining the sample size for a test of details?

A The time available to complete the test

B The skill of the team member assigned to carry out the test

C A decrease in the assurance provider's assessment of the risk of material misstatement

D An increase in the level of expected misstatement

LO 3g

7 The assurance provider is using statistical sampling.

Which **three** of the following methods would be most appropriate to use to select a sample of accounts receivable?

A Random selection

B Systematic selection

C Haphazard selection

D Sequence selection

E Monetary unit selection

LO 3d

8 Assurance providers obtain evidence using procedures set out in ISA (UK) 500. For each of the following tests, select the type of procedure which is being used.

The assurance provider writes to a sample of customers asking them to inform him of the balance they owe the company at the year end.

A Inspection

B Observation

C Confirmation

The assurance provider looks at a share certificate to confirm that the company has an investment in Company A.

D Inspection

E Observation

F Confirmation

The assurance provider attends the inventory count and ensures that it is being carried out in accordance with the issued instructions.

G Inspection

H Observation

I Confirmation

LO 3f

9 For each of the following statements concerning computer–assisted audit techniques (CAATs), select whether they are true or false.

CAATs can be used to perform the assurance procedure of 'reperformance'.

A True

B False

Test data can be used to ensure that controls in the client's system are operating as the assurance provider expects them to.

C True

D False

Audit software makes use of the client's specialised software to run audit procedures.

E True

F False

LO 3b

10 In respect of an assurance engagement, which **one** of the following is the **least** persuasive method of gathering evidence?

A Inspection of a supplier's invoice

B Reperformance of a client's supplier statement reconciliation

C Reperformance of a depreciation calculation

D Inspection of a sales invoice

LO 3e

11 When determining a sample size for tests of controls, there are a number of factors which an auditor should take into account.

For each of the following factors, select whether it would cause the sample size to increase, decrease, or to have negligible effect.

An increase in tolerable misstatement

A Increase

B Decrease

C Negligible effect

An increase in the number of invoices in the population

D Increase

E Decrease

F Negligible effect

A decrease in the auditor's required confidence level

G Increase

H Decrease

I Negligible effect

LO 3g

12 Which **two** of the following statements are correct regarding factors which influence sample sizes for tests of controls?

A An increase in the number of sampling units within the population will increase the sample size.

B A decrease in the expected misstatement will decrease the sample size.

C A decrease in the tolerable misstatement will decrease the sample size.

D An increase in the extent to which the risk of material misstatement is reduced by the operating effectiveness of controls will decrease the sample size.

LO 3g

13 For each of the following statements, select whether they are true or false in respect of procedures to obtain evidence.

Physical examination of property, plant and equipment confirms ownership.

A True

B False

Recalculation is a strong form of evidence as it is created by the assurance provider.

C True

D False

Inquiry is always an unreliable means of obtaining evidence.

E True

F False

LO 3d

14 For each of the following pieces of evidence, select whether it is more reliable or less reliable than the piece of evidence it is paired with.

A sales invoice is more reliable/less reliable than a purchase invoice.

A More reliable

B Less reliable

An original copy of a lease agreement is more reliable/less reliable than a photocopy.

C More reliable

D Less reliable

A bank statement is more reliable/less reliable than the cash at bank nominal ledger account.

E More reliable

F Less reliable

LO 3e

15 All methods of obtaining evidence have deficiencies. Examples of these are listed below.

For each deficiency, select the method of obtaining evidence which is most likely to result in that deficiency.

Limited to the point in time it takes place

A Performing analytical procedures

B Observation of a procedure

Limited by the underlying accounting system

C Performing analytical procedures

D Observation of a procedure

A balance which is overstated may be agreed because it favours the respondent

E Direct confirmation of a receivables balance

F Direct confirmation of a payables balance

LO 3c

16 In accordance with ISA (UK) 315, (Revised) *Identifying and Assessing the Risks of Material Misstatement* and ISA (UK) 520, *Analytical Procedures*, select whether analytical procedures are compulsory or optional in each of the following circumstances.

At the risk assessment stage of the audit

A Compulsory

B Optional

As a substantive procedure

C Compulsory

D Optional

At the overall review stage of the audit

E Compulsory

F Optional

LO 3d

17 Which **two** of the following circumstances would **reduce** the reliability of the results of analytical procedures?

A Detailed information is available analysed by department

B Budgeted figures in the past have proved to be highly optimistic

C Reliable industry data are available

D Significant deficiencies in the internal control system have been identified in the past

LO 3e

18 Which **two** of the following procedures describe tests for understatement?

A Selecting a sample of despatch records and tracing these to a matching sales invoice and entry in the sales account

B Selecting a sample of sales invoices and tracing these to a matching despatch record

C Selecting a sample of items of plant physically verified by the assurance provider and tracing these to an entry in the asset register

D Selecting a sample of items of plant from the asset register and physically verifying their existence

LO 3f

19 The auditor of Frost Ltd has carried out a test on a sample of receivables and has discovered a higher than expected number of misstatements.

Which **three** of the following steps would be an appropriate response to this?

A Investigate the nature and cause of the misstatements

B Consider the effect of the misstatements on other parts of the audit

C Estimate the probable overall misstatement by extrapolating the results

D Increase the tolerable misstatement

LO 3g

20 When determining a sample size for tests of details there are a number of factors which an auditor should take into account.

For each of the following factors, select whether it would cause the sample size to increase or to decrease.

An increase in the auditor's assessment of the risk of material misstatement

A Increase

B Decrease

An increase in the use of analytical procedures to test the same assertion

C Increase

D Decrease

An increase in the level of misstatements that the auditor expects to find when testing the assertion

E Increase

F Decrease

LO 3g

21 For each of the following statements, select whether they are true or false in respect of test data.

Test data is a type of substantive procedure.

A True

B False

Test data can include real data and dummy data.

C True

D False

Test data can be used to help in the calculation of ratios.

E True

F False

LO 3b

22 Which **one** of the following is the definition of an anomaly?

A A misstatement or deviation that is demonstrably not representative of misstatements or deviations in a population

B The misstatement that the auditor expects to be present in the population

C Control deviations, when performing tests of control, or misstatements, when performing substantive procedures

D The maximum misstatement in the population that the auditor would be willing to accept

LO 3g

23 For each of the following descriptions, select whether they describe monetary unit sampling, block selection or systematic selection.

Peter is auditing trade accounts receivable. Materiality is £25,000. The sample is selected on the basis of choosing the balances containing each 25,000th £1 on a cumulative basis.

A Monetary unit sampling

B Block selection

C Systematic selection

Paula is checking whether purchase invoices have been authorised for payment. She has selected all the November purchase invoices as her sample and has reviewed them for an authorisation signature.

D Monetary unit sampling

E Block selection

F Systematic selection

LO 3d

24 In order to gather sufficient, appropriate evidence, the auditor may make use of external confirmation requests.

For each of the following statements with regards to external confirmation requests, select whether it is true or false.

A positive confirmation request always asks the respondents to reply to the auditor indicating whether or not they agree with the information provided.

A True

B False

A sample of confirmation requests drawn from the client's list of balances is more appropriate for receivables balances than for payables balances.

C True

D False

A positive confirmation request ordinarily provides more reliable audit evidence than a negative confirmation request.

E True

F False

LO 3c

25 Which **one** of the following procedures would provide the most reliable source of evidence where a company receives an invoice after the year end which relates to a period that straddles the year end?

A Confirming the purchase amount to a supplier statement at the year end

B Vouching the payment of the invoice

C Testing internal controls over accruals

D Recalculating the portion of the invoice amount which relates to the reporting period

LO 3d

26 For each of the procedures below, select the option which best describes the auditor's test when performing the procedure.

Reviewing post year-end invoices for amounts which relate to the reporting period

A Testing primarily for existence of accruals

B Testing primarily for completeness of accruals

Reviewing the payments made to suppliers after the year end

C Not a relevant procedure for payables

D Testing primarily for completeness of payables

The auditor calculating for herself the amount accrued where an invoice straddles the year end

E Testing primarily for cut-off of accruals

F Testing primarily for completeness of accruals

LO 3f

27 For each of the following statements about audit data analytics, select whether it is true or false.

Data analytics allows auditors to investigate complex data using simple visualisation techniques.

A True

B False

Significant time must be always spent tailoring data analytics procedures to the individual audit client to achieve good results.

C True

D False

Data analytics allows auditors to test large quantities of transactions very quickly.

E True

F False

LO 3b

28 Assurance providers obtain evidence using procedures, as set out in ISA (UK) 500, *Audit Evidence*.

For each of the following statements about specific audit procedures, select whether they are true or false.

When attempting to verify controls over petty cash, inquiry is likely to be strong evidence when assessing the risk of fraud from poor segregation of duties.

A True

B False

Recalculation of a depreciation expense by the auditor using the client's stated estimation techniques is regarded as strong audit evidence.

C True

D False

Observing an employee of the client re-performing a particular control is usually sufficient to determine that it is operating satisfactorily.

E True

F False

LO 3c

29 Which **one** of the following is **not** an example of a specific area where audit data analytics may now be used?

A Comparing entity data to externally obtained data

B Three-way matching between sales orders, goods despatched records and invoices

C Extracting samples of transactions for further examination

D Re-performing calculations relevant to the financial statements

LO 3b

30 ISA (UK) 450, *Evaluation of Misstatements Identified During the Audit* requires the auditor to evaluate the effect of any uncorrected misstatements on the financial statements. This includes determining whether any uncorrected misstatements are material.

Which **three** of the following factors will the auditor use to determine whether uncorrected misstatements are material?

A The materiality level for the financial statements as a whole

B The size of the misstatement

C The circumstances of the occurrence of the misstatement

D The nature of the misstatement

LO 3g

31 Ivan Johnson, an audit partner at Waffle LLP, is confused about the effects of remote working practices on the audit firm.

Which of the following is accurate in relation to the signing of the auditor's report?

A The auditor's report must be signed physically but may be published online.

B The auditor's report must be signed physically and may not be published online.

C The auditor's report may be signed electronically and may be published online.

D The auditor's report may be signed electronically but may not be published online.

LO 1h

Chapter 12: Written representations

1 According to ISA (UK) 580, *Written Representations* which **three** of the following is an auditor required to confirm in writing with management?

A Management's belief that it has fulfilled its responsibility for the preparation of financial statements.

B All transactions have been reflected in the financial statements.

C The fact that management has provided the auditor with all relevant information.

D Management's agreement of the level of materiality used during the audit.

LO 3h

2 According to ISA (UK) 580, *Written Representations* which **two** of the following must auditors obtain written representations about?

A Material matters where other evidence cannot reasonably be expected to exist

B Material matters where other evidence is missing due to an emergency such as a fire

C Management's belief that it has fulfilled its responsibility for the preparation of the financial statements

D That the financial statements record and reflect all transactions

LO 3h

3 For each of the following statements concerning written representations, select whether they are true or false.

The auditor should evaluate whether the representations appear reliable and are consistent with other evidence obtained before they are relied on as audit evidence.

A True

B False

Written representations are appropriate evidence when evidence the auditors expected to be available is unavailable.

C True

D False

If written representations given do not agree with other evidence, auditors should not trust any other representations made by management during the course of the audit.

E True

F False

LO 3h

4 Auditors seek written representations from management to support oral representations that have been made during the course of the audit.

For each of the following in relation to a statutory audit, select whether a written representation is required or not required.

The directors have fulfilled their responsibility for the preparation of the financial statements.

A Required

B Not required

The accounting policies selected and applied by management are appropriate.

C Required

D Not required

A material item, subject to management judgement, for which no other evidence could reasonably be expected to exist.

E Required

F Not required

LO 3h

5 Written representations may be sought as audit evidence.

Which **two** of the following are valid circumstances in which written representations may be required?

A To support other evidence about the suitability of accounting policies

B Where information which would normally be expected to be available is unavailable

C To support inspection of a board minute introducing the directors' intention to sell a material investment

D When the alternative audit procedure would be too time consuming

LO 3h

6 On which **two** of the following matters should an auditor seek written representations?

A Whether there are plans to abandon product lines that will result in obsolete inventory

B Whether plant and equipment held on the client's premises exists

C The existence (or not) of reconciling items between the cash balance in the accounts and the bank statement balance

D Whether there are any undisclosed subsequent events

LO 3h

7 For each of the following statements concerning written representation letters, select whether they are true or false.

Written confirmations are required from all client staff who have made oral representations.

A True

B False

The matters to be referred to in the written representation letter shall be discussed by the auditor with senior management.

C True

D False

Written representations can be used as a substitute for evidence which would be available to the auditor by other means.

E True

F False

LO 3h

8 Which **two** of the following are purposes of a written representation letter?

A Acknowledgement that management has fulfilled its responsibility for the preparation of the financial statements

B Provision of evidence in respect of material items where other evidence is available

C Acknowledgement by management of its belief that the aggregate of uncorrected misstatements is immaterial to the financial statements

D Confirmation by management of the scope of the work to be carried out by the assurance firm

E Provision of details of proposed modifications to the auditor's report

LO 3h

9 Which **one** of the following ISA Standards (UK) is not normally referred to in a standard written representation letter from management?

A ISA (UK) 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*

B ISA (UK) 300, *Planning an Audit of Financial Statements*

C ISA (UK) 550, *Related Parties*

D ISA (UK) 560, *Subsequent Events*

LO 3h

10 In addition to the written representations required by ISA (UK) 580, *Written Representations*, some other ISA Standards include requirements to obtain written representations about specific matters.

In relation to which **two** of the following matters do ISA Standards (UK) require auditors to obtain written representations?

A ISA (UK) 570, *Going Concern*, regarding management's future plans and their feasibility

B ISA (UK) 700, *Forming an Opinion and Reporting on Financial Statements*, that the financial statements are true and fair

C ISA (UK) 250 Section A, *Consideration of Laws and Regulations in an Audit of Financial Statements*, that all applicable laws and regulations have been complied with

D ISA (UK) 450, *Evaluation of Misstatements Identified During the Audit*, regarding management's belief that uncorrected misstatements are immaterial

LO 3h

Chapter 13: Substantive procedures – key financial statement figures

1 Which **three** of the following provide evidence to support the rights and obligations assertion in relation to non-current assets?

A Title deeds

B Purchase invoices

C Vehicle registration documents

D Sales invoices

LO 3d

2 Which **one** of the following assertions is the assurance provider **least** concerned with when testing a non-current asset balance?

A Existence

B Rights and obligations

C Completeness

D Cut-off

LO 3d

3 Which **two** of the following constitute the **best** quality evidence concerning the net realisable value of inventory?

A Company's controls over inventory counting

B Post year-end sales invoices

C Post year-end sales orders

D Post year-end sales price list

LO 3e

4 Which **one** of the following is the reason why the positive method of confirming receivables balances with customers is generally preferred?

A It is carried out in the auditor's name.

B It requires the customer to reply giving or confirming or disagreeing with the balance.

C It only requires the customer to reply if they disagree with the balance.

D It requires replies to be sent to the client.

LO 3e

5 Which **one** of the following procedures is **most** appropriate to confirm the valuation of trade receivables?

A Review of the receivables ledger

B Direct confirmations with customers

C Review of cash paid after date

D Review of sales invoices

LO 3d

6 In which **two** of the following situations should an auditor carry out a cash count?

A An individual cash float is material

B A client has a large number of cash floats, which are immaterial in total

C A client has poor controls over cash floats, which are immaterial in total

D The auditor suspects that a fraud has been committed in relation to immaterial cash floats

LO 3d

7 Which **one** of the following is the key assertion with which auditors are concerned in relation to payables?

A Completeness

B Existence

C Accuracy

D Classification

LO 3d

8 Which **three** of the following are reasons why the auditors might seek direct confirmation of balances due from suppliers?

A To obtain third-party evidence

B The auditors suspect that the client is deliberately understating payables

C The internal controls relating to purchases are weak

D Supplier statements are unavailable

LO 3d

9 Which **two** of the following are reasons why sales are often verified by testing the internal controls in place over sales?

A There are usually too many individual transactions to test them individually.

B Sales constitute a high volume of similar transactions which are suitable for controls testing.

C Controls over sales in a company are often strong.

D Because there are so many individual transactions, there is a significant risk that sales are misstated.

LO 3b

10 Which **three** of the following relationships/ratios are reasons why analytical procedures can give strong evidence in relation to the accuracy of purchases?

A Operating margin

B Purchases and payables

C Purchases and inventories

D Gross margin

LO 3g

11 The results of substantive tests on trade payables at Fulham Ltd are set out below. The materiality threshold set for these tests was £17,000.

For each of the following results, select the action which should be taken by the audit senior.

Three goods inwards records dated before the year end relating to goods worth £16,000 were traced to purchase invoices which have been included in the subsequent year and not provided for this year.

A Draw conclusion

B Refer to senior colleague

C Extend sample

In a sample of 20 supplier statement reconciliations, statements were unavailable for 10 suppliers. Statements were available for seven of these 10 suppliers in the previous year.

D Draw conclusion

E Refer to senior colleague

F Extend sample

LO 3i

12 The auditor of Barnett plc carried out an external confirmation of receivables at the year end to confirm the accuracy of total trade receivables in the statement of financial position at that date. Two of the replies to the confirmations disagreed with the balance.

For each of these two disagreements, select whether the disagreement would or would not be considered a misstatement for the purposes of evaluating the accuracy of total trade receivables in the statement of financial position at the year end.

Watford Ltd disagreed with the balance because they had made a payment two days before the year end. The auditor has confirmed that the cheque cleared the bank two days after the year end.

A Misstatement

B Not misstatement

Radlet Ltd disagreed with the balance because their records did not contain invoice number SI 00492. This invoice and associated goods were despatched by Barnett plc on the last day of the year. The auditor has verified that the despatch record and cut-off with inventory are correct.

C Misstatement

D Not misstatement

LO 3g

13 Hayley, an audit junior, has carried out the following tests to verify the valuation of inventory in the financial statements of Cobham plc.

In each case, select whether the test proves the assertion of valuation or not.

Attending the inventory count and carrying out sample counts on a number of items

A Proves valuation

B Does not prove valuation

Comparing cost on a number of inventory items to sales invoices subsequent to the year end

C Proves valuation

D Does not prove valuation

LO 3d

14 Lisa has obtained a list of items which make up the cash and cash equivalents balance (£3,556) in the financial statements of Baker Ltd. Materiality has been set at £4,000.

For each item, select whether or not Lisa should test the item.

Current account balance (overdrawn) £5,600

A Test

B Not test

Petty cash float £750

C Test

D Not test

Special directors' cash account £1,294

E Test

F Not test

LO 3g

15 Which **two** of the following assertions is the auditor most concerned with when testing property, plant and equipment?

A Occurrence

B Existence

C Rights and obligations

D Cut-off

LO 3d

16 The auditor of Mondays Ltd is performing a test to ensure that there are no omissions from the non-current asset register.

In respect of which **one** of the following assertions will this procedure provide audit evidence?

A Cut-off

B Accuracy, valuation and allocation

C Completeness

D Existence

E Classification

LO 3d

17 Which **two** of the following procedures would provide evidence of rights and obligations of motor vehicles?

A Vouching a sample of motor vehicles in the asset register to registration documents

B Physical inspection of motor vehicles

C Review of purchase invoices for motor vehicles acquired in the period

D Confirmation that calculations on the non-current asset schedule are correct in respect of motor vehicles

LO 3d

18 For each of the following circumstances in respect of inventory, select which financial statement assertion would be affected.

Inventory which had been sold by the end of the period has been included in inventory.

A Completeness

B Accuracy, valuation and allocation

C Cut-off

Damaged items of inventory have not been written down to net realisable value.

D Completeness

E Accuracy, valuation and allocation

F Cut-off

LO 3d

19 For each of the following circumstances in respect of inventory, select which financial statement assertion would be affected.

Inventory items were excluded from the total in the financial statements in error.

A Completeness

B Accuracy, valuation and allocation

C Cut-off

Due to the miscalculation of cost, some inventory items have been included at cost when net realisable value is lower.

D Completeness

E Accuracy, valuation and allocation

F Cut-off

LO 3d

20 The following describes a number of features of the inventory count instructions of Sydney Ltd.

For each feature, select whether it represents a strength or a deficiency.

The inventory count is performed by warehouse staff and supervised by the warehouse manager.

A Strength

B Deficiency

Inventory sheets are completed in pencil.

C Strength

D Deficiency

There are two teams of counters, one counting and one checking.

E Strength

F Deficiency

LO 2g

21 For each of the following statements concerning perpetual inventory counts, select whether they are true or false.

Adequate inventory records must be kept up to date.

A True

B False

All inventory lines must be counted at least once per month.

C True

D False

Material differences between book inventory and actual inventory must be investigated and corrected.

E True

F False

LO 3g

22 Management should compare cost and net realisable value for each item of inventory.

Which **three** of the following circumstances could result in net realisable value being lower than cost?

A An increase in the cost of raw materials which cannot be passed on to the customer

B An increase in selling price

C Errors in production

D An increase in production overheads

E Trade discounts from suppliers

LO 3g

23 Direct confirmation of trade receivables provides evidence in respect of which **two** of the following assertions?

A Existence

B Accuracy, valuation and allocation

C Rights and obligations

D Completeness

E Occurrence

LO 3d

24 Which **one** of the following is the **most** reliable evidence of the valuation of trade receivables?

A A comparison of current year-end total with previous year

B Analysis of after-date receipts

C Checking a sample of customers on the customer list against the receivables ledger accounts

D Reconstruction of receivables balance by tracing individual amounts invoiced to despatch records

LO 3e

25 Two types of procedures used in gathering evidence are tests of controls and substantive procedures.

For each of the following examples, select the type of procedure illustrated.

Examining the instructions issued for a year-end physical inventory count

A Test of control

B Substantive procedure

Observing despatch procedures

C Test of control

D Substantive procedure

Comparing this year's sales figures to those of previous years

E Test of control

F Substantive procedure

LO 3b

26 The following are examples of tests which an assurance firm might use at the gathering evidence stage of an assignment.

For each example, select the type of procedure which that test illustrates.

Adding the list of year-end receivables

A Confirmation

B Recalculation

C Reperformance

Using computer-assisted audit techniques (CAATs) to check the ageing of the year-end list of aged receivables

D Confirmation

E Recalculation

F Reperformance

LO 3b

27 In order to gather sufficient, appropriate evidence, the auditor may make use of external confirmation requests.

For each of the following statements, select true or false.

A positive confirmation request always asks the respondents to reply to the auditor indicating whether or not they agree with the information provided.

A True

B False

A sample of confirmation requests drawn from the client's list of balances is more appropriate for receivables balances than for payables balances.

C True

D False

A positive confirmation request usually provides more reliable audit evidence than a negative confirmation request.

E True

F False

LO 3c

28 Which **one** of the following financial statement assertions will be supported by a sample check on the numerical sequence of despatch records and invoices?

A Cut-off

B Occurrence

C Completeness

D Accuracy, valuation and allocation

LO 3d

29 Which **one** of the following procedures should be undertaken to confirm the existence of cash at bank?

A Inspecting the bank reconciliation statement prepared by the client

B Agreeing the figures on the bank reconciliation to the cash at bank nominal ledger account

C Obtaining direct confirmation of the bank balance from the client's bank

D Reperforming the additions on the bank reconciliation

LO 3d

30 The auditor of Raindrop Ltd carried out a direct confirmation at the year end to confirm the accuracy of total trade receivables in the statement of financial position at that date. Two of the replies to the circularisation disagreed with the balance.

For each of these two disagreements, select whether the disagreement would be considered a misstatement for the purpose of evaluating the accuracy of total trade receivables.

Jones LLP disagreed with the balance because their records indicated that the amount had been paid a few days before the year end. The auditor's enquiries revealed that the cheque was cleared shortly after the year end.

A Misstatement

B Not a misstatement

Sunny plc disagreed with the balance because its records indicated that it had paid the balance two weeks before the year end. The auditor's enquiries revealed that the amount had been received and credited to another customer's account before the year end.

C Misstatement

D Not a misstatement

LO 3g

31 The external auditor of Aaron Ltd has set materiality thresholds such that items under £40,000 are not generally considered material.

For each of the following items in Aaron Ltd's financial statements select whether the auditor would usually test it for overstatement or for understatement, or whether the item would not be tested at all.

£1,000 due from Harriett, a director of Aaron Ltd

A Overstatement

B Understatement

C Not test

Sundry income £35,000

D Overstatement

E Understatement

F Not test

LO 3f/g

32 Gamma Ltd has a head office and several branches. The head office operates a continuous inventory counting system. The system ensures that all items are counted at least twice a year and checked against inventory records.

During the interim audit, an examination of the counts undertaken by head office staff showed that differences between inventory records and the physical count frequently arise. Usually, actual inventory levels at branches are found to be higher than book inventory.

Which **one** of the following explains this difference?

A Unrecorded write-offs of scrapped inventory

B Unrecorded purchase returns

C Unrecorded branch requisitions

D Unrecorded branch returns

LO 3g

33 The results of substantive audit tests at Errata plc are set out below. The materiality threshold set for these tests was £1,000.

For each of the following results, select the action which should be taken by the audit senior.

No misstatements found

A Draw conclusion

B Refer to senior colleague

C Extend sample

An arithmetical misstatement of £5,000 found

D Draw conclusion

E Refer to senior colleague

F Extend sample

A misstatement of £10 found, sanctioned by the finance director

G Draw conclusion

H Refer to senior colleague

I Extend sample

LO 3i

34 Which **one** of the following describes how an assurance provider would check the existence assertion for a non-current asset?

A Trace the physical item to the non-current asset register

B Trace the physical item to the financial statements

C Trace an entry in the non-current asset register to the physical item

D Trace an entry in the non-current asset register to the financial statements

E Trace an entry in the financial statements to the physical item

LO 3d

35 Which **two** of the following statements identify an appropriate source of information for audit work directed towards the stated risk associated with tangible non-current assets?

A Purchase invoices for assets purchased within the year may contain evidence in relation to the risk of omission of assets owned by the company.

B Physical inspection of the assets themselves by the auditor may generate evidence in relation to the risk of the company not actually owning the assets.

C Valuations carried out by third-party valuers may contain evidence in relation to the risk of the assets being incorrectly presented in the financial statements.

D Sales invoices for assets sold within the year may contain evidence in relation to the risk of the company not actually owning the assets.

LO 3d

36 Assurance providers obtain evidence using procedures, as set out in ISA (UK) 500, *Audit Evidence*.

For each of the following statements, select whether they are most likely to be true or false.

A major risk of misstatement of the receivables balance in the financial statements is of debts not being complete.

A True

B False

The principal risk of misstatement of long-term liabilities in the financial statements is of non-existent liabilities being declared.

C True

D False

A major risk of misstatement of the inventory balance in the financial statements is of inventory being included in the financial statements at full value when it is obsolete or damaged.

E True

F False

LO 3f

37 At which **two** of the following business locations should auditors be particularly alert to the risk of money laundering?

A Car wash

B Manufacturer of upholstery

C Surveyors' offices

D Pawn shop

LO 3f

38 For each of the following statements concerning the audit of inventory, select whether they are true or false.

When determining the cost of inventory, the costs of bringing the inventory to its present location and condition should be included.

A True

B False

LO 3f

The use of inventory count sheets, which include inventory quantities based on the inventory records as at the close of business the previous day, is a deficiency in internal control.

C True

D False

LO 3f

Chapter 14: Codes of professional ethics

1 Which **three** of the following are reasons why the accounting profession needs ethical codes?

A Accountants have access to confidential information.

B Assurance providers claim to give an independent view.

C The financial community relies on accountants.

D The law requires it.

LO 4a

2 ICAEW qualified auditors acting in the UK are subject to which **two** of the following?

A IESBA *Code of Ethics*

B ICAEW *Code of Ethics*

C FRC's *Ethical Standard*

D *The Code of Ethics* set by the Government

LO 4a

3 Which **three** of the following are stated fundamental principles of the IESBA Code?

A Integrity

B Objectivity

C Independence

D Confidentiality

E Courtesy

LO 4d

4 For each of the following statements concerning professional ethics, select whether they are true or false.

Prescriptive rules of ethical guidance are beneficial because they place the onus on the accountant to actively consider independence in every given situation.

A True

B False

A framework of ethical guidance allows principles to be applied to different situations, and is therefore effective in a situation that is changing rapidly.

C True

D False

A framework of ethical guidance prevents accountants interpreting legalistic requirements narrowly, in order to circumvent ethical requirements.

E True

F False

LO 4b

5 Which **three** of the following bodies issue ethical guidance?

A ICAEW

B IESBA

C IAASB

D FRC

LO 4a

6 Which **one** of the following statements best describes ethical guidance in the UK?

A Ethical guidance provides a set of rules which must be followed in all circumstances.

B Ethical guidance is a framework containing a combination of rules and principles the application of which is dependent on the professional judgement of the assurance provider based on the specific circumstances.

C Ethical guidance provides a set of principles which can be applied at the discretion of the assurance provider.

D Ethical guidance is a series of legal requirements.

LO 4a/b

7 For each of the following threats, select whether they are identified by the IESBA Code only, the FRC's *Ethical Standard* only or both the IESBA Code and the FRC's *Ethical Standard*.

Self-interest threat

A IESBA Code only

B FRC's *Ethical Standard* only

C Both

Management threat

D IESBA Code only

E FRC's *Ethical Standard* only

F Both

Familiarity threat

G IESBA Code only

H FRC's *Ethical Standard* only

I Both

Self-review threat

J IESBA Code only

K FRC's *Ethical Standard* only

L Both

LO 4k

8 Which **three** of the following are valid reasons why independence and objectivity are important to the assurance profession?

A The public's expectations of accountants

B Public interest in financial information

C Tradition

D Credibility of published financial information

LO 4e

9 There are two main approaches to a code of professional ethics: a rules-based ethical code and a principles-based code.

Indicate whether the following statements are true or false.

A principles-based code requires a professional accountant to comply with a set of specific rules.

A True

B False

A rules-based code requires a professional accountant to identify, evaluate and address threats to compliance with fundamental ethical principles.

C True

D False

ICAEW uses a rules-based approach.

E True

F False

LO 4b

10 The ICAEW *Code of Ethics* provides guidance for members regarding their independence.

For each of the following statements, select whether they are most likely to be true or false.

If guidance is principles-based then it does not contain rules prohibiting certain activities.

A True

B False

If guidance is based on general principles then it does not allow for particular or unique situations.

C True

D False

Principles-based guidance may permit multiple correct responses in a given situation.

E True

F False

LO 4b

11 The FRC's *Ethical Standard* gives examples of threats in its six classificatory categories.

For each threat below, select the category into which they would most likely be placed.

Auditing financial statements prepared by the firm

A Familiarity threat

B Self-review threat

An audit team member having family at the client

C Familiarity threat

D Self-review threat

Making a loan to an audit client

E Familiarity threat

F Self-interest threat

LO 4k

12 There are five fundamental principles of ethics for professional accountants.

Which **two** of the following describe actions an auditor will take to comply with the fundamental principle of professional behaviour?

A Attaining and maintain professional knowledge and skill at the level required to ensure that a client or employing organisation receives competent professional service.

B Complying with relevant laws and regulations.

C Exercising professional judgement without being compromised by bias.

D Avoiding conduct that the auditor knows could discredit the profession.

LO 4c

13 You are working at an audit firm and overhear one of the audit managers on the phone talking to the finance director at a potential new audit client, AQR Ltd. The current auditors for AQR are another local audit firm BQT LLP and you hear the manager criticising the partners of BQT (who are all ACA qualified accountants) claiming they don't have the relevant experience or expertise to do the job properly.

The manager went on to say that your firm has won numerous awards for client service over the last few years, but you would have heard of any such awards, and none have been announced since you started with the firm 5 years ago.

Which **two** of the following are fundamental principles that have been breached by the manager during this phone call?

A Integrity

B Confidentiality

C Professional scepticism

D Professional behaviour

LO 4c

Chapter 15: Integrity, objectivity and independence

1 Which **three** of the following should an auditor consider if there is a threat to independence?

A Withdrawing from the engagement

B Applying specific safeguards

C Making disclosures to the client

D Making disclosures to ICAEW

LO 4f

2 Which **three** of the following should not own a material financial interest in an audit client?

A A member of the audit team

B A minor child of a member of the audit team

C A parent of a member of the audit team

D A spouse of a member of the audit team

LO 4k

3 Which **three** of the following threats to independence might arise on the current audit when an audit team member is involved in employment negotiations with an audit client during the course of the audit?

A Self-interest

B Self-review

C Intimidation

D Familiarity

LO 4k

4 Allisons LLP is a firm of chartered accountants. It has a reputation for excellence in the banking and insurance industry and has been invited to accept engagements by various institutions as follows.

(1) The audit of Nationally plc, the leading building society in the UK. 40% of staff members of Allisons LLP who have mortgages have mortgaged their home with Nationally.

(2) The audit of Cash It Ltd, a large business which banks cheques and cash items for the general public and also advances loans. A member of the proposed audit team was impressed by the loan rate offered to the team during the tendering process and took out a loan with Cash It Ltd to buy a car.

Which, if any, of the above companies present a major threat to the independence of Allisons LLP, if the engagement were to be accepted?

A Nationally plc and Cash It Ltd

B Cash It Ltd only

C Nationally plc only

D Neither Nationally plc nor Cash It Ltd

LO 4e

5 Which **one** of the following is correct in relation to the presumption of dependence for a non-listed client?

A There is a presumption of dependence when annual fee income from all services to the client will regularly exceed 15% of gross practice income.

B There is a presumption of dependence when annual fee income from all services to the client will regularly exceed 5% of gross practice income.

C There is a presumption of dependence when annual assurance fee income from all services to the client will regularly exceed 15% of gross practice income.

D There is a presumption of dependence when annual assurance fee income from all services to the client will regularly exceed 5% of gross practice income.

LO 4k

6 Majors LLP, a firm of chartered accountants, offers the following additional services to various audit clients.

In which **three** of the following situations is an insurmountable self-review threat most likely to arise?

A Preparing the financial statements for Power Group plc, a listed company, on a regular basis

B Carrying out valuations of various non-current property assets for Tower Investments Ltd, a property investment company

C Promoting tax structures to Haven Ltd, where there is scope for doubt about the appropriateness of the accounting treatments involved to achieve the tax benefits

D Helping Craven plc in defining its corporate strategies and identifying possible sources of finance for a potential new venture

LO 4k

7 In accordance with FRC's *Ethical Standard*, in which **three** of the following engagements is there a significant threat to independence?

A Alan Johnson has been the audit engagement partner of Domino Ltd for 11 years.

B Betty Thomson has been the audit engagement partner of Beetle Group plc, a listed company, for seven years.

C Having been the audit engagement partner of Risk Group plc, a listed company, for five years, Colin Jackson resigned as audit engagement partner three years ago; following a reshuffle in the firm, he has just been assigned as a key partner involved in the audit of Risk Group plc.

D Donna Matthewson has recently been appointed as the audit engagement partner of Scrabble plc, a listed company; she previously held this position six years ago.

LO 4k

8 The ethics partner at Juleyson Co, a firm of chartered accountants, is trying to resolve an ethical conflict in respect of two clients of the firm.

Which **two** of the following are appropriate actions for the ethics partner to take?

A Do nothing because the situation is likely to resolve itself over time

B Refer the matter to the management board of partners because they cannot determine a solution themselves

C Solicit advice from the ICAEW ethics helpline

D Seek the opinion of an ethics partner at a different firm

LO 4f

9 Which **two** of the following are examples of when a familiarity threat might arise?

A The auditor has acted for the same client for several years.

B An audit client has requested the auditor to provide additional tax services on an ongoing basis.

C A client is taking legal action against the audit firm.

D There is a family relationship between a member of the audit team and the finance director the client.

LO 4k

10 There are various general threats to independence recognised by ethical codes.

For the following two examples, select the type of threat which might arise in that situation.

The audit senior assigned to the audit of Loesdon Ltd has recently become engaged to the finance director's daughter.

A Self-interest

B Management

C Advocacy

The finance director of Litten Ltd has recently informed the audit engagement partner that Litten Ltd will be seeking a stock exchange listing. The finance director has implied that Litten Ltd will want to use the firm for significant amounts of advisory work in relation to the listing, but joked at the same time that 'clean bills of health' would be crucial from now on.

D Self-interest

E Management

F Self-review

LO 4k

11 Estelle LLP is a 10-partner assurance firm which has been asked to consider taking on the audit of the financial statements of two separate companies. The following potential issues have been identified before acceptance of any such appointments.

For each of the following clients, select the basis on which the engagement could be accepted, if at all.

Othello Ltd, which will also require you to provide routine tax compliance work and advice

A Do not accept

B Accept with safeguards

C Accept with no safeguards

Desdemona Ltd, the finance director of which worked at Estelle LLP two years ago, but who does not know any of the members of the proposed audit team personally

D Do not accept

E Accept with safeguards

F Accept with no safeguards

LO 4f

12 The following are examples of situations in which an audit firm might be faced with threats to its independence.

For each example, select the type of threat which that situation **best** illustrates.

The finance director of Fussy Ltd has requested that the audit team for the current year audit be the same as the team which performed last year's audit.

A Self-review

B Familiarity

C Intimidation

The finance director of Pernickety Ltd has told the audit manager that they are not happy with the proposed audit opinion and are likely to seek a second opinion.

D Self-review

E Familiarity

F Intimidation

LO 4k

13 The following are examples of situations in which Carnation LLP, an audit firm with 50 similar medium-sized audit clients, which are non-listed, might need to implement safeguards in order to protect its independence.

For each situation, select the most appropriate safeguard in accordance with Ethical Standards, or state that there are no safeguards that could reduce the risk to an appropriate level.

Carnation LLP has been invited to accept the audit of a major listed company. The fee income from this engagement would represent 5% of the gross fee income of the firm.

A Separate personnel

B Discuss the issues with the audit committee

C No safeguards possible

Carnation LLP has been invited to accept the audit of a major competitor of an existing client and has obtained consent from both to act.

D Separate personnel

E Discuss the issues with the audit committee

F No safeguards possible

LO 4l

14 Which **three** of the following are areas in which a self-interest threat might arise?

A Where there is a close business relationship between the auditor and the client

B Where the auditor prepares and audits the financial statements

C Where the auditor has a financial interest in the client

D Where there is a significant amount of overdue fees

LO 4k

15 Monty LLP, an audit firm, has a number of medium-sized audit clients which are non-listed. It has a current gross practice income of £500,000.

For each of the following prospective clients taken separately, select whether there are safeguards which could reduce any risk to independence to an acceptable level in accordance with Ethical Standards.

Marty Ltd has insisted that the audit fee be based on 5% of reported profit after tax.

A Safeguards possible

B No safeguards possible

Fee income in respect of Andrews Ltd is expected to be £95,000.

C Safeguards possible

D No safeguards possible

Fee income in respect of Borne Ltd is expected to be £65,000.

E Safeguards possible

F No safeguards possible

LO 4f

16 Wright LLP, a firm of auditors, has the following employees who previously worked for current audit clients.

Name	Previous employer	Position held	Date of resignation
Sam Brown	Hastle Ltd	Finance director	31 January 20X6
James Sanderson	Hastle Ltd	Office junior	30 June 20X7
Sally Jones	Morgan Ltd	Chief accountant	1 June 20X4

For the audit of Hastle Ltd and Morgan Ltd for the year ended 31 December 20X7, for which, if either, could all three members of staff be used on the audit team if the engagement is to be conducted in accordance with Ethical Standards?

A Both Hastle Ltd and Morgan Ltd

B Hastle Ltd only

C Morgan Ltd only

D Neither Hastle Ltd nor Morgan Ltd

LO 4l

17 Greatholidays plc is a publicly listed travel agent.

The new finance director has been so pleased with the audit service provide by its audit firm, Newfirm LLP, they have offered a free all-inclusive two week holiday to the audit engagement partner.

Which **one** of the following should be the audit partner's course of action?

A Accept the offer as it is part of auditor-client relations

B Request that the offer be directed to the audit manager instead

C Accept the offer but write to Greatholidays plc stating that this will not impact on any conclusions reached on future audits

D Reject the offer

LO 4f

18 Morgan LLP, an audit firm, has a number of prospective clients: Masons Ltd, Burton Ltd and Dewburry Ltd.

For each of these following prospective clients, select whether the holding of the stated financial interest should result in the firm declining the engagement or the individual being excluded from the audit team in accordance with Ethical Standards. (Assume that the interests are not disposed of.)

Bill Brown, a partner in Morgan LLP, owns 10% of the shares in Masons Ltd.

A Firm must decline

B Individual excluded

Sam Larson's wife owns 5% of the shares in Burton Ltd. Sam Larson is an audit manager at Morgan LLP.

C Firm must decline

D Individual excluded

Jane Smith's husband owns 15% of the shares in Dewburry Ltd. Jane Smith is a partner in Morgan LLP.

E Firm must decline

F Individual excluded

LO 4l

19 Panama LLP is an audit firm with 30 similar, non-listed, medium-sized audit clients. The following are examples of situations in which Panama LLP might need to implement safeguards in order to protect its independence.

For each situation, select the most appropriate safeguard or state that there are no safeguards which could reduce the risk to an acceptable level in accordance with the FRC's *Ethical Standard*.

One of Panama LLP's clients is a competitor of one of its other clients.

A Separate personnel

B Fee threshold not exceeded

C No safeguards possible

Panama LLP has been asked to take on the role of internal auditor at one of its clients and would be responsible for implementing its own recommendations.

D Separate personnel

E Fee threshold not exceeded

F No safeguards possible

LO 4l

20 An audit engagement partner left an audit firm, Red LLP to join an audit client, Green plc, as a director three years ago. The audit firm resigned as auditors when the partner accepted the role. 18 months ago, the former audit engagement partner resigned their role as director at Green plc and moved to another unrelated organisation. Green plc would like to appoint Red LLP as auditors again for the upcoming audit.

Which **one** of the following statements is correct?

A Red LLP are not permitted to provide any audit services in the future to Green plc

B Red LLP are not permitted to accept the appointment until another six months has passed because it is less that two years since the former partner left Green plc

C Red LLP are not permitted to accept the appointment as auditor but can accept other requests by Green plc for non-audit services

D Red LLP are permitted to accept the appointment as auditors because the partner has ceased employment with Green plc

LO 4f

21 Richard Richardson LLP is a multinational audit firm responsible for the audit of a high street bank, Barkers Bank.

For each example below of loans provided to members of the audit team by Barkers Bank, select whether the loan gives rise to a threat to Richard Richardson LLP's independence in accordance with ethical standards.

The audit junior's student loan

A Threat

B No threat

The audit partner's mortgage, negotiated on normal commercial terms

C Threat

D No threat

The audit manager has recently taken out a car loan. She is being charged an interest rate of 2% below the standard rate applied to this product.

E Threat

F No threat

LO 4k

22 The following are examples of situations in which an audit firm might be faced with threats to its independence.

For each example, select the type of threat which that situation illustrates.

The audit firm has been asked to underwrite its client's shares in relation to a proposed flotation.

A Self-review

B Advocacy

The board of directors does not contain a qualified finance professional and the company has asked the audit firm to prepare the financial statements.

C Self-review

D Advocacy

LO 4k

23 Talland LLP is the external auditor of Huntley Ltd, a retailer. The managing partner has been called to a meeting with the board of directors of Huntley Ltd. At that meeting the firm has been asked if it can provide the following non-audit services.

Huntley Ltd would like to implement a new sales system. They have asked Talland LLP to take on a consultancy project whereby the firm will evaluate several possible systems, advise on which system should be selected, and oversee the installation of the new system.

Which **one** of the following sets of threats would arise from the above scenario?

A Advocacy and management

B Management and familiarity

C Management and self-review

D Advocacy and familiarity

LO 4k

24 Hammers LLP is a firm of chartered accountants. It has been invited to accept engagements by various institutions as follows.

(1) Advisers to New Generation Insurance and Co, a small group of insurers seeking to buy out the home insurance business of Insurance Plus, a major UK insurer. The partner in charge of the advice team has made certain guarantees to New Generation Insurance and Co's bank in respect of one of the members of New Generation Insurance and Co, whom they know personally. Hammers LLP has been promised the audit of New Generation Insurance and Co if the buy-out is successful.

(2) A review of banking procedures at NatEast plc, a major high street bank. Hammers LLP has a modest business loan from NatEast plc.

Which, if any, of the above companies presents a major threat to the independence of Hammers LLP, if the engagement were to be accepted?

A New Generation Insurance and Co and NatEast plc

B NatEast plc only

C New Generation Insurance and Co only

D Neither New Generation Insurance and Co nor NatEast plc

LO 4f/k

25 The following are examples of situations in which Bouldry LLP, an audit firm, might need to implement safeguards to protect its independence. Bouldry LLP has 75 small, non-listed audit clients and has been asked to provide additional services to three of these clients.

For each situation, select whether the additional services could be accepted with appropriate safeguards, in accordance with Ethical Standards, or state that there are no safeguards that could reduce the risk to an appropriate level.

Bouldry LLP has been asked to carry out a valuation service. The valuation is material to the financial statements but does not involve a significant degree of subjectivity.

A Accept with safeguards

B No safeguards possible

Bouldry LLP has been asked to provide accounts preparation assistance.

C Accept with safeguards

D No safeguards possible

Bouldry LLP has been asked to design and implement an IT system which will significantly impact on the accounting system. Historically, Bouldry LLP has placed reliance on the accounting system as part of the audit.

E Accept with safeguards

F No safeguards possible

LO 4f

26 Brown LLP has been invited by Alpha plc, a listed company, and Beta Ltd, a non-listed company, to provide audit and non-audit services. If accepted, the fees for Alpha plc would represent 11% of the firm's gross fee income, and the fees for Beta Ltd would represent 12%.

Assuming Brown LLP would like to take on as many clients as is permitted by ethical standards, which **one** of the following is the most appropriate course of action?

A Accept both Alpha plc and Beta Ltd as clients

B Accept Alpha plc as a client and refuse Beta Ltd

C Accept Beta Ltd as a client and refuse Alpha plc

D Refuse to take on either Alpha plc or Beta Ltd as clients

LO 4f

27 Helena LLP is an eight-partner assurance firm which has been asked to consider taking on the statutory audit of two separate companies. The following potential issues have been identified.

For each of the following potential clients, select on what basis the engagement could be accepted or state that the engagement should not be accepted, in accordance with the FRC's *Ethical Standard*.

Titania plc, a listed company, will also require Helena LLP to prepare the financial statements.

A Do not accept

B Accept with safeguards

C Accept with no safeguards

Puck Ltd, whose finance director is the brother of one of the partners at the assurance firm.

D Do not accept

E Accept with safeguards

F Accept with no safeguards

LO 4f

28 Two different audit juniors have been asked to carry out the following tasks.

For each of the tasks you should select the action that the audit junior should take.

An audit junior at Oberon LLP, a large assurance firm, has been asked to join the audit team at a major client to carry out the receivables section of the audit. The junior has not carried out this section of the audit before but has covered it in their training.

A Perform the work

B Refer to training partner

C Contact the ICAEW telephone helpline

An audit junior at Lear LLP, a sole practitioner audit firm, has been asked to commence the audit of a small manufacturing client. The junior has expressed reservation about this, but the practitioner has insisted that they should go out to the client unsupervised at the beginning of the following week.

D Perform the work

E Refer to training partner

F Contact the ICAEW telephone helpline

LO 4g

29 Winter LLP is shortly due to start the audit of Autumn Ltd which has been a client for a number of years. Winter has checked its receivables listing and Autumn Ltd still hasn't paid the audit fees to Winter for the previous year's audit.

Which **one** of the following should be Winter LLP's course of action?

A Continue to act but don't issue the current year audit report until all overdue fees are paid

B Continue to act and charge interest on overdue amounts

C Carry out the audit planning and review the draft financial statements of Winter to assess their cash position and their ability to pay the overdue fees. Then make a decision as to whether to complete the audit work.

D Consider whether it is necessary to resign from the engagement.

LO 4f

30 The following are examples of situations in which an audit firm might be faced with a threat to its independence.

For each example, select the main type of threat that situation illustrates.

The finance director has a very strong personality and insists on the audit team working in her office.

A Familiarity

B Intimidation

C Management

The audit team and the management team at the client have remained unchanged for several years.

D Familiarity

E Intimidation

F Management

LO 4k

31 Dudley & Partners is a large assurance firm. They have acted as the external auditors to Birmingham Ltd, a small owner-managed company, for two years.

The managing director and major shareholder of Birmingham Ltd, Ms Black, has now asked the firm to represent the company's interests in a legal case which has been brought against it. Ms Black has indicated that if the firm refuse to do this they will not be reappointed as external auditor. She is also making matters difficult for those members of the audit team carrying out the interim audit.

Which **one** of the following sets of threats arises from the above scenario?

A Intimidation, self-review and management

B Advocacy, self-interest and management

C Intimidation, advocacy and self-interest

D Intimidation, advocacy and management

LO 4k

32 Callinicos LLP is a 12-partner assurance firm which has been asked to consider taking on the audit of the financial statements of two separate companies. The following potential issues have been identified before acceptance of any such appointments.

For each of the following clients, select the basis on which the engagement could be accepted, if at all.

Luxemburg Ltd, which will also require Callinicos LLP to provide a valuation service in relation to some immaterial financial assets

A Do not accept

B Accept with safeguards

C Accept with no safeguards

Cliff plc, a listed company which will also require you to provide routine bookkeeping work

D Do not accept

E Accept with safeguards

F Accept with no safeguards

LO 4f

33 You are a trainee in the audit department of Termite LLP. You have been working in the department for 18 months and have experience of completing audit testing under supervision, but are yet to work independently.

Several months ago, you had worked on the audit of Cioran Ltd. You have just received a call from the audit manager, asking you to address a review point in relation to some accruals testing that you did. The manager said that the audit report is to be signed tomorrow, and that you need to resolve the point immediately. You are finding it difficult to understand what was wrong with your testing, and do not know how to resolve the review point.

Which of the following is the most appropriate course of action for you to take?

A Perform the work

B Refer to training partner

C Contact ICAEW

You have also been assigned to the upcoming audit of Schopenhauer Ltd, in which you are to be allocated the non-current assets section of the audit. You have not carried out this section of the audit before, but you have covered it in your training.

Which of the following is the most appropriate course of action for you to take?

D Perform the work

E Refer to training partner

F Contact ICAEW

LO 4g

Chapter 16: Confidentiality

1 Which **two** of the following are the principal reasons why confidentiality is so important to accountants?

A It is a fundamental principle of all the major ethical codes

B Failure to keep information confidential reflects badly on the accountant

C Accountants need their clients to be comfortable to make full disclosure of company affairs to them

D It means that accountants can work for competitors

LO 4h

2 Which **three** of the following should an accountant take care not to do, in order to safeguard confidentiality?

A Discuss client matters with third parties

B Discuss client matters with colleagues in public places

C Discuss client matters with colleagues in non-public places

D Leave working papers in the car

LO 4h

3 In which **three** of the following situations is it appropriate to disclose confidential information?

A When the client has granted permission

B In order to obtain audit evidence about an amount in the financial statements

C When there is a public duty to make disclosure

D When there is a legal duty to make disclosure

LO 4j

4 Which **three** of the following are situations where there is a legal duty to disclose confidential information?

A When a fraud has taken place, it should be reported to the police

B When terrorist activity has taken place, it should be reported to the police

C When regulatory breaches have taken place at a charity, it should be reported to the Charities Commission

D When money laundering is suspected, it should be reported to the National Crime Agency (NCA)

LO 4j

5 Emma is faced with the following situations as part of her work.

For each situation, select the action Emma should take.

As part of her routine assurance work on revenue at Dodgy Ltd, Emma discovers that the company accepts cash payments for sales that are never recorded in the accounting records.

A Make no external report

B Report to the police

C Report to the firm's money laundering nominated officer

As part of her routine payables testing at Risky Ltd, Emma discovers that controls are deficient and some payments have been made to suppliers twice in error.

D Make no external report

E Report to the police

F Report to the firm's money laundering nominated officer

LO 4j

6 For each of the following situations, select whether the assurance provider **may** disclose confidential information or **must** disclose confidential information.

The assurance provider is being sued for negligence and is trying to establish a defence.

A May make disclosure

B Must make disclosure

The assurance provider has discovered a fraud at the client, which the client has agreed should be referred to the police.

C May make disclosure

D Must make disclosure

The assurance provider believes that the client is saving money by breaching environmental clean-up requirements.

E May make disclosure

F Must make disclosure

LO 4j

7 If an assurance provider suspects that money laundering is taking place, to which **one** of the following should the details be reported in the first instance?

A The police

B The Department of Trade and Industry

C The board of directors

D The firm's money laundering nominated officer

LO 4j

8 In respect of conflicts of interest, select whether each of the following statements is true or false.

Where a conflict of interest exists between two audit clients, the auditor must cease to act for one party.

A True

B False

If the effects of a conflict of interest can be mitigated by safeguards these should be recorded.

C True

D False

Where adequate safeguards are available, the parties involved do not need to be informed of the conflict of interest.

E True

F False

LO 4e

9 Which **two** of the following would be an **appropriate** use of confidential information?

A On a change of employment, using experience gained in a previous position

B Encouraging others to buy shares in a company on the basis of information obtained during the course of the audit

C Providing a prospective auditor with information required by him in order for him to decide whether or not to accept the appointment

D Using information obtained on the audit of one client to influence the audit opinion given in respect of another client

LO 4h/j

10 In which **one** of the following situations may confidential information in respect of a client **only** be disclosed if the permission of the client has first been granted?

A As a defence in a negligence claim

B In order to avoid giving an incorrect auditor's report to another client

C Where money laundering is suspected

D Where terrorism is suspected

LO 4h/j

11 During the course of an assurance engagement, Simran, a member of the assurance team from Endeavour LLP, discovers that the owner of the business, Mr Egon, regularly collects cash received from customers and does not include any details relating to the transaction in the accounting records of the business.

Which **one** of the following is the most appropriate action for Simran to take in respect of this matter?

A Discuss the matter with Mr Egon and advise him of the legal position.

B Report the matter to the manager of the assurance engagement so that she can discuss it with Mr Egon.

C Obtain Mr Egon's permission to report the matter to a designated officer within Endeavour LLP.

D Report the matter to a designated officer within Endeavour LLP without Mr Egon's permission.

LO 4j

12 Lilac Ltd is currently in a dispute with the tax authorities, and ask Lilly LLP to represent it. Lilly LLP is concerned that doing so may breach its duty of confidentiality.

Which of the following statements best reflects the auditor's duty of confidentiality?

A Auditors must never, under any circumstances, disclose any matters of which they become aware during the course of the audit to third parties, without the permission of the client.

B Auditors may disclose any matters in relation to criminal activities to the police or taxation authorities, if requested to do so by the police or a tax inspector.

C Auditors may disclose matters to third parties without their client's consent if it is in the public interest, and they must do so if there is a statutory duty to do so.

D Auditors may only disclose matters to third parties without their client's consent if the public interest or national security is involved.

LO 4h/j

13 You are an audit manager in Leaf LLP, a large audit firm which specialises in the audit of insurance companies. The firm currently audits Caterpillar Ltd, a car insurer, but Caterpillar's main competitor, Snail Ltd, has approached the audit firm to act as auditors. Caterpillar is concerned that if Leaf LLP audits both companies then confidential information could pass across to Snail.

Which **two** of the following actions should Leaf LLP take regarding the potential confidentiality issue?

A Inform the audit committees of both Caterpillar and Snail of the potential conflict of interest and obtain their consent to act for both parties.

B Use separate audit teams for each audit with a common independent review partner to determine whether confidentiality has been maintained.

C Draw up confidentiality agreements to be signed by the board of directors of Caterpillar and Snail.

D Prevent unauthorised physical access to the information relating to both company audits.

LO 4l

14 For each of the following statements about data protection, select whether the statement is true or false.

The UK GDPR obliges auditors to secure any data held on an audit client company

A True

B False

Upon returning home from working at an audit client's site, you discover that you have misplaced a memory stick that contained personal data on individuals working at the audit client. This is a breach of the UK GDPR.

C True

D False

The auditor has the primary responsibility for reporting any breaches of the UK GDPR by audit clients to the Information Commissioner's Office.

E True

F False

LO 4h/i

Answer Bank

Chapter 1: Concept of and need for assurance

1 Correct answer(s):

A A user

B A subject matter

C Suitable criteria

A key element of an assurance engagement is sufficient appropriate evidence, but is not generally mandatory that this evidence is recorded in an assurance file. (It is mandatory to record audit evidence, however.)

2 Correct answer(s):

A Users do not understand the meaning of the audit opinion

B Users are not aware of the limitations of the audit process

D Users do not understand what the audit process involves

Reasonable assurance is a high, **but not absolute**, level of assurance. The other options available represent various aspects of the expectations gap which is the gap between what the assurance provider understands he is doing and what the user of the information believes he is doing. SAMPLE EXAM

3 Correct answer(s):

B Sampling is used in assurance work

C Client systems have inherent limitations

The answer is not option A as the fact that assurance work is carried out by independent people is a strength of assurance provision. Option D is also incorrect as the use of unqualified staff increases the detection risk of the auditor as opposed to being an inherent limitation of the provision of assurance. Work carried out by less qualified staff should always be supervised, directed and reviewed by more senior personnel. SAMPLE EXAM

4 Correct answer(s):

C Responsible party

It is the responsible party who will determine the suitable criteria (in response to the obligations it has) against which the practitioner will test the subject matter and on which the practitioner will report to the users.

Correct answer(s):

E Practitioner

It is the practitioner who will provide the opinion on whether the subject matter complies with the criteria after the evidence has been gathered and evaluated accordingly. The opinion prepared will be issued to the user. SAMPLE EXAM

5 Correct answer(s):

B Sufficient appropriate evidence and a positively worded opinion

Sufficient appropriate audit evidence is gathered and a positively worded opinion issued in a reasonable assurance engagement. A lower level of evidence coupled with a negatively worded opinion applies to a limited assurance engagement. SAMPLE EXAM

6 Correct answer(s):

A True

The statutory audit provides reasonable assurance through a positively worded assurance conclusion whereas in a non-statutory assurance engagement such as a review engagement, limited assurance is provided with the issue of the negatively worded assurance conclusion. This can be seen in the wording of the two conclusions. The positively worded assurance conclusion includes wording 'the financial statements give a true and fair view', whereas the negatively worded assurance conclusion includes the wording 'nothing has come to our attention', emphasising the limited nature of the assignment.

Correct answer(s):

C True

A negatively worded assurance conclusion includes the wording 'nothing has come to our attention', which emphasises the limited nature of the assignment.

Correct answer(s):

F False

Reasonable assurance is high assurance provided on the truth and fairness of the subject matter as opposed to absolute assurance of the correctness of the subject matter. SAMPLE EXAM

7 Correct answer(s):

A Blue plc's corporate governance policies

The subject matter under examination is the company's corporate governance policies.

Correct answer(s):

D The UK Corporate Governance Code

These policies are to be assessed against the UK Corporate Governance Code, which is the suitable criteria.

Correct answer(s):

F The directors of Blue plc

The responsible party is Blue plc, the party commissioning the report, who has the responsibility to apply the UK Corporate Governance Code. Jones LLP is the practitioner, responsible for gathering the appropriate evidence and issuing an appropriate opinion. SAMPLE EXAM

8 Correct answer(s):

A True

The Companies Act 2006 states that a statutory auditor must be a member of a recognised supervisory body.

Correct answer(s):

C True

The Companies Act 2006 states that an officer or employee of the client is ineligible as auditor.

9 Correct answer(s):

B an assurance firm's satisfaction as to the reliability of an assertion being made by one party for the use of another party

Assurance refers to an assurance firm's satisfaction as to the reliability of an assertion being made by one party for the use of another party. This assurance is then expressed in an assurance report with a negative or positive conclusion given as appropriate to that particular engagement. SAMPLE EXAM

10 Correct answer(s):

A enhances the credibility of the information being reported on

B reduces the risk of management bias in the information being reported on

D draws the attention of the user to deficiencies in the information being reported on

An assurance report does not 'attest(s) to the correctness of the information being reported upon'. Even a reasonable assurance engagement (which gives more assurance than a limited assurance engagement) does not provide a guarantee that the information being reported on is correct. Assurance can never be absolute as this statement implies. SAMPLE EXAM

11 Correct answer(s):

A Responsible party

It is the responsible party that prepares the subject matter and the practitioner who is responsible for gathering evidence. The user is the party who receives the final report.

Correct answer(s):

E Practitioner

It is the responsible party that prepares the subject matter and the practitioner who is responsible for gathering evidence. The user is the party who receives the final report.

12 Correct answer(s):

D Limited level of assurance expressed negatively

There are two types of conclusion which can be given: a conclusion expressed in positive terms and a conclusion expressed in negative terms. A conclusion expressed in negative terms is indicated by the phrase 'nothing has come to our attention' which indicates the restricted work carried out and hence the fact that the assurance is limited, as opposed to reasonable. Hence this type of assurance is limited level of assurance expressed negatively.

13 Correct answer(s):

A The auditor's report certifies the financial statements as correct

B The auditor's principal duty is to detect fraud

D The auditor checks all transactions

The expectation gap is the gap between what users of financial statements believe the auditor does and what the auditor actually does. The following three are common manifestations of the expectation gap:

- The auditor's report certifies the financial statements as correct
- The auditor's principal duty is to detect fraud
- The auditor checks all transactions

The belief that the auditor is employed by the directors is a common misconception but not a manifestation of the expectation gap. (The company employs the auditor, who is appointed by the shareholders in a general meeting.) SAMPLE EXAM

14 Correct answer(s):

B Reasonable

A statutory audit provides reasonable assurance, which reflects the comprehensiveness of the audit procedures carried out. No assurance engagement, not even a statutory audit, can give absolute assurance.

Correct answer(s):

D Limited

A review of financial information gives limited assurance, which is a lower level of assurance than a statutory audit. Its conclusion would be worded negatively.

Correct answer(s):

F Limited

A report on profit and cash flow forecasts gives limited assurance. Forecasts are by nature about uncertain future events, and so cannot be made with enough certainty to give a 'reasonable' level of assurance.

15 Correct answer(s):

B No

Small Ltd meets the requirements of a small company in relation to turnover and total assets (it has no more than £5.1 million total assets), which is the two out of three required for the company to be exempted from having an audit even though it has more than 50 employees.

Correct answer(s):

C Yes

Tiny Ltd does not meet any of the requirements to be a small company, and must have an audit.

Correct answer(s):

F No

Little Ltd meets all three of the requirements and is therefore exempted from having an audit.

16 Correct answer(s):

B Dependency

The organisation depends on the resources for its processes.

Correct answer(s):

C Impact

The increased emissions will have a negative impact on the environment.

Correct answer(s):

E Impact

This will have a positive impact on the well-being of the organisation's employees.

Chapter 2: Process of assurance: obtaining an engagement

1 Correct answer(s):

A Ensure they are professionally qualified to act

B Ensure they have adequate existing resources to carry out the audit

The answer is not to obtain references, as it will not be necessary to obtain references when the entity is already known to the firm. Furthermore, it will not be necessary to contact previous auditors in the case of a company's first audit. SAMPLE EXAM

2 Correct answer(s):

A Poor recent performance

C Unusual transactions

Poor recent performance may indicate a high risk that the company may misstate its financial statements in order to show improved recent performance. A company carrying out unusual transactions would also be a high risk, as each transaction would require a separate understanding leading to a higher risk of error. Strong internal controls and the existence of an internal audit department would be low risk indicators. SAMPLE EXAM

3 Correct answer(s):

A High risk

Given its intention to list on the stock exchange, Tulip Ltd may be motivated to show a better picture of itself than that which exists, hence it is a high-risk client.

Correct answer(s):

C High risk

Dhalia Ltd is a high-risk client given that it is seeking alternative forms of finance. It has the incentive to show itself as a healthier company than it actually is in order to attract the finance it requires. There is also a risk of misstatement if the financial statements do not properly reflect any going concern problems which the company may have. SAMPLE EXAM

4 Correct answer(s):

A Clearly defines the extent of the assurance provider's responsibilities

B Provides written confirmation of the acceptance of the engagement

C Confirms the scope of the engagement

The engagement letter does not contain any certification of the assurance provider's opinion. An engagement letter does serve the other purposes listed. SAMPLE EXAM

5 Correct answer(s):

A Ensure that the outgoing auditors' removal/resignation has been properly conducted

B Ensure that a resolution has been passed at the general meeting to appoint the new auditors

D Submit a letter of engagement to the directors

Checks on legal and ethical restrictions should be performed **before** the appointment is accepted. Once the appointment is accepted, legal and professional obligations need to addressed, options A and B (as per Companies Act 2006) and option D as per ISA (UK) 210, *Agreeing the Terms of Audit Engagements*. SAMPLE EXAM

6 Correct answer(s):

B False

Correct answer(s):

C True

Correct answer(s):

F False

Correct answer(s):

G True

The engagement letter is essentially the contract between the client and the auditor and therefore should be sent to all clients. It confirms acceptance of the appointment by the auditor so must be issued after acceptance but before work is commenced. SAMPLE EXAM

7 Correct answer(s):

A For a minimum of five years and until five years have elapsed since the relationship with the client has ceased

The Money Laundering Regulations state that client identification documents must be kept for a minimum of five years and until five years since the relationship elapses.

8 Correct answer(s):

A The responsibilities of the auditor

C The form of any reports

Arrangements regarding the planning and performance and the basis of the fee calculation are not essential to be included in the engagement letter, whereas the responsibilities of the auditor and the form of any reports must be included in the engagement letter.

9 Correct answer(s):

A Setting out the form of any report to be issued

C Documenting and confirming acceptance of the appointment

D Narrowing the expectations gap

The following are not purposes of an engagement letter:

- Providing constructive suggestions to management concerning improvements to internal control
- Providing evidence on matters where other evidence is not expected to exist (eg, on management plans for the future of the entity) – this is the purpose of a written representation

10 Correct answer(s):

C apply a questioning mind to the information and evidence he obtains

Apply a questioning mind to the information and evidence he obtains would indicate professional scepticism. The alternative options offered are all a step too far. SAMPLE EXAM

11 Correct answer(s):

A The scope of the audit

B The reporting framework that is applicable for the financial statements being prepared

Verifying the client's identity would be performed before the engagement letter is prepared and signed.

The Companies Act 2006 does not stop auditors from making agreements with clients to restrict their liability, so it would be incorrect to state this is in the engagement letter.

Chapter 3: Process of assurance: planning the assignment

1 Correct answer(s):

B To ensure appropriate attention is devoted to the important areas of the audit

C To identify potential problems and resolve them on a timely basis

D To assign work to members of the audit team

To determine the scope of the engagement should have been done in the engagement letter and is therefore not an objective of audit planning. SAMPLE EXAM

2 Correct answer(s):

A Inquiries of management and other appropriate individuals within the entity

C Analytical procedures

D Observation and inspection

The standard states that inquiries of third parties **may** be carried out if useful, but lists options A, C and D as procedures that **shall** be carried out.

3 Correct answer(s):

A Consideration of comparable information for prior periods

B Consideration of relationships between elements of financial information that are expected to conform to a predicted pattern

D Consideration of similar industry information

The answer is not consideration of whether a balance has been correctly calculated, as this will require a procedure of recalculation as opposed to an analytical procedure.

4 Correct answer(s):

B How many items to examine

C Whether to use sampling

D What level of misstatement is likely to lead to the auditor not being able to give an unmodified opinion

What audit staff to assign to the audit would depend more on the risks associated with the engagement than the level of materiality.

5 Correct answer(s):

A Details of economic factors and industry conditions

B The results of initial analytical procedures

D Identification of specific audit risks

Confirmation of management's responsibility for the financial statements is incorrect as confirmation of management's responsibility for the financial statements is contained in the letter of engagement.

6 Correct answer(s):

A Inherent risk higher than normal

Correct answer(s):

C Inherent risk higher than normal

Correct answer(s):

F Inherent risk lower than normal

A profit-related scheme means that directors have the incentive to overstate profit and hence the financial statements are susceptible to material fraud/error. Therefore, inherent risk is higher than normal. A cash-based business is more inherently risky than a non-cash-based business, as cash is susceptible by its nature to theft and omission. Where balances in the financial statements have straightforward financial accounting requirements, the susceptibility to material error or misinterpretation is reduced.

7 Correct answer(s):

A True

This is true, as the concept of materiality does not exist in a void, but depends on the context of the omission or misstatement.

Correct answer(s):

C True

This is true, as materiality acts as a form of guidance in the amount of work required to be performed, and so when planning audit procedures. It is also made reference to in evaluating discovered misstatements (both individual misstatements and in aggregate).

Correct answer(s):

F False

This is false, as materiality is not a fixed percentage of profits or other measure but depends on the audit risks faced for the particular client. Further, materiality is not only measured quantitatively but also qualitatively.

8 Correct answer(s):

A Inherent

This scenario increases the susceptibility of the financial statements to material fraud and error, and the fact the organisation is seeking to raise finance for a new venture represents a risk at the company level.

Correct answer(s):

D Inherent

This scenario increases the susceptibility of the financial statements to material fraud and error, the estimates present a risk at the individual account level where those estimates are found.

9 Correct answer(s):

B Control

High staff turnover increases the risk that the internal controls in place will not be effective.

Correct answer(s):

F Detection

The use of samples in testing represents a sampling risk: that the sample tested will not represent the population as a whole. Sampling risk is part of detection risk.

10 Correct answer(s):

A Industry, regulatory and other external factors

B How inherent risk factors make assertions susceptible to misstatement

The results of tests of details, and of a review of events after the date of the financial statements, are incorrect as tests of details and review of events after the date of the financial statements are normally performed after the initial planning stage of the audit.

11 Correct answer(s):

A True

This is true, as materiality needs to be calculated at the audit planning stage to provide a guide as to the extent of audit procedures required.

Correct answer(s):

D False

This is false, as materiality can be revised during the course of the audit, as the assessment of audit risk changes.

Correct answer(s):

E True

The materiality level set will have an impact on the audit opinion as the existence of material uncorrected errors and misstatements will lead to a modified audit opinion. SAMPLE EXAM

12 Correct answer(s):

B Control

The existence of management override increases control risk as controls may be ignored leading to an increased risk of material fraud or error.

Correct answer(s):

D Inherent

Profit-related pay may motivate the directors to distort the financial information, so constituting an inherent risk. SAMPLE EXAM

13 Correct answer(s):

B A significant number of balances are based on estimates

C The financial statements include complex transactions

E The company is seeking to raise finance

Two options here are incorrect: sample sizes and inexperienced audit staff will affect detection risk, not inherent risk. SAMPLE EXAM

14 Correct answer(s):

B Lower

Correct answer(s):

C Bigger

If detection risk is required to be low this means that the auditor must have a higher expectation of identifying errors and misstatements. Materiality is lower as the financial statements are more sensitive and sample sizes are increased so that more work is performed.

15 Correct answer(s):

B Substantive procedures only

Substantive procedures only – a new client with few employees implies a lack of segregation of duties and hence high control risk. Therefore, reliance should not be placed on the system of internal control. Audit evidence should be gathered using substantive procedures.

Correct answer(s):

F A mix of tests of control and substantive procedures

A mix of tests of control and substantive procedures may be used for the audit of a long-standing client with a sophisticated IT system and an internal audit department as it will be possible to rely on internal controls and then perform reduced substantive procedures. Note that some substantive procedures must always be performed due to the inherent limitations of any system of internal control.

16 Correct answer(s):

B Increased competition resulted in sales prices being cut

D There was a significant change in the mix of products sold

If sales prices are cut but costs remain the same gross profit margins will fall. If the company sells a greater proportion of goods with a lower margin than in previous years the overall margin will be reduced. Increased levels of sales (and therefore lower closing inventory) will not affect gross profit margins provided selling prices are maintained. Interest expense is not deducted in arriving at gross profit, therefore it can have no effect on gross profit margins.

17 Correct answer(s):

A Inherent risk higher than normal

With a recent listing on the stock exchange and high profit expectations, inherent risk is higher than normal as the financial statements are more susceptible to material fraud and error.

Correct answer(s):

C Inherent risk higher than normal

Inventory is by its nature more inherently risky as it is susceptible to theft, omission and misstatement.

Correct answer(s):

F Inherent risk lower than normal

The fact that the company operates in a slow-moving, stable industry, decreases the susceptibility of the financial statements to material fraud and error. SAMPLE EXAM

18 Correct answer(s):

B False

Materiality can be both quantitative and qualitative.

Correct answer(s):

C True

Materiality may depend on **either** the nature of an item *or* its monetary amount.

Correct answer(s):

E True

Materiality is determined by the external auditor and they will use their professional judgement in setting a level of materiality which best addresses the audit risk. SAMPLE EXAM

19 Correct answer(s):

B Control

Few employees indicate limited segregation of duties, which is a control deficiency.

Correct answer(s):

D Inherent

A fast-moving, high-tech environment presents inherent risks both at the company level but also at individual account levels (eg, inventory).

20 Correct answer(s):

B The auditor must identify and assess the risks of material misstatement due to fraud.

C The auditor must obtain evidence regarding the risks of material misstatement due to fraud.

Although deterrence of fraud may be a consequence of the audit, the auditor does not perform the audit with this aim. Their aim is to obtain evidence regarding the truth and fairness of the financial statements.

The auditor is responsible for assessing the risks of material misstatement, which includes the risk of misstatements resulting from fraud, and for obtaining evidence in relation to this risk. SAMPLE EXAM

21 Correct answer(s):

C The entity has purchased a property for cash

If the entity has purchased a property for cash, this would reduce current assets without any corresponding reduction in current liabilities.

22 Correct answer(s):

B The cake shop has a higher level of wastage of inventory than the electrical store.

If the cake shop has a higher level of wastage of inventory than the electrical shop, then the cost of wasted inventory will be treated as an expense in cost of sales. This will reduce its cost of sales independently of the mark-up applied. Cost of sales will therefore be high in relation to revenue, so the cake shop's gross margin will be lower.

23 Correct answer(s):

B Thatch made an unusually large sale immediately before the year end

D Thatch paid its payables earlier than usual out of a positive cash balance

An unusually large sale would increase receivables and the current ratio.

If payables are paid out of a positive cash balance then this will reduce both cash (assets) and payables by the same absolute amount. However, since the current ratio is positive (assets are greater than liabilities), the ratio will increase. SAMPLE EXAM

24 Correct answer(s):

C To examine and express an opinion on the company's financial statements

It is management's responsibility to prevent fraud within a company. There are auditor independence issues with regard to external auditors being involved in the preparation of financial statements and in helping management to improve reporting processes. It should therefore be apparent that the correct option is to examine and express an opinion on the company's financial statements. SAMPLE EXAM

25 Correct answer(s):

B Fraud is an intentional act whereas error is unintentional

It is true that fraud may result in a material misstatement, but this is also true of error so it is incorrect to say that the difference is that fraud may result in material misstatements. It is also true that a misstatement can be material whether it is caused by fraud or by error, but this does not help us to distinguish between them. Fraud is an intentional act and is not merely the result of negligence. Fraud is an intentional act, but error is not. SAMPLE EXAM

26 Correct answer(s):

C Related party transactions must be completely disclosed in the financial statements

D There may be a significant control risk in relation to related party transactions

Related party transactions tend to be a high-risk area, not a low-risk area. Misstatements of disclosure may well be material, especially if they relate to eg, directors' remuneration, so it is wrong to say that they are unlikely to be material. Related party transactions are material by nature. It is correct to say that disclosure of related party transactions should be complete. It is also correct to say there may be a significant control risk in relation to these transactions, because it is commonly the case that management has not put in place reliable internal controls to identify related party transactions.

27 Correct answer(s):

B False

Correct answer(s):

C True

The prevention of fraud is the responsibility of management, not the auditor. However, the auditor is responsible for obtaining evidence to address the risks of material misstatement, which they failed to do in relation to payroll. SAMPLE EXAM

28 Correct answer(s):

A Inherent risk

The presence of the regulations gives rise to an inherent risk, against which the entity must put in place controls.

If the question had focused on, for example, management's process to manage the risk of non-compliance with regulations, then this might have been a control risk. This is not a detection risk because it does not have to do with the auditor's procedures. Business risk is not a type of audit risk.

29 Correct answer(s):

B Transition risk

Correct answer(s):

C Physical risk

Correct answer(s):

F Transition risk

Transition risks relate to social and economic shifts to a low-carbon economy such as changes to policy, technology and markets. This also includes the risk the company does not adapt to changes to **regulation** and **investor attitudes**.

Physical risks arise from the physical effects of climate change. In the agriculture sector droughts may have an impact, for example on irrigation. SAMPLE EXAM

Chapter 4: Process of assurance: evidence and reporting

1 Correct answer(s):

B Test of control

C Test of detail

D Analytical procedure

A walk-through procedure does not provide evidence relating to a specific balance on the financial statements, but is used instead to ensure that the systems operate as the assurance provider believes that they do. SAMPLE EXAM

2 Correct answer(s):

A Evidence from external sources is more reliable than evidence obtained from the entity's records.

A Evidence from external sources is more reliable than evidence obtained from the entity's records.

B Evidence from internal sources is more reliable when related internal controls operate effectively.

B Evidence from internal sources is more reliable when related internal controls operate effectively.

Evidence from internal sources is not more reliable than evidence created by the assurance provider (in fact, the reverse is true). The statement that photocopies are more reliable than scanned documents is not true as the assurance provider should exercise professional caution with both. SAMPLE EXAM

3 Correct answer(s):

A Occurrence

C Completeness

D Cut-off

Existence and rights and obligations would be used in respect of an account balance at the period end, not a class of transactions.

4 Correct answer(s):

A Positive (reasonable) assurance will be given on a statutory audit assignment.

B Positive (reasonable) assurance requires more rigorous work to be undertaken than negative assurance does.

D Negative assurance is assurance given in the absence of any indications to the contrary.

Positive (or reasonable) assurance will be given on an audit assignment, whereas negative (or limited) assurance is given on a review assignment, reflecting the limited procedures carried out.

5 Correct answer(s):

A Users blaming the auditors for a fraud discovered in a company subsequent to an audit.

D Users relying on the audited financial statements as a fair valuation of the company.

Directors refusing to cooperate with the auditor constitute an inability to obtain sufficient appropriate audit evidence – the fact that users discover this has nothing to do with the expectations gap.

Shareholders approving the auditor's appointment at a general meeting is a legal obligation of the company. SAMPLE EXAM

6 Correct answer(s):

B Reasonable

The statutory audit that provides reasonable assurance. No engagement can provide absolute assurance.

Correct answer(s):

F Limited

A report on prospective financial information is forward looking and so can only provide limited assurance. No engagement can provide absolute assurance.

Correct answer(s):

I Limited

A report on the review of interim financial information is usually limited to procedures such as analytical procedures (and enquiry of management), and so provides limited assurance. No engagement can provide absolute assurance.

7 Correct answer(s):

B Substantive procedures only

A substantive approach is required, as where the controls have been assessed as deficient, this means that reliance cannot be put on these controls.

Correct answer(s):

F A mix of tests of controls and substantive procedures

Where controls have been assessed as strong, this means that they can be relied upon. In this way, tests of controls are carried out coupled with reduced substantive procedures. SAMPLE EXAM

8 Correct answer(s):

C Classification

The Companies Act checklist ensures that all classification issues are addressed.

Correct answer(s):

E Completeness

Tracing non-current assets observed back to the non-current asset register ensures that this balance is recorded completely.

9 Correct answer(s):

A Existence

B Accuracy, valuation and allocation

D Completeness

Cut-off is incorrect, because it relates to classes of transactions (ISA (UK) 315: para. A190).

10 Correct answer(s):

A True

This is true, as material items must be tested with substantive procedures, although the extent of these procedures will depend on whether reliance can be placed on the related internal controls.

Correct answer(s):

D False

This is false, as while results from tests of controls may affect the extent of substantive procedures, they will not eliminate the need for them completely.

Correct answer(s):

E True

Substantive procedures do include both analytical procedures and tests of details. SAMPLE EXAM

11 Correct answer(s):

A Test of control

Observing the opening of the post is a test of control as it is the observation of a control taking place.

Correct answer(s):

D Substantive procedure

Calculation of the gross profit margin and comparison with that of the previous accounting period is an analytical procedure (which is, in turn, a substantive procedure).

Correct answer(s):

E Test of control

Reviewing for authorisation is also testing that a control has been applied. SAMPLE EXAM

12 Correct answer(s):

A Test of control

Observing inventory counting is a test of control as it is the observation of a control taking place (ie, the year-end inventory count).

Correct answer(s):

D Substantive procedure

Calculation of the quick ratio and comparison with that of the previous accounting period is an analytical procedure (which is, in turn, a substantive procedure).

Correct answer(s):

E Test of control

Inquiring into the systems used to process purchases is a test of control. SAMPLE EXAM

13 Correct answer(s):

A Areas of high audit risk

C Areas of significant auditor judgement

D Significant transactions or events

Key audit matters are the matters that are of most significance to the audit.

The auditor does not express a separate opinion on any of the key audit matters; rather, the auditor expresses a single opinion on the financial statements as a whole, and then communicates the key audit matters that relate to that opinion. SAMPLE EXAM

14 Correct answer(s):

A Potential shareholders using the statement of financial position as a fair valuation of the entity

D Users believing that the amounts in the financial statements are stated precisely

The statement of financial position is based on a mixture of fair values and amounts stated at historical cost; this would not usually represent a suitable basis for valuing a business.

The amounts in the financial statements are not stated precisely – rather, they are prepared using the concept of materiality.

It is standard practice for the audit firm to be paid by the audited entity. Ethical standards do not consider this to impair the auditor's independence.

Auditors are allowed to sell other services to the audited entity, provided that this does not create an unacceptable threat to the auditor's independence.

15 Correct answer(s):

B Identification of the criteria

D Title

A statement of directors' responsibilities and an auditor's opinion are included within an auditor's report, not an assurance report.

16 Correct answer(s):

B By exception

Whether the financial statements are in agreement with the accounting records and returns is reported only by exception (an implied opinion only).

Correct answer(s):

C Explicit

Whether the financial statements give a true and fair view of the state of the company's affairs at the end of the financial year is an explicit opinion, relating to the statement of financial position.

Correct answer(s):

F By exception

Whether details of directors' emoluments and other benefits have been correctly disclosed in the financial statements is reported only by exception (an implied opinion only).

17 Correct answer(s):

A True

The statutory audit is an assurance engagement that is required by statute (ie, by law), in which the auditor is required to report on whether the financial statements give a true and fair view. This is a reasonable level of assurance – not absolute, but more than limited.

Correct answer(s):

C True

The 'responsible party' is the party which prepared the information (eg, the financial records) on which the report is made. An assurance report is made for someone other than the party which prepared the information – a third party. This cannot be the responsible party. SAMPLE EXAM

18 Correct answer(s):

B By exception

Whether returns adequate for the audit have been received from branches not visited is reported only by exception (an implied opinion only).

Correct answer(s):

C Explicit

Whether the information given in the strategic report and the directors' report is consistent with the financial statements is an explicit opinion.

Correct answer(s):

F By exception

Whether particulars of loans and other transactions in favour of directors and others have been correctly disclosed in the financial statements is reported only by exception (an implied opinion only).

Chapter 5: Introduction to internal control and information flows

1 Correct answer(s):

B Information system and communication

Correct answer(s):

F Control activities

The process of preparing the financial statements forms part of the information processing system.

Locking the inventory storeroom is a specific control activity.

None of the above relate to the control environment, which refers to the management style and philosophy towards controls. SAMPLE EXAM

2 Correct answer(s):

B Control risk is lower than normal

Correct answer(s):

D Control risk is lower than normal

Correct answer(s):

E Control risk is higher than normal

Control risk is lower than normal (ie, internal controls are stronger) where the company has an established internal audit function (which strengthens the control environment by monitoring the adequacy and effectiveness of the controls in place) and where the board has a track record of reviewing performance, monitoring and investigating deviations from expected performance. Control risk is higher than normal where purchase invoices are not authorised (control deficiency).

3 Correct answer(s):

B Listed companies are required to have an audit committee.

C Audit committees are considered to be good practice for all large companies.

E Audit committees are an important aspect of a company's control environment.

The first option is incorrect as all members of an audit committee must be non-executive directors.

The fourth option therefore is also incorrect. The chief internal auditor does not sit on the audit committee, but should ideally report directly to this committee.

4 Correct answer(s):

A The attitude of the directors to internal controls

C The awareness of internal control issues in the company

D The actions of senior management in relation to internal controls

The second option is not correct as it is the attitude of management and senior staff that will shape the entity's control environment and not that of the ordinary staff.

5 Correct answer(s):

E Report the process to the auditors

Reporting the process to the auditors is part of the external audit process and not part of the internal risk assessment process.

6 Correct answer(s):

B False

Correct answer(s):

C True

The information system comprises all the information (be it in hardcopy or electronic form) that flows into the financial statements and does include the whole process of financial statement preparation.

7 Correct answer(s):

C Physical or logical control

Correct answer(s):

F Physical or logical control

Both are physical controls which are categorised under the control type of physical or logical controls. SAMPLE EXAM

8 Correct answer(s):

A Physical or logical controls

Comparing balances from petty cash counts with the accounting records is a physical control, because it involves the 'periodic counting and comparison with amounts shown on control records' (ISA (UK) 315).

Correct answer(s):

F Segregation of duties

Having separate clerks recording sales invoices and posting cash receipts in the sales ledger reduces the risk of fraud and error (is therefore a segregation of duties control). SAMPLE EXAM

9 Correct answer(s):

A General IT

Storing extra copies of programs and data files off-site is a general control as it supports the effective functioning of information processing controls.

Correct answer(s):

D Information processing

Checking data fields on input transactions relates specifically to the processing of individual IT applications, and is not part of the IT environment.

Correct answer(s):

F Information processing

Manual checks to ensure that input data was authorised relate specifically to the processing of individual IT applications, not the IT environment as a whole. SAMPLE EXAM

10 Correct answer(s):

B Narrative notes

Narrative notes would be the simplest way of recording a straightforward system that is not subject to a great amount of change annually. It is, however, the least effective way in terms of readily identifying the system in operation and the deficiencies of the system. SAMPLE EXAM

11 Correct answer(s):

A The company's procedures manual

B The internal audit function's system notes

D Inquiries made of company staff

The third option is not correct as, while the prior year audit file will be useful, the system may have changed in the intervening period. Furthermore, the company's website is very unlikely to contain details on the system of internal control. SAMPLE EXAM

12 Correct answer(s):

D Cyclical reviews of all master files

Cyclical reviews of the master files are an information processing control. The remainder of the options available are general controls. SAMPLE EXAM

13 Correct answer(s):

B Lack of understanding of the purposes of controls

D The possibility that staff members will collude in fraud

SAMPLE EXAM

14 Correct answer(s):

A A bank reconciliation signed by the finance director

B A cheque payment run approved by the financial controller

Comparing management accounts with budgets constitutes a verification control because although any discrepancies might require follow-up activity, there is no expectation that the two should agree. However, comparing the payables balance with supplier statements is a reconciliation control activity because ultimately the two should agree, so if they do not, action needs to be taken to align them.

15 Correct answer(s):

B False

Small companies are less likely to be successful in the implementation of segregation of duties controls due to the limited number of employees available to segregate specific tasks within the various cycles.

Correct answer(s):

C True

Given the limited number of staff in small companies and the dominance of management, controls are more likely to be overridden in smaller companies than larger ones.

16 Correct answer(s):

A Control environment

Training programme for all staff is part of the control environment.

Correct answer(s):

E Control activities

Review of actual performance versus budget is a control activity.

17 Correct answer(s):

A True

Correct answer(s):

C True

Correct answer(s):

F False

Internal controls should be applied equally to all transactions, whether material or not.

Correct answer(s):

G True

SAMPLE EXAM

18 Correct answer(s):

A True

Correct answer(s):

D False

Business risk is of relevance to the auditor as business risks may impact on the financial statements.

Correct answer(s):

E True

Management is responsible for identifying and controlling business risks although the auditor will assess business risk as part of the audit.

19 Correct answer(s):

B Authorisation and approval

This is an example of an authorisation and approval control. A verification control would compare two or more items with each other or compare an item with a policy, and will probably involve a follow-up action when the two items do not match or the item is not consistent with policy (although unlike reconciliation activities which aim to bring two different items into agreement, verification activities may not result in items matching, provided the reason for this is considered acceptable).

Correct answer(s):

C Segregation of duties

Having separate clerks recording purchase invoices and posting cash payments in the payables ledger reduces the risk of fraud and error (so this is therefore a segregation of duties control).

20 Correct answer(s):

A General IT

Correct answer(s):

D Information processing

Correct answer(s):

F Information processing

Password protection constitutes a general IT control. The remaining controls are information processing controls.

21 Correct answer(s):

A Disaster recovery procedures

B Back-up copies of programs stored at an alternative safe location

D Staff training in the use of new/revised programs

Procedures for resubmission of rejected data are an information processing control.

22 Correct answer(s):

B Flowcharts

Narrative notes are more suitable for smaller businesses. Questionnaires do not show relationships and reporting lines as clearly. Although the organisational chart would show the structure of the organisation and general reporting lines, it would not document the system in operation.

23 Correct answer(s):

A minimising business risks

E complying with laws and regulations

Minimising business risks and complying with laws and regulations are the primary reasons why organisations need effective systems of internal control. The others may result from that effective system of internal control. SAMPLE EXAM

24 Correct answer(s):

A Authorisation of transactions

C Custody or handling of assets

E Recording of transactions

Authorisation of transactions, custody or handling of assets and recording of transactions are the three functions which should ideally be separated such that no one person can initiate the transaction, record that transaction in the accounting records and have custody of assets which arise from that transaction. For fraud to take place, with such segregation of duties, there would have to be significant collusion. Preparing financial statements is a function which follows from the recording of transactions and effective budgetary control can only take place once there is confidence in the integrity of data coming from effective systems of internal control. SAMPLE EXAM

25 Correct answer(s):

B Non-executive directors only

An audit committee is made up of non-executive directors only. SAMPLE EXAM

26 Correct answer(s):

A Control environment

Correct answer(s):

F The entity's process to monitor the system of internal control

The entity's organisational structure is part of the entity's control environment. The entity's process to monitor the system of internal control involves a review of the effectiveness of controls and whether they need to be improved – hence a review by management of monthly bank reconciliations is part of that monitoring process.

27 Correct answer(s):

A Authorisation and approval

Authorisation showing that the accountant has reviewed the reconciliation.

Correct answer(s):

D Verification

This is a verification because it involves comparing an item with what ISA (UK) 315 refers to as a 'policy' (in this example, the budget), and is likely to involve a follow-up action if the expenditure is not consistent with the budget.

28 Correct answer(s):

C Authorisation of data for input

Information processing controls apply to the processing of information in IT applications (eg, sales, purchases, inventory), hence authorisation of data for input (say of purchase orders) is the information processing control. The remaining options are general IT controls, which relate to many applications and support the operation of the whole IT environment.

29 Correct answer(s):

B User selection of passwords

E Displaying the password on screen

User selection of passwords and displaying the password on screen would reduce password effectiveness. The existence of frequent changes of passwords, automatic disconnection after failed attempts and disciplinary offences if passwords are revealed would all **increase** password effectiveness.

30 Correct answer(s):

C The entity's process to monitor the system of internal control

The internal audit function monitors internal controls that are already in operation.

Correct answer(s):

D Control environment

The audit committee is part of the control environment as it contributes to the status of internal controls within an organisation.

31 Correct answer(s):

A Human error

For the preparation of reconciliations where calculations are involved, the inherent limitation is that these reconciliations are susceptible to human error.

Correct answer(s):

D Collusion

Even where duties are segregated, this control can be overridden by the collusion of the parties involved. SAMPLE EXAM

32 Correct answer(s):

A True

The external auditor is appointed by shareholders, but the audit committee makes recommendations in relation to this.

Correct answer(s):

C True

The audit committee reviews the integrity of the financial statements of the company and formal announcements relating to the company's performance.

33 Correct answer(s):

A Document counts

D Programmed matching of input to an expected input control file

All options are examples of information processing controls. Document counts ensure that the expected number of documents is submitted, and hence that the documents are complete.

A manual check to ensure input was by authorised personnel is a control over input authorisation, not completeness.

A screen warning to prevent logout before processing is complete is a control over input processing.

A programmed matching of input to an expected input control file is a control over input completeness (this is similar in principle to a document count).

34 Correct answer(s):

A Preventive

Segregation of duties is a preventive control here because its aim is to prevent unauthorised purchases from being made.

Correct answer(s):

D Detective

Reconciliation of the payables ledger with supplier statements aims to detect any misstatements that have already been made – it is therefore a detective control.

Correct answer(s):

E Preventive

Restricting users to read-only access of key folders on internal network aims to prevent unauthorised changes being made to the files in these folders. SAMPLE EXAM

35 Correct answer(s):

A General IT

Approval of applications by a sample of users and by management is a general IT control related to the development of computer applications.

Correct answer(s):

C General IT

Virus checks on software on employees' computers is a general IT control.

Correct answer(s):

F Information processing

A check that all data entered in a field contains the correct number of digits is an information processing control, since it relates to the processing of data in a particular field in a particular application.

36 Correct answer(s):

B Denial of service

The attack is a Denial of Service (DoS) attack. Such attacks are characterised by an attempt by attackers to prevent legitimate users (the customers) from using a service.

37 Correct answer(s):

B False

Executive management are responsible for putting in place adequate provisions to safeguard the organisation against cyberattacks. Audit committees also need to play a part in tackling cybersecurity, by ensuring that the executive management have put in place adequate provisions and fulfilled their responsibilities.

Correct answer(s):

C True

Organisational structures need to define responsibility and accountability for cybersecurity. In recent years there has been a growth in the number of entities operating information security functions.

Correct answer(s):

F False

Creating new positions such as the chief information security officer role and introducing dedicated information security teams is often unviable for smaller entities. Larger organisations will normally have teams in place to help prevent and react to cyberattacks.

Chapter 6: Revenue system

1 Correct answer(s):

A Orders may be taken from customers who are not able to pay.

B Goods may be despatched but not invoiced.

D Money might be received at the premises but not banked.

The third option is not correct as it is a benefit to the company if its customers do not take the full credit period and pay sooner. This would be a risk in the purchases system as it would benefit the company to take the full credit period extended to it by its suppliers. SAMPLE EXAM

2 Correct answer(s):

A Authorisation of credit terms to customers

D Checking the ageing of the current receivables ledger balance before accepting orders

Authorisations of credit terms to customers and checking the ageing of current receivables ledger balance before accepting orders in order to assess the creditworthiness and history of payments. Options two and three are not correct as they are procedures that take place after the customer has made the purchase. SAMPLE EXAM

3 Correct answer(s):

A Strength

Correct answer(s):

D Deficiency

This is a deficiency as there is no link between despatch and invoice (goods could be invoiced without being despatched), and there is no link between order and despatch (orders may not be fulfilled).

Correct answer(s):

F Deficiency

This is a deficiency as reception staff are unconnected with any of the departments with whom customers might have a query – ordering, warehouse or accounts.

4 Correct answer(s):

A True

Correct answer(s):

C True

The duties of authorisation, recording and custody of assets should be segregated. SAMPLE EXAM

5 Correct answer(s):

C Debts might be included on the receivables ledger that are not collectable.

If overdue accounts are not followed up, debts might be included on the receivables ledger that are not collectable.

Correct answer(s):

D Invoiced sales might not be properly recorded.

Where invoices are not in numerical sequence, invoiced sales might not be properly recorded. SAMPLE EXAM

6 Correct answer(s):

A Orders may be taken from customers who are not able to pay.

D Sales might be recorded in the wrong customer accounts.

If credit notes are valid, then the related invoice is cancelled. Goods received are part of the purchases system. As such, options two and three are not risks associated with the sales system. SAMPLE EXAM

7 Correct answer(s):

C Matching of despatch records with sales invoices

Despatch records are evidence of goods delivered. If there are sales invoices for each of these all sales will be invoiced. Options one and two are incorrect as they relate to the completeness of sales orders and ensure that all orders are subsequently despatched respectively. The fourth option is also incorrect as requiring customers to sign for goods confirms delivery only. SAMPLE EXAM

8 Correct answer(s):

B Invoices may not be raised for all goods despatched.

If despatch records are not pre-numbered they may be lost and therefore no invoice raised.

Correct answer(s):

F Customers may not pay promptly.

If customers do not evidence receipt of goods disputes may arise leading to slow payment. SAMPLE EXAM

9 Correct answer(s):

A Sales are only made to creditworthy customers.

D Orders can be fulfilled.

Correct invoicing is an objective of the invoicing stage of the sales system. Cut-off affects the recording stage of the sales cycle.

10 Correct answer(s):

A Strength

Orders placed by telephone, once credit checked, are entered into the system is a strength as it ensures the prompt recording of an order. Also, the customer is checked for creditworthiness before the order being generated – indicating that the company is protecting itself from loss. SAMPLE EXAM

Correct answer(s):

D Deficiency

The order should only be accepted once it has been confirmed that the goods ordered are available. The invoice should be generated once it is confirmed that the goods have reached the customer (as evidenced by the customer signing the despatch record). SAMPLE EXAM

Correct answer(s):

E Strength

A copy of any despatch records with incomplete orders filed and reviewed daily will ensure that orders are filled at a later date.

11 Correct answer(s):

A Credit notes are only issued for valid reasons.

Statement B is a control activity, not a control objective. Statement C is a test of controls, not a control objective. Statement D is a control objective relating to the purchases system, not the sales system.

12 Correct answer(s):

C The use of a pre-numbered goods despatched record for every sales transaction and internal checking for completeness of processing.

A sale should be recognised as soon as goods have been safely despatched to a customer and every despatch should be accompanied with a goods despatched record. Consequently, to obtain assurance about the completeness of sales, the auditor needs to be confident that all despatch records have been recorded in the accounting system (option C). Checking that all sales invoices have been processed merely confirms that 'all sales invoices have been processed' (option B) and similarly the existence of authorisation controls merely provides assurance as to whether transactions have been authorised (option D). The existence of segregation of duty controls (option A) does not in itself provide assurance as to completeness of recording of sales transactions.

13 Correct answer(s):

C Goods despatch records

Revenue is usually recognised when goods have been despatched to the customer as this is the point at which control transfers to the customer. In order to test for completeness of sales, auditors should therefore start from the goods despatched records. SAMPLE EXAM

14 Correct answer(s):

A Credit notes are only issued for valid reasons.

Credit notes are only issued for valid reasons – this is a control objective relating to the revenue system which will ensure that credit notes are not issued without appropriate reasons.

Checking sales invoices to despatch records is a control, not an objective.

Scrutinising customer accounts is a control, not an objective.

Orders are made only from authorised suppliers – this is a control objective relating to the purchases system.

15 Correct answer(s):

C The use of a pre-numbered goods despatched note for every sales transaction and internal checking for completeness of processing

Only the third option provides evidence of sales completeness.

Segregation of duties does not principally provide assurance of sales completeness.

Issuing pre-numbered sales invoices just confirms that all the invoices have been processed through the invoicing system – this does not mean that the invoices tie in with goods actually despatched.

Authorisation controls provide assurance only that the transactions have been authorised, and do not help with the completeness assertion.

16 Correct answer(s):

A Sales are included in the wrong customer accounts.

D Credit notes might not be properly recorded.

If sales are included in the wrong customer accounts, or credit notes are not properly recorded, then this comes as a result of an error in recording.

Goods being recorded incorrectly is, logically, not a risk associated with recording. It might result from deficiencies with sales ordering, for example.

Goods being despatched but not invoiced for would be more likely to result from an error in despatching and invoicing than from recording.

Chapter 7: Purchases system

1 Correct answer(s):

C Verifications

Correct answer(s):

F Physical or logical

Analysis of actual performance against budget is verification (since it involves the comparison of an item with a policy). Checking numerical sequences is a logical control to do with the completeness of records.

2 Correct answer(s):

A Accepting inferior quality goods.

The second option is incorrect as it does not relate to the goods inwards stage of the purchase system. The third option is also incorrect as the question refers to goods and not services.

Correct answer(s):

E False invoices could be paid.

The checking of invoices to orders will reduce the risk of accepting invoices for goods or services which were not ordered. SAMPLE EXAM

3 Correct answer(s):

B Deficiency

There is no authorisation of payment orders.

Correct answer(s):

C Strength

Company only recognises liability for services received.

Correct answer(s):

E Strength

Payments authorised. SAMPLE EXAM

4 Correct answer(s):

A Purchase orders are processed by the buying department following authorisation by the production director.

B Purchase requisitions must be signed by two team members for any given project.

The answer is not option C as inappropriate orders could still be made with authorised suppliers. The answer is not option D as once inappropriate orders have been authorised, matching the order with the invoice will not **prevent** that act having taken place.

5 Correct answer(s):

C Jack Frost and Tiny Tim should requisition materials as production needs dictate, but orders should be placed by the purchasing department, having been authorised by the purchasing director.

Jack Frost and Tiny Tim should requisition materials as production needs dictate, but orders should be placed (and by implication authorised) by the purchasing department. The managing director would not be involved in authorising normal purchasing transactions in a company with a purchasing department. Someone other than the production department leaders should authorise purchases. SAMPLE EXAM

6 Correct answer(s):

A Matching of purchase invoices with goods received records

As it is company policy to record goods only if accepted then a comparison of invoices with goods received records would identify if the goods had not been accepted – as there is no goods received record, the goods must have been faulty (or rejected for some other reason). This would then prevent the invoice from being processed. SAMPLE EXAM

7 Correct answer(s):

A Authorisation and approval

Correct answer(s):

D Physical controls

Purchases not being made from the approved list is an error of authorisation and approval. Physical security measures should reduce risk of theft.

8 Correct answer(s):

B Purchase of inferior goods

Purchase of goods from unauthorised suppliers is likely to lead to inferior goods being purchased.

Correct answer(s):

D Payment to fictitious suppliers

By having access to the payables master file, purchase ledger clerks are in a position to create fictitious suppliers and so then enable payments to them.

9 Correct answer(s):

A All orders are authorised by a senior staff member.

B Blank order forms are kept in a secure location with restricted access.

D Order forms are sequentially pre-numbered.

The third statement is not a control activity, it is a control objective relating to the purchases system. The others are all control activities.

10 Correct answer(s):

B Deficiency

Although a record of orders is kept, there is a lack of segregation of duties as the buyer both places and authorises the order. A director should authorise purchases (particularly those above a certain cost limit) rather than the buyer.

Correct answer(s):

D Deficiency

The buyer only checks the goods received to ensure that the quantities are the same as were ordered.

Correct answer(s):

F Deficiency

The buyer appears to have complete control over what is purchased by Woggle Ltd. There does not appear to be any kind of purchase limit placed upon her, or any reference made to the sales department for what they want to sell. There is a risk that the buyer could purchase items for personal use.

11 Correct answer(s):

A Unauthorised purchases may be made for personal use.

The risk of not taking full advantage of a period of credit would be a consequence of problems with goods received or payments.

Correct answer(s):

C Goods may be misappropriated for private use.

The risk of goods and services not being obtained on the most advantageous terms would be more likely to arise at the ordering stage.

Correct answer(s):

F Invoices are paid at the wrong time.

The risk of invoices not being recorded would arise at the goods received/invoicing stage, before the production of a payment listing.

12 Correct answer(s):

A Unauthorised purchases may be made for personal use.

Comparing goods received records with purchase orders is mainly a check on whether the purchases have been authorised and are bona fide purchases.

Correct answer(s):

D Goods and services may not be obtained on the most advantageous terms.

Monitoring supplier terms helps ensure that the terms obtained are the most advantageous ones available.

Correct answer(s):

E Goods and services received may not be accurately recorded.

Although it is true that pre-numbered goods received records would help to ensure that liabilities are recorded correctly, this is only as a consequence of the goods or services first having been recorded accurately.

13 Correct answer(s):

B Deficiency

Blank order forms should not be readily available, but should be secured; if they were readily available then anyone with access to them could place an order.

Correct answer(s):

D Deficiency

Instead of allowing buyers a free choice of suppliers, there should be a central policy for the choice of suppliers so that only authorised suppliers are used. Such suppliers should have been vetted to verify that they give the best value for money.

Correct answer(s):

E Strength

Preparing order forms only when a pre-numbered purchase requisition has been received is a strength, as goods will only be ordered once the need for such goods has been approved. SAMPLE EXAM

14 Correct answer(s):

A A purchase ledger clerk checks all supplier invoices against the order and the goods received record.

D All purchase order forms are sequentially pre-numbered.

The remaining options describe control objectives rather than control activities. SAMPLE EXAM

Chapter 8: Employee costs

1 Correct answer(s):

B Temporary staff should complete work schedules, authorised by their supervisor.

It is the temporary staff's work schedules that document the hours worked. As such they require control to ensure that it is only the hours authorised that are subsequently paid. SAMPLE EXAM

2 Correct answer(s):

A The payroll should be checked back to individual employee personnel records.

B Payroll totals should be compared to adjusted budgets on a monthly basis.

D BACS transfer lists should be authorised by the head of personnel.

The third option is not correct as it does not relate directly to the employees' payments but to their tax deductions.

3 Correct answer(s):

B False

Clocking in and out of work ensures correct recording of the hours clocked in and out, but has no bearing on the rate of pay.

Correct answer(s):

C True

Correct answer(s):

E True

4 Correct answer(s):

A Employees may be paid the wrong amounts

Correct answer(s):

C Employees may be paid the wrong amounts.

Both cases lead to the possibility that employees are paid the wrong amounts. SAMPLE EXAM

5 Correct answer(s):

A Strength

All three processes represent strengths. Process 1 involves physical security as a control. Process 2 has elements of performance review and authorisation. Process 3 is also a strength as an authorisation control features.

Correct answer(s):

C Strength

Correct answer(s):

E Strength

6 Correct answer(s):

C The BACS list is reviewed by the chief accountant together with supporting payroll documentation

D The print out from the bank is agreed to the BACS list and any discrepancies investigated

The first two options are not correct as authorisation of overtime ensures that the correct number of hours are paid for and reperformance of payroll calculations ensures the accuracy of the deductions etc.

7 Correct answer(s):

B The payroll clerk can amend standing data on the payroll system without authorisation from a senior member of staff.

C Personnel records are not kept up to date.

Unauthorised amendments could result in the creation of bogus employees or overpayment of existing employees. Personnel records contain details of pay rates. If these are not kept up to date, standing data in the payroll system may also be invalid. The first and fourth options would not lead to misstatement in the financial statements.

8 Correct answer(s):

A True

Correct answer(s):

C True

Correct answer(s):

F False

Whilst the risk of errors is reduced in a computerised payroll system, a sample of calculations should still be checked. This may also bring to light errors with standing data and input.

9 Correct answer(s):

B Use of hierarchical passwords over standing data files

In order to prevent this from happening, the key is that fictitious employees never make it onto the payroll. The financial controller is concerned that an employee from the accounts department, who has the right to access the payroll system, might be so unscrupulous as to add a fictitious employee and gain access to the wages.

- Payroll standing data periodically printed out and checked on a line-by-line basis to independently held employee details – this will **detect** fictitious employees added but will not **prevent** fictitious employees from being added.
- Use of hierarchical passwords over standing data files – this will allow the company to restrict access to standing data files to a responsible official, yet still allow other employees to process the wages. This means that an unscrupulous employee **cannot** access the part of the system where new employees would be added and hence will prevent the fraud. This is therefore the correct answer.
- Pre-authorisation of all amendments to payroll standing data by an independent official – an unscrupulous employee will not ask for authorisation – they will simply add the fictitious details if the system allows them to do this.
- Supervision of the wages payout by an independent official – again, this might detect dummy employees but would be unlikely to prevent the fraud.

10 Correct answer(s):

B Access controls

D Encryption of data

Access controls and encryption of data will reduce the risk of unauthorised disclosure. Exception reporting and an independent review of the payroll would help identify unauthorised changes to payroll information. Back-up procedures would help in the protection of company data.

11 Correct answer(s):

B The company may pay employees who have left

The deficiency arises when calculating wages and salaries: a failure to check wages to the personnel file could result in an employee who has left (which would be recorded on the file) being included on the payroll. The recording of pay in the general ledger would not be directly affected by this.

Correct answer(s):

D The various elements of pay might not be calculated correctly

The deficiency arises when calculating pay (ie, ensuring that the amounts on the payroll reflect the amount recorded on the timesheets), so would not directly affect the general ledger.

Correct answer(s):

E Payments might be made incorrectly

The deficiency arises after the calculation of the payroll, so although it might expose errors in that calculation it is more likely to expose errors in the amount paid/general ledger. SAMPLE EXAM

12 Correct answer(s):

B False

The payroll master file would not contain details of cumulative statutory deductions to date – these would be included on the monthly payroll instead.

Correct answer(s):

D False

Statutory deductions do not affect gross pay.

Correct answer(s):

E True

13 Correct answer(s):

A One for one checking of payroll details back to independently maintained personnel records

C Reconciliation of total pay and deductions between one pay day and the next

Segregation of duties would not help ensure that the elements of pay are recorded correctly (although it may help eg, to prevent unauthorised payments from being made).

Encryption of data would help to safeguard the payroll data.

14 Correct answer(s):

B The company may pay employees who have left

Not keeping adequate records of changes in personnel and pay rates would not in itself affect the entries to the general ledger.

Correct answer(s):

C Pay might not be recorded correctly in the general ledger

Having no procedures for dealing with non-routine matters would not cause employees to be paid too much money in itself, but is more likely to affect the entries to the general ledger.

Correct answer(s):

F The company may pay employees who have left

A lack of segregation of duties would be more likely to result in making the wrong payment than in an error making entries to the ledger. SAMPLE EXAM

Chapter 9: Internal audit

1 Correct answer(s):

A Examination of financial and operating information

B Review of the company's compliance with laws and regulations

Authorising unusual transactions and developing internal control systems are part of the accounting function in an entity. In order for the internal audit function to operate objectively and independently, it should not be involved in these activities. SAMPLE EXAM

2 Correct answer(s):

A Monitoring the company's overall risk strategy

C Testing internal controls in the purchasing department

The second and fourth options are not correct as they are too operational and would compromise internal audit's monitoring role. SAMPLE EXAM

3 Correct answer(s):

B Giving expert advice on technical accounting matters

C Liaising with the external auditors

D Auditing board reports not audited by the external auditors

The first option is not correct as it is the external auditors who have the legal duty to carry out the statutory audit. It is, however, usually encouraged that there is some cooperation between the internal and external auditors where this is possible.

4 Correct answer(s):

B False

Having an internal audit function is not a requirement of the UK Corporate Governance Code but the need for directors to review the need for one annually is.

Correct answer(s):

C True

Correct answer(s):

E True

SAMPLE EXAM

5 Correct answer(s):

B False

Correct answer(s):

D False

Correct answer(s):

F False

All of the statements are false. Because independence is a concern, internal audit report to the board of directors or the audit committee. The UK Corporate Governance Code does not require listed companies to have an internal audit function per se, but requires companies to consider the need for one annually, in order to maintain an adequate system of internal controls. Internal audit uses both testing of internal controls and substantive testing, as appropriate to the task in hand. SAMPLE EXAM

6 Correct answer(s):

B Special investigation into the profits of the New York Hiltson where the group directors suspect a fraud may have been carried out

C Tests of the controls at the Edinburgh Hiltson as part of a routine internal audit cycle

Secondment to the financial controller role and being involved in the identification of risks should not be carried out by the internal auditor. This is because these roles are operational and would compromise the ability of internal audit to provide a monitoring role. The risk assessment should be undertaken by the risk assessment committee or whomever is responsible for risk assessment.

7 Correct answer(s):

A Monitoring of internal controls

B Making recommendations regarding improvements to controls

C Examining and testing financial information

Expressing an opinion on the truth and fairness of the financial statements is done by the external auditor only.

8 Correct answer(s):

B An audit of the operational processes of the organisation

An operational audit is just one type of work carried out by the internal auditor. Other audit work might include, for example, investigation into a suspected fraud. Therefore, the term does not apply to all internal audit work.

9 Correct answer(s):

A Board of directors

C Audit committee

The second and fourth options are incorrect as external auditors report to the shareholders and, although internal auditors will normally provide information to the external auditors, they do not formally report to them.

10 Correct answer(s):

A Review of compliance with laws and regulations

B Assessment of the effectiveness of internal controls

D Carrying out tests of details on transactions and balances

The external auditor may identify efficiency issues during the course of the statutory audit but audit work is not specifically planned with this objective.

11 Correct answer(s):

A Examination of financial and operational information for management

C Review of accounting systems and related controls

D Advising management on cost-effective controls for systems and activities

Internal audit should not have operational responsibilities so should not authorise transactions or routinely prepare bank reconciliations.

12 Correct answer(s):

B Their work is focused on the operations of the entire business.

C The role can be carried out by employees of the entity.

External auditors do not focus on operations, as their prime focus is providing an opinion on the financial statements.

External auditors are appointed by the shareholders of an entity and cannot be employees of the entity in order to maintain their objectivity and independence. SAMPLE EXAM

Chapter 10: Documentation

1 Correct answer(s):

B To help the assurance team to plan and perform the engagement

C To retain a record of matters of continuing significance to the engagement

D To enable an experienced assurance provider to carry out quality reviews

Confirming the terms of the engagement is done in the engagement letter and does not constitute a reason for assurance providers to record their work. SAMPLE EXAM

2 Correct answer(s):

A The name of the client

C The date the work was carried out

D The date the work was reviewed

The second option is not correct because the details relating to the planning of the work will be included in the planning memorandum. The answer is not the fifth option as the initials of the person supervising the work are not necessary, but the reviewer would initial the working paper. The supervisor and the reviewer might be the same person, but not necessarily.

3 Correct answer(s):

A Engagement letter

D Previous year's signed financial statements

The second, third and fifth options will be kept on the current year audit file. SAMPLE EXAM

4 Correct answer(s):

B Permanent audit file

Correct answer(s):

D Current audit file

Correct answer(s):

G Current audit file

The engagement letter will be held on the permanent audit file. The audit plan and manager review notes will be on the current file only. SAMPLE EXAM

5 Correct answer(s):

B Communications with experts

C Audit file review notes

D Copies of management accounts

Details of the history of the client's business and lease agreements would be held on the permanent audit file.

6 Correct answer(s):

A True

Correct answer(s):

C True

Correct answer(s):

F False

Working papers belong to the auditor and should be stored securely by the auditor in locked premises. Although ISA 230 requires documentation to be kept for a minimum of five years from the date of the auditor's report, ICAEW requires registered auditors to keep all audit working papers required by auditing standards for a period of at least six years from the end of the accounting period to which they relate. SAMPLE EXAM

7 Correct answer(s):

A Valid

Correct answer(s):

D Not valid

Correct answer(s):

E Valid

The second statement is not valid as there is no direct correlation between the number of working papers produced and the audit fee charged. The other two statements are valid. SAMPLE EXAM

8 Correct answer(s):

B Not valid

Fieldwork documentation does not help in establishing the audit strategy.

Correct answer(s):

C Valid

Fieldwork documentation helps in an effective review process.

Correct answer(s):

E Valid

The fieldwork documentation provides a record of evidence gathered.

9 Correct answer(s):

A They may result in substantial time-savings.

B The risk of errors is reduced.

D They will be easier to review.

The third option is not correct as computerised audit processes cannot replace the exercise of judgement by the auditor. SAMPLE EXAM

10 Correct answer(s):

C Six years from the end of the accounting period to which they relate

Six years from the end of the accounting period to which they relate is the ICAEW requirement. SAMPLE EXAM

11 Correct answer(s):

C The auditor must ensure the safe custody of audit documentation for at least six years from the end of the accounting period to which it relates.

SAMPLE EXAM

12 Correct answer(s):

A True

Matters of significance should be documented for both current and future audits.

However, documentation must be prepared on a timely basis, as any delay could lead to inaccurate working papers. The need for reflection is unlikely to benefit the auditor's judgement in such cases! Working papers can also be updated as and when subsequent information/evidence is obtained.

Correct answer(s):

D False

Correct answer(s):

E True

SAMPLE EXAM

Chapter 11: Evidence and sampling

1 Correct answer(s):

B Inspection of a purchase invoice confirms the cost of inventory

D Inquiry of third parties gives better evidence than inquiries of entity insiders

Inspection of assets does not confirm rights and obligations as the asset might be possessed wrongfully or leased and inspection will not show that. Observation gives only weak evidence of the matter being observed and only at the moment the matter was being observed, not the next time it is done, unobserved.
SAMPLE EXAM

2 Correct answer(s):

A When checking calculations on a selection of invoices

B When extracting a sample of invoices over a certain value

C When extracting all invoices to specific customers

The fourth option is not correct as test data, as opposed to audit software, is used to test controls over processing.
SAMPLE EXAM

3 Correct answer(s):

A consider whether the information they might require will be available.

B consider the knowledge gained during previous assurance engagements.

C consider the source of the information and whether it is reliable.

The fourth option is not correct as the assurance provider may use information that has been internally generated at the entity, provided they are satisfied that information has been properly prepared.
SAMPLE EXAM

4 Correct answer(s):

D Recalculating the interest accrued on the basis of outstanding amount, interest rate and period to which it relates

Recalculating the interest accrued on the basis of outstanding amount, interest rate and period to which it relates would be the most appropriate for verification of the interest accrued on borrowings. Confirming the interest rate with the lender would not verify the total interest accrued balance (as the interest rate is only one component of the calculation) nor would vouching the interest payment (as interest paid is not the same as interest accrued). Testing the internal controls over cash payments would not lead to direct verification of the interest accrued.
SAMPLE EXAM

5 Correct answer(s):

A When testing for overstatement, the assurance provider will test items from the accounting records to the supporting documents.

D When testing for understatement, the assurance provider will select items from outside the accounting records and trace to the records.

When testing for **over**statement (ie, seeking to discover errors), the assurance provider will test items from the accounting records to the supporting documents. When testing for **under**statement (ie, seeking to discover omissions), the assurance provider will select items from outside the accounting records and trace to the records.
SAMPLE EXAM

6 Correct answer(s):

C A decrease in the assurance provider's assessment of the risk of material misstatement

D An increase in the level of expected misstatement

The time available to complete the test and the skill of the team member assigned to carry out the test will not affect the number of items to be tested, whereas risk assessment and expected misstatement will. SAMPLE EXAM

7 Correct answer(s):

A Random selection

B Systematic selection

E Monetary unit selection

Sequence sampling would more commonly be used in testing controls. Haphazard selection should not be used when the assurance provider is using statistical sampling. SAMPLE EXAM

8 Correct answer(s):

C Confirmation

Correct answer(s):

D Inspection

Correct answer(s):

H Observation

Documents and other pieces of evidence are inspected. Processes are observed. External confirmations involve seeking evidence from a third party. SAMPLE EXAM

9 Correct answer(s):

A True

Correct answer(s):

C True

Correct answer(s):

F False

Audit software makes use of the **assurance provider's** own specialised software. It can extract and analyse information from the client's system. Test data is used to test controls by inputting data which should activate a control and checking that it does so. SAMPLE EXAM

10 Correct answer(s):

D Inspection of a sales invoice

Inspection of a sales invoice produced by the client would constitute the least persuasive method of gathering evidence as it is the least reliable of all the options. The supplier's invoice is more reliable as it comes from a third party and reperformance of calculations and reconciliations is also more reliable as this evidence is generated by the assurance provider/reporting accountant. SAMPLE EXAM

11 Correct answer(s):

B Decrease

Correct answer(s):

F Negligible effect

Correct answer(s):

H Decrease

For **tests of controls**:

- An increase in tolerable misstatement will cause a decrease in sample size as an increase in the amount of 'acceptable misstatements' (or audit risk acceptable) will reduce the extent of the work necessary to be performed (as there is a corresponding acceptable increase in detection risk).
- An increase in the population will have a negligible effect on sample size as it is not a factor that determines the sample size.
- A decrease in the auditor's required confidence level will lead to a decrease in sample size.

SAMPLE EXAM

12 Correct answer(s):

B A decrease in the expected misstatement will decrease the sample size.

D An increase in the extent to which the risk of material misstatement is reduced by the operating effectiveness of controls will decrease the sample size.

Per ISA (UK) 530, regarding factors influencing sample sizes for tests of controls:

- An increase in the number of sampling units will have a negligible effect on the sample size.
- A decrease in the tolerable misstatement will increase sample size.

13 Correct answer(s):

B False

Correct answer(s):

C True

Correct answer(s):

F False

Physical examination of property, plant and equipment confirms existence (it may belong to a third party). The reliability of inquiry depends on who is providing the information. A third party eg, a bank would normally be a reliable source.

SAMPLE EXAM

14 Correct answer(s):

B Less reliable

A sales invoice is less reliable than a purchase invoice as it is internally generated.

Correct answer(s):

C More reliable

Original documents are more reliable than copies.

Correct answer(s):

E More reliable

A bank statement is more reliable than the cash at bank nominal ledger account as it is generated by a third party.

15 Correct answer(s):

B Observation of a procedure

The weakness of observation of a procedure is that the conclusion drawn as a result only applies to the system at the time the observation took place – hence it is limited to the point in time it takes place.

Correct answer(s):

C Performing analytical procedures

The usefulness of the performance of analytical procedures is limited by the underlying accounting system which generates the balances under review.

Correct answer(s):

F Direct confirmation of a payables balance

A respondent will agree to an overstated balance if that is direct confirmation in respect of a payables balance (they would disagree if the amount they owed – ie, a receivables balance – were overstated). SAMPLE EXAM

16 Correct answer(s):

A Compulsory

Correct answer(s):

D Optional

Correct answer(s):

E Compulsory

Per ISA (UK) 315 (Revised), analytical procedures **must** be used at the risk assessment stage of an audit. Per ISA (UK) 520, they **must** also be used at the overall review stages of an audit and **may** be used as a substantive procedure. SAMPLE EXAM

17 Correct answer(s):

B Budgeted figures in the past have proved to be highly optimistic

D Significant deficiencies in the internal control system have been identified in the past

If budgets are not realistic, they will not provide a reasonable basis for comparison with actual. Deficiencies in internal controls reduce the reliability of the basic accounting information which will be used in the analytical procedures.

18 Correct answer(s):

A Selecting a sample of despatch records and tracing these to a matching sales invoice and entry in the sales account

C Selecting a sample of items of plant physically verified by the assurance provider and tracing these to an entry in the asset register

Tests for understatement (ie, omission) cannot start from the source being tested for understatement/omission. They must start from some other source and trace through to the accounting records, to prove that nothing has been omitted (ie, the entity's transactions or balances are not understated).

19 Correct answer(s):

A Investigate the nature and cause of the misstatements

B Consider the effect of the misstatements on other parts of the audit

C Estimate the probable overall misstatement by extrapolating the results

The fourth option is not correct as tolerable misstatement is related to the auditor's judgement about materiality. SAMPLE EXAM

20 Correct answer(s):

A Increase

An increase in the auditor's assessment of the risk of material misstatement would cause the sample size to increase as an increase in audit risk can only be addressed and reduced by an increase in the work carried out.

Correct answer(s):

D Decrease

An increase in the use of analytical procedures to test the same assertion would decrease the sample size, so that the area is not over-audited.

Correct answer(s):

E Increase

An increase in the expected misstatements would lead to an increase in the sample size.

21 Correct answer(s):

B False

Correct answer(s):

C True

Correct answer(s):

F False

Test data is used to test controls. Audit software (not test data) can be used to help in the calculation of ratios.

22 Correct answer(s):

A A misstatement or deviation that is demonstrably not representative of misstatements or deviations in a population

The misstatement that the auditor expects to be present in the population = expected misstatement. Control deviations, when performing tests of control, or misstatements, when performing substantive procedures = misstatement. The maximum error in the population that the auditor would be willing to accept = tolerable misstatement.

23 Correct answer(s):

A Monetary unit sampling

Correct answer(s):

E Block selection

Systematic selection involves selecting items using a constant interval between selections, the first interval having a random start.

SAMPLE EXAM

24 Correct answer(s):

B False

Correct answer(s):

C True

Correct answer(s):

E True

Positive confirmations may request that the respondent provides the balance owing as opposed to simply confirming the balance stated. A sample taken from a list of receivables is more effective than for payables, as in this way testing the balance for overstatement is carried out directly. For payables, the auditor's key concern is that of understatement and testing a sample from the payables listed will not test understatement. A positive confirmation is more reliable than a negative confirmation as in the first case, a response is always sought.

25 Correct answer(s):

D Recalculating the portion of the invoice amount which relates to the reporting period

A supplier statement would not include this invoice, as it was dated after the year end.

Vouching the payment would not help to determine whether the expense and the payable were included correctly.

Testing internal controls would provide evidence over accruals in general, but would not be relevant to this invoice specifically.

Only by recalculating the prorating of the invoice can the auditor be confident that the correct amount has been included.

26 Correct answer(s):

B Testing primarily for completeness of accruals

Reviewing post year-end invoices begins with the invoices and traces them back to the accounting system. This is an attempt to find expenses which have been omitted from the system.

Correct answer(s):

C Not a relevant procedure for payables

Reviewing post year-end supplier payments is a test not often conducted – all it could really tell the auditor is whether the entity has the cash to pay its suppliers. This procedure is not to be confused with post year-end receipts from receivables, which is an important test of debt recoverability.

Correct answer(s):

E Testing primarily for cut-off of accruals

Recalculating the amount accrued is primarily a test of cut-off because it focuses on the split between the period before and after the year end. It does also, therefore, test completeness, but this is not its primary aim.

27 Correct answer(s):

A True

A key element of data analytics is the ability to process very large and complex data into simple visual representations, which can help auditors to spot trends they might otherwise have missed.

Correct answer(s):

D False

Data analytics is not about spending time tailoring the procedures to the client (as was the case with the older computer-assisted audit techniques). A major advantage of data analytics is that it is standardised.

Correct answer(s):

E True

Data analytics makes it possible not just to test large quantities of transactions very quickly, but also to test whole populations of transactions and so, potentiality and in the future, to revolutionise the whole basis of auditing! SAMPLE EXAM

28 Correct answer(s):

B False

Inquiring about controls over petty cash will not be strong evidence on its own as employees could misrepresent the facts in their responses (especially if attempting to conceal a fraud they may be involved in).

Correct answer(s):

C True

Recalculation by the auditor of amounts used by the client does provide strong evidence as there is no influence from the client.

Correct answer(s):

F False

Re-performance of an internal control can be strong evidence as long as the auditor has completed some or all of this re-performance – otherwise, it is less likely to be considered strong evidence as the employee may have deliberately avoided certain conditions that would have provided audit evidence of poor operation.

29 Correct answer(s):

C Extracting samples of transactions for further examination

Computer-assisted audit techniques (CAATs) have been used by auditors to extract samples of transactions for many years, but the advent of computers that can handle such 'big data' now means that entire populations can be tested, rather than just samples.

The remaining options are all recommended by the FRC (2017) as areas where audit data analytics can be used to streamline the audit.

30 Correct answer(s):

B The size of the misstatement

C The circumstances of the occurrence of the misstatement

D The nature of the misstatement

It is possible that a misstatement below the materiality level for the financial statements as a whole may still be considered material if it remains uncorrected – examples of the reasons given include the extent to which the misstatement affects compliance with regulatory requirements or debt covenants, masks a change in earnings or other trends or even increases management compensation and triggers the payment of a bonus.

The remaining options (size, nature and circumstances) are all used by the auditor to determine whether an uncorrected misstatement is material.

31 Correct answer(s):

C The auditor's report may be signed electronically and may be published online.

The auditor's report may be signed electronically, which facilitates remote working practices such as those that became widespread during the Coronavirus pandemic.

The auditor's report may be published online. A report that is prepared in line with ISA Standards will be clearly addressed to the members of the company, so it is possible for it to be published online alongside the audited financial statements.

Chapter 12: Written representations

1 Correct answer(s):

A Management's belief that it has fulfilled its responsibility for the preparation of financial statements.

B All transactions have been reflected in the financial statements.

C The fact that management has provided the auditor with all relevant information.

The fourth option is not correct as the level of materiality used during the audit is the responsibility of the auditors. SAMPLE EXAM

2 Correct answer(s):

C Management's belief that it has fulfilled its responsibility for the preparation of the financial statements

D That the financial statements record and reflect all transactions

Auditors may only obtain written representations to support other audit evidence (ISA (UK) 580 paragraph 13).

Where evidence is missing due to a fire, this is not a matter to obtain a written representation on but is an inability to obtain sufficient appropriate audit evidence.

3 Correct answer(s):

A True

Correct answer(s):

D False

Correct answer(s):

F False

Statement 2 is false as this is an inability to obtain sufficient appropriate audit evidence. Statement 3 is also false because if written representations are inconsistent with other audit evidence, the auditor shall perform audit procedures to attempt to resolve the matter. If the matter remains unresolved, the auditor shall reconsider the assessment of management. SAMPLE EXAM

4 Correct answer(s):

A Required

Correct answer(s):

D Not required

Correct answer(s):

F Not required

Specific written representations may include confirmation from management that accounting policies selected are appropriate, but this is not compulsory.

Auditors may only obtain written representations to support other audit evidence (ISA 580 paragraph 13).

5 Correct answer(s):

A To support other evidence about the suitability of accounting policies

C To support inspection of a board minute introducing the directors' intention to sell a material investment

The other two options would not be valid circumstances in which to seek written representations. If information normally expected to be available is unavailable, this would indicate an inability to obtain sufficient appropriate audit evidence. The fact that an alternative audit procedure is time-consuming is not a reason to seek a written representation – a written representation cannot act as a substitute for other evidence which is expected to exist. SAMPLE EXAM

6 Correct answer(s):

A Whether there are plans to abandon product lines that will result in obsolete inventory

D Whether there are any undisclosed subsequent events

The auditor should be able to obtain sufficient alternative evidence regarding the existence of plant and equipment and reconciling items on the cash at bank account.

7 Correct answer(s):

B False

Correct answer(s):

C True

Correct answer(s):

F False

It is usually only of senior management that auditors request written representations, as they are responsible for matters of judgement, cooperating with the auditors etc.

Written representations cannot be used as a substitute for other evidence that is expected to be available. SAMPLE EXAM

8 Correct answer(s):

A Acknowledgement that management has fulfilled its responsibility for the preparation of the financial statements

C Acknowledgement by management of its belief that the aggregate of uncorrected misstatements is immaterial to the financial statements

Acknowledgement that management has fulfilled its responsibility for the preparation of the financial statements and acknowledgement by management of its belief that the aggregate of uncorrected misstatements is immaterial to the financial statements are the two purposes of the written representation letter from the list provided.

Where other evidence is available on a matter, the written representation letter does not serve to provide evidence. Management's confirmation of the scope of the work to be carried out is included in an engagement letter.

9 Correct answer(s):

B ISA (UK) 300, Planning an Audit of Financial Statements

ISA (UK) 300, *Planning an Audit of Financial Statements* is not referred to in a written representation letter as it relates to how the auditor plans the audit, which is beyond the scope of management and those charged with governance of an audited entity.

Fraud, related parties and subsequent events are all areas where the auditor has a responsibility to receive representations from management regarding specific aspects of the audit. SAMPLE EXAM

10 Correct answer(s):

A ISA (UK) 570, Going Concern, regarding management's future plans and their feasibility

D ISA (UK) 450, Evaluation of Misstatements Identified During the Audit, regarding management's belief that uncorrected misstatements are immaterial

ISA (UK) 700 does not require the auditor to obtain a written representation regarding the truth and fairness of the financial statements. Rather, it is the purpose of the audit to provide an opinion on whether this is the case.

ISA (UK) 250 Section A does not mandate a representation that the entity has actually complied with all applicable laws and regulations, but instead that all known instances of non-compliance have been disclosed to the auditor. If one reflects on this then it can be seen to be logical when one considers non-compliance: if the ISA required the auditor to obtain a representation that all laws had been complied with, then a single act of non-compliance would make this impossible. This would mean that the auditor would not be able to fulfil the ISA requirement, which would have disproportionately great consequences for the audit.

Chapter 13: Substantive procedures – key financial statement figures

1 Correct answer(s):

A Title deeds

B Purchase invoices

C Vehicle registration documents

The rights and obligations assertion means that the entity holds or controls the rights to assets. Although vehicle registration documents show registered keeper, not owner, the keeper is likely to have control of the asset. Both title deeds and purchase invoices give evidence of ownership (which gives control). Sales invoices give evidence of no longer having ownership of something and do not therefore **support** the rights and obligations assertion. SAMPLE EXAM

2 Correct answer(s):

D Cut-off

Cut-off is a financial statement assertion that affects classes of transactions, not account balances.

SAMPLE EXAM

3 Correct answer(s):

B Post year-end sales invoices

C Post year-end sales orders

Post year-end sales invoices and orders. The controls over counting relate to existence, not valuation. A post year-end sales price list gives evidence of management intention in relation to inventory, but not evidence of the price that customers are genuinely prepared to pay (in the way that invoices and orders do). SAMPLE EXAM

4 Correct answer(s):

B It requires the customer to reply giving or confirming or disagreeing with the balance.

The fact that a positive confirmation requires the customer to reply to confirm or deny the balance (or to reply giving the balance) is the reason why this method is generally preferred in preference to a negative confirmation. This is because a negative confirmation **only** requires a reply if the balance is not agreed – thereby giving poorer quality evidence as if there is no reply the auditor cannot be sure that the customer has not just ignored the letter (or whether they have even received it). The answer is not "It is carried out in the auditor's name", since negative confirmations are also carried out in the auditor's name. "It only requires the customer to reply if they disagree with the balance" describes a negative confirmation and so is not correct. "It requires replies to be sent to the client" does not apply to any type of confirmation. SAMPLE EXAM

5 Correct answer(s):

C Review of cash paid after date

Direct confirmations with customers are not appropriate for determining valuation as they only provide confirmation of the existence and rights and obligations of the year-end trade receivables balance, whereas the receivables ledger and sales invoices are part of the client's own records and as such may not be as reliable as reviewing actual cash amounts received.

6 Correct answer(s):

A An individual cash float is material

D The auditor suspects that a fraud has been committed in relation to immaterial cash floats

The auditor should count an individual cash float which is material because they should test all material items. They should also count immaterial cash floats where they suspect that fraud has been committed as although the individual floats are immaterial, the overall impact of such fraud could be material to the financial statements if repeated over time.

7 Correct answer(s):

A Completeness

Completeness (ie, understatement): liabilities are generally tested for understatement, as they are more likely to be understated than overstated.

Existence (overstatement): a higher-risk assertion for assets, as opposed to liabilities. Presentation and classification are generally less risky assertions in this case. SAMPLE EXAM

8 Correct answer(s):

B The auditors suspect that the client is deliberately understating payables

C The internal controls relating to purchases are weak

D Supplier statements are unavailable

Although a payables circularisation does provide third-party evidence, it is unnecessary on those grounds alone, because supplier statements provide third-party evidence as well. Therefore, a payables circularisation will only be needed where there is some problem, such as those described in the final three options.

9 Correct answer(s):

B Sales constitute a high volume of similar transactions which are suitable for controls testing.

C Controls over sales in a company are often strong.

"Sales constitute a high volume of similar transactions which are suitable for controls testing" is correct – that sales constitute a high volume of similar transactions and are hence suitable to controls testing. Regarding "Controls over sales in a company are often strong", where controls are expected to be strong, ISA (UK) 330 requires that the auditors test them so this is also correct. "There are usually too many individual transactions to test them individually" cannot be used as a reason for testing internal controls over sales. However many transactions there are, if controls appear to be deficient, then those transactions will need to be subjected to tests of detail. "Because there are so many individual transactions, there is a significant risk that sales are misstated" is incorrect as where there is a high risk of misstatement, substantive procedures should be used. SAMPLE EXAM

10 Correct answer(s):

B Purchases and payables

C Purchases and inventories

D Gross margin

Applying analytical procedures to the operating margin which contains the effect of **all** expenses, not just purchases, will not provide direct evidence as to the accuracy of purchases. SAMPLE EXAM

11 Correct answer(s):

C Extend sample

For the misstatement in cut-off, the sample should be extended to measure the full extent of the cut-off misstatement.

Correct answer(s):

E Refer to senior colleague

Missing supplier statements (which should make the auditor suspicious) should be referred to a senior colleague, so that this is investigated and alternative procedures designed if necessary. SAMPLE EXAM

12 Correct answer(s):

B Not misstatement

Correct answer(s):

D Not misstatement

Both disagreements are due to timing differences and hence do not constitute misstatements in the accuracy of total trade receivables. SAMPLE EXAM

13 Correct answer(s):

B Does not prove valuation

Correct answer(s):

C Proves valuation

The first statement represents a test of control over inventory counting procedures and therefore the completeness or existence of the quantity of inventory. It is not a test of valuation. Checking inventory items against sales invoices tests for net realisable value (NRV) and hence valuation of the inventory. SAMPLE EXAM

14 Correct answer(s):

A Test

The current account balance should be tested as it is over the materiality threshold.

Correct answer(s):

D Not test

The petty cash float is not material and hence need not be tested.

Correct answer(s):

E Test

The special directors' cash account should be tested whatever its monetary value. Strict materiality thresholds do not apply to directors' emoluments which need to be disclosed whatever their amount. In any case the auditor needs to ascertain what this balance represents.

15 Correct answer(s):

B Existence

C Rights and obligations

Only existence and rights and obligations are assertions about account balances. Occurrence and cut-off are assertions in respect of classes of transactions and events for the period.

16 Correct answer(s):

C Completeness

Testing for omissions is the same as testing for completeness (ie, saying that nothing has been omitted from the register means the same as saying the register is complete).

17 Correct answer(s):

A Vouching a sample of motor vehicles in the asset register to registration documents

C Review of purchase invoices for motor vehicles acquired in the period

Physical inspection and confirmation of calculations provide evidence of existence and valuation respectively as opposed to rights and obligations.

The rights and obligations assertion means that the entity holds or controls the rights to assets. Although registration documents show registered keeper, not owner, the keeper is likely to have control of the asset. Purchase invoices give evidence of ownership (which gives control).

18 Correct answer(s):

C Cut-off

Correct answer(s):

E Accuracy, valuation and allocation

The cut-off assertion is affected by including inventory sold in inventory at the end of the period (ie, cut-off is incorrect). Where damaged items have not been written down to NRV, then the accuracy, valuation and allocation assertion is directly affected (ie, inventory is incorrectly valued).

19 Correct answer(s):

A Completeness

The completeness assertion is affected by the omission of inventory items (ie, inventory is not complete).

Correct answer(s):

E Accuracy, valuation and allocation

The accuracy, valuation and allocation assertion is affected by miscalculations of cost and the not writing down of damaged items (ie, inventory is incorrectly valued).

20 Correct answer(s):

B Deficiency

Correct answer(s):

D Deficiency

Correct answer(s):

E Strength

The inventory count should involve personnel who are independent of the warehouse staff. Count sheets should be completed in pen so that there is a permanent record. By having two teams of counters involved in the inventory count, there is a check within the inventory counting process that the count is being carried out correctly.

21 Correct answer(s):

A True

Correct answer(s):

D False

All inventory lines must be counted at least once per year, not once per month.

Correct answer(s):

E True

22 Correct answer(s):

A An increase in the cost of raw materials which cannot be passed on to the customer

C Errors in production

D An increase in production overheads

An increase in selling price **increases** net realisable value. Trade discounts from suppliers **reduce** cost.

23 Correct answer(s):

A Existence

C Rights and obligations

Accuracy, valuation and allocation is not supported as we have no evidence that these receivables intend to pay. Completeness is not supported as it is the list of receivables provided by the client that is subject to direct confirmation (ie, the test is for existence and ownership (= rights and obligations) from that list). Occurrence is a financial statement assertion that affects classes of transactions and not account balances.

24 Correct answer(s):

B Analysis of after-date receipts

Whereas the procedures described in A and D are helpful with respect to the valuation assertion, subsequent receipt of cash confirms absolutely that the balance was recoverable at the year end. Checking that customers on the customer list have receivables ledger accounts is a test of completeness, not valuation. SAMPLE EXAM

25 Correct answer(s):

A Test of control

The instructions are likely to lead to an accurate count.

Correct answer(s):

C Test of control

Despatch procedures are being properly followed.

Correct answer(s):

F Substantive procedure

Remembering that substantive procedures include analytical procedures, which is what this describes. SAMPLE EXAM

26 Correct answer(s):

B Recalculation

Recalculation consists of checking the mathematical accuracy of documents or records, therefore casting the list of year-end receivables is a recalculation procedure.

Correct answer(s):

F Reperformance

Reperformance is the auditor's independent execution of procedures or controls which were originally performed as part of the entity's internal control, therefore using CAATs to check the ageing of the year-end list of aged receivables is a reperformance of that ageing analysis, which is itself a control over the recoverability of receivables.

27 Correct answer(s):

B False

A positive confirmation may take two forms: requesting a response indicating whether they agree or disagree with the information provided, or requesting the recipient to state the amount owed by/to them.

Correct answer(s):

C True

Receivables are tested for overstatement therefore it is acceptable to select the sample from the client's list of balances. The direct confirmation would be likely to elicit a response (even if negative confirmation is used) if the balance is indeed overstated. However, payables are tested for understatement and the auditor is looking for balances which are not on the client's list, but should be. Therefore this sample should be drawn from a list of all possible payables, not from the client's list, which may already be understated.

Correct answer(s):

E True

With a positive confirmation, a response is expected whether there is agreement or disagreement. With a negative confirmation, there is an element of uncertainty as to the reasons for non-response. Hence the former is ordinarily more reliable than the latter.

28 Correct answer(s):

C Completeness

A sequence check will highlight missing documents which may indicate unrecorded transactions – ie, test the completeness of sales.

29 Correct answer(s):

C Obtaining direct confirmation of the bank balance from the client's bank

Obtaining direct confirmation of the bank balance from the client's bank will confirm the existence of the cash at bank with a third party (ie, the bank).

30 Correct answer(s):

B Not a misstatement

This disagreement stems from a timing difference and, as such, does not indicate a misstatement in the receivables balance.

Correct answer(s):

D Not a misstatement

This disagreement stems from a mis-posting which does not affect the total receivables balance in the financial statements.

31 Correct answer(s):

A Overstatement

The amount is an asset so we test primarily for overstatement. The amount owed is considered irrespective of the materiality threshold due to the nature of the item (director loan).

Correct answer(s):

F Not test

The amount is below the materiality threshold. The likelihood of material fraud or misstatement within the balance is very low.

32 Correct answer(s):

C Unrecorded branch requisitions

Actual inventory levels at branches are higher than book inventory – ie, there must be unrecorded goods inwards. Only unrecorded branch requisitions (goods coming in from head office) would explain this. All the others would lean to book inventory higher than actual inventory.

33 Correct answer(s):

A Draw conclusion

No misstatements are found; therefore, the appropriate action would be to draw a conclusion.

Correct answer(s):

F Extend sample

An arithmetic misstatement of £5,000 found would be above the materiality threshold and so the auditor should extend their sample.

Correct answer(s):

H Refer to senior colleague

A misstatement of £10 found, sanctioned by the finance director (FD) should lead to the auditor to refer the matter to a senior colleague due to the FD's sanctioning. SAMPLE EXAM

34 Correct answer(s):

C Trace an entry in the non-current asset register to the physical item

To test for existence the reporting accountant should work from the financial statements to the physical item. However, the financial statements themselves do not contain an analysis of the individual items that make up non-current assets so the reporting accountant will need to select their sample from the non-current asset register (having checked that this record agrees with the financial statements).

35 Correct answer(s):

A Purchase invoices for assets purchased within the year may contain evidence in relation to the risk of omission of assets owned by the company.

D Sales invoices for assets sold within the year may contain evidence in relation to the risk of the company not actually owning the assets.

Purchase invoices for assets purchased within the year may contain evidence in relation to the risk of omission of assets owned by the company.

Physical inspection of the assets themselves by the auditor would not generate evidence in relation to the risk of the company not actually owning the assets. The mere existence of the physical assets does not tell us that the company has the rights and obligations that relate to them.

Valuations carried out by third-party valuers would not generate evidence in relation to the risk of the assets being incorrectly presented in the financial statements. Although the assets may be valued correctly, this does not necessarily mean that they have been presented in line with IFRS Accounting Standards.

Sales invoices for assets sold within the year may contain evidence in relation to the risk of the company not actually owning the assets. This helps address the risk that the assets do not exist.

36 Correct answer(s):

B False

Completeness of debts receivable is not usually considered a major risk (ie, understatement of assets) – the opposite is usually the case ie, existence is a major risk.

Correct answer(s):

D False

Although existence of long-term liabilities is indeed a risk, it is not the principal risk.

Correct answer(s):

E True

Incorrect valuation of inventory – particularly obsolete or damaged inventory – is a major risk of misstatement.

37 Correct answer(s):

A Car wash

D Pawn shop

A car wash or a pawn shop is likely to have a large number of cash transactions, which makes it a suitable front business for a money-laundering operation.

38 Correct answer(s):

A True

Inventory cost includes the costs of bringing the inventory to its present location and condition, in line with IAS 2, *Inventory*.

Correct answer(s):

C True

This is a deficiency because the inclusion of the inventory quantity on the count sheets may deter the inventory counters from performing the count accurately because they already have a suggested quantity for each inventory item. Similarly, the count sheets may not be up to date. SAMPLE EXAM

Chapter 14: Codes of professional ethics

1 Correct answer(s):

A Accountants have access to confidential information.

B Assurance providers claim to give an independent view.

C The financial community relies on accountants.

There is no legal requirement for ethical codes. SAMPLE EXAM

2 Correct answer(s):

B ICAEW Code of Ethics

C FRC's Ethical Standard

ICAEW qualified auditors acting in the UK are subject to the ICAEW Code and the FRC's *Ethical Standard*. The principles of the IESBA Code are incorporated within the ICAEW code, but ICAEW members are not bound by it directly.

3 Correct answer(s):

A Integrity

B Objectivity

D Confidentiality

Independence and courtesy are not fundamental principles of the IESBA Code.

4 Correct answer(s):

B False

Correct answer(s):

C True

Correct answer(s):

E True

The first statement is false as following prescriptive rules of ethical guidance may become a mechanical process without due consideration given to the ethical principles of each case. The other statements are true. SAMPLE EXAM

5 Correct answer(s):

A ICAEW

B IESBA

D FRC

The IAASB issues ISA Standards, but not ethical guidance.

6 Correct answer(s):

B Ethical guidance is a framework containing a combination of rules and principles the application of which is dependent on the professional judgement of the assurance provider based on the specific circumstances.

Although there are some specific 'rules', the majority of ethical guidance is in the form of principles, the spirit of which should be followed by the assurance provider. SAMPLE EXAM

7 Correct answer(s):

C Both

Correct answer(s):

E FRC's Ethical Standard only

Correct answer(s):

I Both

Correct answer(s):

L Both

Both the IESBA *Code of Ethics* and the FRC's *Ethical Standard* identify the following five threats: self-interest, self-review, advocacy, familiarity and intimidation. The FRC's *Ethical Standard* also identifies the management threat in addition; the IESBA *Code of Ethics* does not specify a 'management threat' as such, but notes that the assumption of 'management responsibilities' would create other threats. SAMPLE EXAM

8 Correct answer(s):

A The public's expectations of accountants

B Public interest in financial information

D Credibility of published financial information

Tradition is not a valid reason why objectivity and independence matter.

9 Correct answer(s):

B False

A principles-based code does not contain specific rules for auditor compliance.

Correct answer(s):

D False

A rules-based code does not require auditor adherence to a set of principles.

Correct answer(s):

F False

ICAEW uses a principles-based approach.

10 Correct answer(s):

B False

Principles-based guidance may contain rules for prohibitions, although its substantial content would be based on general principles.

Correct answer(s):

D False

It is a major strength of principles-based guidance that its general principles may be applied to unique situations, eg, situations for which a specific rule may not have been created under a rules-based approach.

Correct answer(s):

E True

Principles-based guidance may permit multiple correct responses in a given situation. Advocates of rules-based approaches see this as one of its principal defects. SAMPLE EXAM

11 Correct answer(s):

B Self-review threat

Auditing financial statements prepared by the firm represents a self-review threat – the firm would be auditing ('reviewing') material that it had itself produced, and may be inclined to trust it more than if it had been produced by an entity that was independent of it.

Correct answer(s):

C Familiarity threat

An audit team member having family at the client represents a familiarity threat – the audit team would be over-familiar with the client. This is related to a self-review threat in the sense that both threats involve proximity to the information being audited; where the familiarity threat differs is that the information is prepared by someone else but with whom the auditor has a close relationship.

Correct answer(s):

F Self-interest threat

Making a loan to an audit client represents a self-interest threat because the auditor may have an incentive not to do anything that could imperil the client's financial position (such as modifying the audit opinion) lest this prejudice their ability to repay the loan.

SAMPLE EXAM

12 Correct answer(s):

B Complying with relevant laws and regulations.

D Avoiding conduct that the auditor knows could discredit the profession.

A professional account complying with the fundamental principle of **professional behaviour** will comply with relevant laws and regulations and avoid any conduct that the professional accountant knows, or should know, might discredit the profession.

Attaining and maintaining professional knowledge and skill at the level required to ensure that a client or employing organisation receives competent professional service will demonstrate compliance with the fundamental principle **professional competence and due care**.

Exercising professional judgement without being compromised by bias demonstrates **objectivity**.

13 Correct answer(s):

A Integrity

D Professional behaviour

The manager has shown a lack of integrity by being dishonest about winning awards for client service and in their description of the partners at BQT.

They have also not complied with the fundamental principle of professional behaviour. The ICAEW Code of Ethics states that professional accountant shall not bring the profession into disrepute and shall not make:

- Exaggerated claims for the services offered by, or the qualifications or experience of, the accountant; or
- Disparaging references or unsubstantiated comparisons to the work of others.

Note: Professional scepticism is not a fundamental principle. It is an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence.

Chapter 15: Integrity, objectivity and independence

1 Correct answer(s):

A Withdrawing from the engagement

B Applying specific safeguards

C Making disclosures to the client

Making disclosures to ICAEW is no substitute for the other options.

2 Correct answer(s):

A A member of the audit team

B A minor child of a member of the audit team

D A spouse of a member of the audit team

The third option is not correct here as a parent of a member of an audit team may own a material financial interest in an audit client – provided they are not a dependant, which would not normally be assumed to be the case.

3 Correct answer(s):

A Self-interest

C Intimidation

D Familiarity

The second option does not apply as given the staff member does not yet work for the audit client, there is no risk of self-review at this stage.

4 Correct answer(s):

B Cash It Ltd only

Cash It Ltd is a threat as it is implied that an audit team member took advantage of the loan rate mentioned in the audit tendering process. Nationally plc is not a threat as it is acceptable for staff to have mortgages on commercial terms with an audit client who is a mortgage provider, especially if it is the leading building society. SAMPLE EXAM

5 Correct answer(s):

A There is a presumption of dependence when annual fee income from all services to the client will regularly exceed 15% of gross practice income.

For non-listed companies, there is a presumption of dependence when annual fee income from all services to the client will regularly exceed 15% of gross practice income. SAMPLE EXAM

6 Correct answer(s):

A Preparing the financial statements for Power Group plc, a listed company, on a regular basis

B Carrying out valuations of various non-current property assets for Tower Investments Ltd, a property investment company

C Promoting tax structures to Haven Ltd, where there is scope for doubt about the appropriateness of the accounting treatments involved to achieve the tax benefits

The fourth option is not correct as it is assistance that is provided as opposed to management or operational decisions being taken. SAMPLE EXAM

7 Correct answer(s):

A Alan Johnson has been the audit engagement partner of Domino Ltd for 11 years.

B Betty Thomson has been the audit engagement partner of Beetle Group plc, a listed company, for seven years.

C Having been the audit engagement partner of Risk Group plc, a listed company, for five years, Colin Jackson resigned as audit engagement partner three years ago; following a reshuffle in the firm, he has just been assigned as a key partner involved in the audit of Risk Group plc.

There is no significant threat to the independence of the audit engagement of Scrabble plc, as the partner had previously rotated off the client six years ago and is allowed to return to the same position after five years. SAMPLE EXAM

8 Correct answer(s):

B Refer the matter to the management board of partners because they cannot determine a solution themselves

C Solicit advice from the ICAEW ethics helpline

Doing nothing is not an option available to the ethics partner. It is best to seek to resolve this matter internally by discussing it with the management board of partners while at the same time soliciting advice from ICAEW to ensure that an acceptable resolution is reached. Seeking the opinion of another ethics partner would probably not be deemed appropriate as the specifics of the case are probably confidential and ICAEW would be the authority in this area as to the appropriate course of action to be taken. SAMPLE EXAM

9 Correct answer(s):

A The auditor has acted for the same client for several years.

D There is a family relationship between a member of the audit team and the finance director the client.

A familiarity threat arises when the auditor has acted for the same client for several years or when there is a family relationship between a member of the audit team and the finance director or other individuals charged with governance at the entity.

A client taking legal action against the firm gives rise to an intimidation threat.

When the auditor provides tax services it can lead to a self-review threat where the tax calculations impact on the financial statements.

10 Correct answer(s):

A Self-interest

Correct answer(s):

D Self-interest

Loesdon Ltd: Self-interest and intimidation threats arise, therefore select self-interest (intimidation is not available as an option). Litten Ltd: Self-interest and intimidation threats arise, therefore select self-interest (intimidation is not available as an option). Management and self-review threats would only arise if the advisory work was accepted. SAMPLE EXAM

11 Correct answer(s):

B Accept with safeguards

Accept with safeguards as there are self-interest and self-review threats. There may also be a management threat with regard to the advice provided, so care must be taken not to take management decisions.

Correct answer(s):

E Accept with safeguards

Despite the time lag, the finance director may have too good a knowledge of the firm's procedures.

SAMPLE EXAM

12 Correct answer(s):

B Familiarity

A familiarity threat is possibly present as the prior year audit team may have developed personal relationships with client staff which may threaten their objectivity.

Correct answer(s):

F Intimidation

By expressing his dissatisfaction, the finance director is posing an intimidation threat – effectively seeking a different audit opinion or threatening the auditors with replacement. SAMPLE EXAM

13 Correct answer(s):

B Discuss the issues with the audit committee

Correct answer(s):

D Separate personnel

Where there is a high proportion of fee income derived from a particular client (the 5% and 10% rules), if the amount is not prohibitive (the 10% and 15% rules), then safeguards should be put in place. One safeguard would be to discuss the issues with the audit committee, if there is one (which there would be for a major listed company).

Having separate personnel assigned where there are competing clients is the most appropriate safeguard to protect independence. SAMPLE EXAM

14 Correct answer(s):

A Where there is a close business relationship between the auditor and the client

C Where the auditor has a financial interest in the client

D Where there is a significant amount of overdue fees

The second option present a self-review threat as opposed to a self-interest threat.

15 Correct answer(s):

B No safeguards possible

Correct answer(s):

D No safeguards possible

Correct answer(s):

E Safeguards possible

A firm should not accept a fee calculated on a contingency basis. Where total fees exceed 15% (10% for a listed entity) of the annual fee income of the firm there is a presumption of dependence and the firm should resign. Where total fees exceed 10% (5% for a listed entity) safeguards should be applied as necessary. SAMPLE EXAM

16 Correct answer(s):

C Morgan Ltd only

Sam Brown has been a director of Hastle Ltd within the last two years and therefore cannot be used on the audit. James Sanderson had the role of office junior and as such was not in a position to exert direct and significant influence over the subject matter of the audit; therefore, he can be used on the audit of Hastle Ltd, even though it is only six months since he resigned. Sally Jones's position, while one where she would have been able to exert direct and significant influence over the subject matter of the audit, falls outside the two-year period, therefore she could be used on the audit of Morgan Ltd. SAMPLE EXAM

17 Correct answer(s):

D Reject the offer

Unless the value of gifts are such that a reasonable and informed third party, weighing all the specific facts and circumstances, would consider them **trivial and inconsequential**, a firm or a member of an assurance team should not accept them.

18 Correct answer(s):

A Firm must decline

Correct answer(s):

D Individual excluded

Correct answer(s):

E Firm must decline

If a partner, a person in a position to influence the outcome of that engagement (eg, the audit manager), or an immediate family member of either of these (eg, spouse) has a financial interest in a company the firm cannot accept appointment unless the interest is disposed of. As long as Sam Larson is excluded from the audit of Burton Ltd, the firm can accept the appointment. SAMPLE EXAM

19 Correct answer(s):

A Separate personnel

By assigning separate personnel to each assignment the confidentiality of each client and hence the auditor's independence will be protected.

Correct answer(s):

F No safeguards possible

An internal audit role cannot be taken on for any audit client, per FRC's *Ethical Standard*. Hence, there are no safeguards possible.

20 Correct answer(s):

D Red LLP are permitted to accept the appointment as auditors because the partner has ceased employment with Green plc

The FRC Ethical Standard (section 2) states that when a partner leaves the firm and is appointed as a director or to a key management position with an audit client, having acted as audit engagement or independent/key partner in relation to that audit at any time in the previous two years, the firm should resign as auditors. Red LLP did resign when the partner moved to the audit client and so complied with the FRC Ethical Standard.

The auditors should then not reaccept appointment until two years have elapsed since that partner's involvement in the audit or the former partner leaves the audit client, if earlier. The former audit engagement partner has now left Green plc which means that Red LLP can reaccept the appointment.

21 Correct answer(s):

B No threat

Correct answer(s):

D No threat

Correct answer(s):

E Threat

The car loan has been given at a special rate and is likely to be material to the audit manager. All other loans are in the normal course of business on commercial terms.

22 Correct answer(s):

B Advocacy

Advocacy threat as the auditor is taking the part of the client in underwriting the client's shares in a flotation.

Correct answer(s):

C Self-review

Self-review threat as the audit firm will be preparing the financial statements and will then review them (though the use of separate teams would reduce this threat).

23 Correct answer(s):

C Management and self-review

Management threat – selection of systems should be carried out by management. If the auditor undertakes this role they become too closely aligned with management and this threatens their independence.

Self-review threat – the audit firm will audit the system it has implemented.

There are no indications of a familiarity threat, as no indication is given of the length of the relationship nor of any family or close personal relationships between audit firm and client.

24 Correct answer(s):

C New Generation Insurance and Co only

New Generation Insurance is a threat as a personal guarantee appears to have been given by the auditor in favour of the company, in return for the audit should the buy-out take place. Hence there is a dependency that threatens the independence of the assurance provider.

NatEast plc is not a threat as the loan to Hammers LLP is modest and in the normal course of business for a major high street bank.

25 Correct answer(s):

A Accept with safeguards

Valuations are only prohibited for **non-listed** companies where the item to be valued is material to the financial statements **and** involves a significant degree of subjectivity (for **listed** companies, any material valuation is prohibited). However, safeguards must be implemented to minimise self-review (eg, the valuation should be carried out by a different team).

Correct answer(s):

C Accept with safeguards

Helping a non-listed company with accounts preparation is acceptable with safeguards to ensure that the role of management is not assumed by the audit firm.

Correct answer(s):

F No safeguards possible

No safeguards are possible with the design and implementation of the IT system as the very same system is relied upon for the purposes of the external audit.

26 Correct answer(s):

C Accept Beta Ltd as a client and refuse Alpha plc

Accept Beta Ltd as 12% is below the 15% threshold for private companies. Refuse Alpha plc as 11% is above the 10% threshold for listed companies. SAMPLE EXAM

27 Correct answer(s):

A Do not accept

Do not accept Titania plc as it is not acceptable to prepare and audit the financial statements of a listed company.

Correct answer(s):

E Accept with safeguards

The audit of Puck Ltd can be accepted with safeguards – such as not letting the FD's brother take any part in the audit.

28 Correct answer(s):

A Perform the work

At Oberon LLP, the junior can go ahead and perform the work, given the low-risk nature of the receivables balance, and the fact that the junior has covered this in their training. The junior is also to join an audit team, where resources for guidance, supervision and review will be available.

Correct answer(s):

F Contact the ICAEW telephone helpline

With regard to Lear LLP, the junior should contact the ICAEW telephone helpline. Commencing the audit of a client unsupervised may lead to exposure of both the junior and the firm to risks. In a larger firm the junior could refer to their training partner, but since this is a sole practitioner firm the practitioner themselves must also be the training partner. SAMPLE EXAM

29 Correct answer(s):

D Consider whether it is necessary to resign from the engagement.

If the client does not pay overdue fees, then a loan relationship is automatically created which is a threat to independence. Where the overdue fees involve an amount that cannot be regarded as trivial, the audit engagement partner, in consultation with the ethics partner, should consider whether the firm can continue to act as auditors or whether it is necessary to resign.

30 Correct answer(s):

B Intimidation

The FD having a very strong personality may lead to an intimidation threat.

Correct answer(s):

D Familiarity

The audit and client team remaining unchanged for many years is likely to lead to a familiarity threat.

31 Correct answer(s):

C Intimidation, advocacy and self-interest

An intimidation threat arises because of Ms Black's attitude. There is an advocacy threat if the firm acts in the company's defence. A self-interest threat arises because the firm will be afraid of losing the audit fee. SAMPLE EXAM

32 Correct answer(s):

B Accept with safeguards

Since the assets of Luxemburg Ltd are immaterial, it is possible to accept both engagements subject to safeguards (if Luxemburg Ltd had been a public interest entity, then the valuation service should have been declined).

Correct answer(s):

D Do not accept

Auditors are prohibited from providing bookkeeping services to listed clients, so the work for Cliff plc may not be accepted. SAMPLE EXAM

33 Correct answer(s):

B Refer to training partner

Correct answer(s):

D Perform the work

In relation to Cioran Ltd, this point should be referred to the training partner. It appears that the audit trainee in question does not have sufficient knowledge or experience to perform the work being asked of them.

In relation to Schopenhauer Ltd, you can go ahead and perform the work, given the low-risk nature of the non-current assets balance, and the fact that you have covered this in your training. You are also to join an audit team, where resources for guidance, supervision and review will be available. SAMPLE EXAM

Chapter 16: Confidentiality

1 Correct answer(s):

A It is a fundamental principle of all the major ethical codes

C Accountants need their clients to be comfortable to make full disclosure of company affairs to them

"Failure to keep information confidential reflects badly on the accountant" and "It means that accountants can work for competitors" are not the principal reasons for the importance of confidentiality.

2 Correct answer(s):

A Discuss client matters with third parties

B Discuss client matters with colleagues in public places

D Leave working papers in the car

"Discuss client matters with colleagues in non-public places" does not apply as accountants may discuss client matters with colleagues in non-public places.

3 Correct answer(s):

A When the client has granted permission

C When there is a public duty to make disclosure

D When there is a legal duty to make disclosure

"In order to obtain audit evidence about an amount in the financial statements" is not correct as it is not acceptable to disclose confidential information in a bid to secure further audit evidence. SAMPLE EXAM

4 Correct answer(s):

B When terrorist activity has taken place, it should be reported to the police

C When regulatory breaches have taken place at a charity, it should be reported to the Charities Commission

D When money laundering is suspected, it should be reported to the National Crime Agency (NCA)

Where a fraud has been identified, this is usually reported to the client unless the fraud has been carried out by senior management/directors, in which case, great care should be taken in the steps taken.

5 Correct answer(s):

C Report to the firm's money laundering nominated officer

In the first case, report to the firm's money laundering nominated officer as the case is suspicious.

Correct answer(s):

D Make no external report

In the second case, make no external report as there is no public or legal duty to disclose an internal control deficiency. SAMPLE EXAM

6 Correct answer(s):

A May make disclosure

Correct answer(s):

C May make disclosure

Correct answer(s):

F Must make disclosure

In the first case the assurance provider may make disclosure. In case 2, they may make disclosure if the client does not. In the final case, the auditor has a duty to make disclosure as this constitutes money laundering. SAMPLE EXAM

7 Correct answer(s):

D The firm's money laundering nominated officer

The money laundering nominated officer will then decide on the appropriate course of action.

8 Correct answer(s):

B False

Correct answer(s):

C True

Correct answer(s):

F False

If the audit firm believes that the conflict of interest can be managed through safeguards the firm can continue to act for both parties. The clients involved, however, should be informed of the situation.

9 Correct answer(s):

A On a change of employment, using experience gained in a previous position

C Providing a prospective auditor with information required by him in order for him to decide whether or not to accept the appointment

Encouraging others to buy shares in a company on the basis of information obtained during the course of the audit is known as insider dealing and is a criminal offence. Where audit evidence obtained in the audit of one client affects the audit of another client, procedures must be performed so that the same evidence is obtained from another source. SAMPLE EXAM

10 Correct answer(s):

B In order to avoid giving an incorrect auditor's report to another client

In order to avoid giving an incorrect auditor's report to another client is the only option where permission must first be granted (otherwise the assurance provider will be breaking their duty of confidentiality to that client). For the other options, client permission is not required (and indeed to seek this could be regarded as 'tipping off' the client) but disclosure is necessary by law or the auditor is protected by the court (eg, in a negligence claim).

11 Correct answer(s):

D Report the matter to a designated officer within Endeavour LLP without Mr Egon's permission.

Discussing or mentioning the matter with Mr Egon would only serve to tip him off about the transactions identified. SAMPLE EXAM

12 Correct answer(s):

C Auditors may disclose matters to third parties without their client's consent if it is in the public interest, and they must do so if there is a statutory duty to do so.

There is no blanket prohibition on disclosure, nor is there any general right of the police or taxation authorities to demand information. Auditors have an implied contractual duty of confidentiality. There is no statutory duty of confidentiality. SAMPLE EXAM

13 Correct answer(s):

A Inform the audit committees of both Caterpillar and Snail of the potential conflict of interest and obtain their consent to act for both parties.

D Prevent unauthorised physical access to the information relating to both company audits.

Separate audit teams should be used including audit partners and independent review partners.

Confidentiality agreements should be signed by Leaf LLP's staff, not by the client.

14 Correct answer(s):

B False

The UK GDPR applies to any data held on individuals, not companies. It would, however, apply to data held on an audit client's staff.

Correct answer(s):

C True

Losing client staff personal information is a clear breach of the UK GDPR and should be reported to the Information Commissioner's Office (ICO).

Correct answer(s):

F False

If an audit client breaches the UK GDPR, then it is the client's responsibility to report the breach to the ICO. The auditor owes the client a duty of confidentiality regarding breaches of laws and regulations (such as this), but should consider disclosure to the ICO if this is in the public interest. SAMPLE EXAM

Appendix

Mock Exam guidance notes

Suggested structure for Mock Exams in 2024

Exam standard

The Mock Exam should be set at the same level of difficulty as that represented by the 2024 sample exams.

Exam format

The Mock Exam should consist of 50 questions worth two marks each.

Style of exam questions

Each question should conform to the style used in the sample exams, ie:

- Multiple Choice Question (MCQ) (1 from 4);
- Multi-part Multiple Choice MPMC (eg, 2 or 3 true or false or other choice); or
- Multiple Response Question (MRQ) (more than 1 from 4 or more).

Note that there are no partial marks awarded. All parts of a question must be answered correctly to attain the marks.

Exam coverage and balance

A Mock Exam should have approximately the syllabus coverage and balance set out in the table below.

Syllabus area	Weighting %	Number of questions	
1 The concept, process and need for assurance	20	10	10
2 Internal controls and information flows	25	12	13
3 Gathering evidence on an assurance engagement	35	18	17
4 Professional ethics and regulatory issues	20	10	10
Total	**100**	**50**	**50**

The following matrix contains three sets of questions, selected from within this Question Bank.

Each one contains an appropriate balance of questions which form a 'sample exam' for you to attempt. Note that the question topics listed here are only examples of the nature of questions which may be included – the actual exam questions may be on different topics.

Question	Sample exam 1	Sample exam 2	Sample exam 3
1	Ch1; Q3	Ch1; Q2	Ch1; Q7
2	Ch1; Q4	Ch1; Q5	Ch1; Q10
3	Ch2; Q1	Ch1; Q6	Ch1; Q13
4	Ch2; Q2	Ch2; Q3	Ch2; Q5
5	Ch2; Q6	Ch2; Q4	Ch2; Q10

Question	Sample exam 1	Sample exam 2	Sample exam 3
6	Ch3; Q13	Ch3; Q1	Ch3; Q17
7	Ch3; Q23	Ch3; Q11	Ch3; Q18
8	Ch3; Q27	Ch3; Q12	Ch3; Q25
9	Ch4; Q1	Ch3; Q20	Ch3; Q29
10	Ch4; Q5	Ch3; Q24	Ch4; Q7
11	Ch4; Q10	Ch4; Q2	Ch4; Q11
12	Ch4; Q17	Ch4; Q12	Ch4; Q13
13	Ch5; Q1	Ch5; Q8	Ch5; Q7
14	Ch5; Q9	Ch5; Q17	Ch5; Q10
15	Ch5; Q31	Ch5; Q25	Ch5; Q12
16	Ch6; Q1	Ch5; Q34	Ch5; Q13
17	Ch6; Q4	Ch6; Q2	Ch5; Q23
18	Ch6; Q7	Ch6; Q5	Ch5; Q24
19	Ch7; Q5	Ch7; Q6	Ch6; Q6
20	Ch7; Q13	Ch7; Q14	Ch6; Q8
21	Ch8; Q4	Ch8; Q6	Ch6; Q13
22	Ch8; Q14	Ch8; Q11	Ch7; Q2
23	Ch9; Q2	Ch9; Q5	Ch7; Q3
24	Ch9; Q4	Ch9; Q12	Ch8; Q1
25	Ch10; Q1	Ch10; Q3	Ch9; Q1
26	Ch10; Q4	Ch10; Q6	Ch10; Q9
27	Ch10; Q10	Ch10; Q7	Ch10; Q11
28	Ch11; Q1	Ch10; Q12	Ch11; Q4
29	Ch11; Q3	Ch11; Q2	Ch11; Q5
30	Ch11; Q6	Ch11; Q7	Ch11; Q10
31	Ch11; Q8	Ch11; Q9	Ch11; Q11
32	Ch11; Q13	Ch11; Q16	Ch11; Q15
33	Ch12; Q3	Ch12; Q5	Ch11; Q19
34	Ch12; Q7	Ch12; Q9	Ch11; Q23
35	Ch13; Q1	Ch13; Q2	Ch11; Q27
36	Ch13; Q3	Ch13; Q4	Ch12; Q1
37	Ch13; Q9	Ch13; Q10	Ch13; Q7
38	Ch13; Q11	Ch13; Q12	Ch13; Q24
39	Ch13; Q25	Ch13; Q13	Ch13; Q33

Question	Sample exam 1	Sample exam 2	Sample exam 3
40	Ch13; Q37	Ch13; Q21	Ch13; Q38
41	Ch14; Q6	Ch14; Q7	Ch14; Q1
42	Ch14; Q10	Ch14; Q11	Ch14; Q4
43	Ch15; Q4	Ch15; Q5	Ch15; Q6
44	Ch15; Q8	Ch15; Q13	Ch15; Q7
45	Ch15; Q10	Ch15; Q15	Ch15; Q11
46	Ch15; Q12	Ch15; Q18	Ch15; Q26
47	Ch15; Q16	Ch15; Q32	Ch15; Q28
48	Ch15; Q31	Ch15; Q33	Ch16; Q3
49	Ch16; Q5	Ch16; Q6	Ch16; Q11
50	Ch16; Q9	Ch16; Q12	Ch16; Q14